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AI washing

Moran Ofir

Faculty of Law, University of Haifa, Haifa, Israel

Correspondence
Moran Ofir, Faculty of Law, University of Haifa, 99 Aba Khoushy Ave. Mount Carmel, Haifa, 3498838, Israel.
Email: moranofir@law.haifa.ac.il

Abstract

AI washing, the practice of misrepresenting the use or scope of artificial intelligence in goods or services to attract investors and gain competitive advantages, raises distinct regulatory challenges requiring the adaptation of traditional securities laws to novel technological contexts. This Article provides the first comprehensive comparative analysis of AI washing regulation across United States and European Union jurisdictions, and identifies fundamental differences in regulatory approaches on both sides of the Atlantic: the United States employs market-based enforcement through existing securities laws with penalties up to $225,000, while the EU has adopted comprehensive ex ante regulation through the AI Act, with penalties up to €35 million or 7% of global turnover. Analyzing SEC enforcement actions, EU implementation patterns, and corporate governance implications, this Article demonstrates that effective AI governance requires selective convergence through alignment on key regulatory elements, rather than complete harmonization. The Article makes several original contributions in its systematic analysis of materiality standards for AI disclosures, its examination of board oversight duties for technological risks under Delaware law, its comprehensive assessment of the AI Act's corporate governance implications, and its practical recommendations for multinational compliance strategies. The regulatory frameworks developed for AI washing provide essential precedents for broader technology governance challenges, establishing principles for balancing innovation promotion with investor protection in an era of rapid technological transformation.

1 | INTRODUCTION

The meteoric rise of artificial intelligence (AI) technologies has driven fundamental transformations in corporate strategy, operational efficiency, and competitive positioning across most sectors of the global economy.[1] From algorithmic trading in financial markets to predictive analytics in healthcare, and from autonomous systems in transportation to personalized recommendation engines in consumer technology, AI has become integral to modern business operations and value creation.[2] However, alongside these technological advances has emerged a concerning phenomenon commonly referred to on both sides of the Atlantic as "AI washing," including by securities

[1] *See* Erik Brynjolfsson & Andrew McAfee, The Second Machine Age: Work, Progress, and Prosperity in a Time of Brilliant Technologies (2014); Stuart Russell, Human Compatible: Artificial Intelligence and the Problem of Control (2019).

[2] *See* McKinsey & Company, *The Economic Potential of Generative AI: The Next Productivity Frontier* (June 14, 2023), https://www.mckinsey.com/capabilities/mckinsey-digital/our-insights/the-economic-potential-of-generative-ai-the-next-productivity-frontier.; Vinciane Beauchene et al., *AI at Work in 2024: Friend and Foe*, Bos. Consulting Grp. (June 26, 2024), https://www.bcg.com/publications/2024/ai-at-work-friend-foe.

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regulators. This term captures companies' systematic misrepresentation of their AI capabilities, the exaggeration of the sophistication of their AI integration, and/or the presentation of misleading claims about AI-driven value creation to attract investors, inflate market valuations, and gain competitive advantages.[3]

The regulatory response to AI washing marks a significant shift in the evolution of securities law and corporate governance frameworks. As the then-chair of the Securities and Exchange Commission (SEC), Gary Gensler, told its Investor Advisory Committee in December 2023: "Investment advisers should not mislead the public by saying they are using an AI model when they are not. Such AI washing hurts investors."[4] This statement signaled the SEC's commitment to aggressive enforcement of existing antifraud provisions against emerging forms of technological misrepresentation.[5] Within months, the SEC had filed its first AI washing enforcement actions, establishing important precedents and demonstrating how traditional securities law principles can adapt to novel technological misconduct.[6]

The emergence of AI washing as a distinct category of securities violations reflects deeper challenges faced by legal frameworks designed for more traditional forms of corporate disclosure and investor protection as they attempt to cope with rapid technological innovation.[7] Unlike traditional misleading financial statements and accounting irregularities, AI washing involves complex technological claims that may be difficult for investors, regulators, and even company directors to evaluate accurately.[8] The technical sophistication required to assess AI capabilities, the rapidly evolving nature of AI technologies, and the inherent uncertainty in AI development timelines create unique challenges for traditional assessments of materiality, disclosure obligations, and corporate governance oversight.[9]

The European Union (EU) has embarked on the most comprehensive regulatory experiment in AI governance through the adoption of its AI Act, which became effective in August 2024 and establishes detailed transparency obligations, risk-based regulatory requirements, and severe penalties for AI-related misconduct.[10] The act represents a fundamental departure from traditional securities regulation by creating ex-ante obligations specifically designed for AI applications, rather than relying primarily on ex-post enforcement of general antifraud provisions.[11] With penalties reaching €35 million or 7% of global annual turnover for prohibited practices, the EU framework establishes some of the most severe regulatory consequences globally for AI-related violations.[12]

The regulatory approaches of the United States and the EU diverge fundamentally, with profound implications for multinational corporations, global regulatory harmonization, and the future evolution of technology governance.[13] While the United States relies primarily on market-based regulatory mechanisms for emerging technologies, the EU has established comprehensive and preemptive regulatory frameworks specifically designed for AI applications.[14] This divergence in regulatory philosophy between enforcement-based deterrence and comprehensive prevention reflects broader distinctions in approaches on both sides of the Atlantic to technology governance that extend beyond securities regulation to encompass data protection, antitrust enforcement, and digital rights frameworks.[15]

This Article provides the first comprehensive comparative analysis of AI washing regulation in the U.S. and EU jurisdictions, examining how established corporate governance and securities disclosure frameworks apply to emerging AI-related misconduct and identifying opportunities for regulatory convergence and international coordination. The analysis reveals that, while both jurisdictions have fundamental concerns about AI misrepresentation and investor protection, their regulatory mechanisms, enforcement approaches, governance requirements, and penalty structures differ substantially in ways that create both compliance challenges and opportunities for regulatory adaptation and innovation.[16]

The Article makes an original contribution to the literature on technology regulation and securities law in four principal ways. First, it provides a systematic analysis of how traditional materiality standards apply to AI-related disclosures, identifying specific challenges in evaluating the significance of AI capabilities for a reasonable investor's decision-making.[17] Second, it examines the evolution of board oversight duties in the AI era, analyzing how Delaware corporate law's *Caremark* framework applies to emerging technological risks and director liability for AI-related oversight failures.[18] Third, it offers a comprehensive assessment of the EU's AI Act and its implications for corporate disclosure and governance, including analysis of risk-based

[3] *See* Gary Gensler, *Chair Gary Gensler on AI Washing*, U.S. Sec. & Exch. Comm'n (Mar. 18, 2024) https://www.sec.gov/newsroom/speeches-statements/sec-chair-gary-gensler-ai-washing (warning against "AI washing" and stating "one shouldn't greenwash, and one shouldn't AI wash").

[4] *See id.*

[5] *See id.*; Gary Gensler, *'Competition and the Two SECs' Remarks Before the SIFMA Annual Meeting*, U.S. Sec. & Exch. Comm'n (Oct. 24, 2022), https://www.sec.gov/news/speech/gensler-sifma-speech-102422.

[6] *See* Delphia (USA) Inc., Securities Exchange Act Release No. 99726, Investment Advisers Act Release No. 6615 (Mar. 18, 2024); Global Predictions, Inc., Securities Exchange Act Release No. 99727, Investment Advisers Act Release No. 6616 (Mar. 18, 2024).

[7] *See* John C. Coffee Jr., *The Future as History: The Prospects for Global Convergence in Corporate Governance and Its Implications*, 93 NW. U. L. REV. 641 (1999); Roberta Romano, The Genius of American Corporate Law (AEI Studies in Regulation and Federalism) (1993).

[8] *See* Ryan Calo, *Robotics and the Lessons of Cyberlaw*, 103 Calif. L. Rev. 513 (2015); Julie E. Cohen, Between Truth and Power: The Legal Constructions of Informational Capitalism (2019).

[9] *See* Frank Pasquale, The Black Box Society: The Secret Algorithms That Control Money and Information (2015); Cathy O'Neil, Weapons of Math Destruction: How Big Data Increases Inequality and Threatens Democracy (2016).

[10] *See* Council Regulation 2024/1689 laying down harmonized rules on artificial intelligence (AI Act), 2024 O.J. (L 1689) [hereinafter AI Act].

[11] *See* Anu Bradford, The Brussels Effect: How the European Union Rules the World (2020); Kenneth A. Bamberger & Deirdre K. Mulligan, *Privacy on the Books and on the Ground*, 63 Stan. L. Rev. 247 (2011).

[12] *See* AI Act, *supra* note 10, art. 99.

[13] *See* Bradford, *supra* note 11; Abraham L. Newman & Elliot Posner, Voluntary Disruption: International Soft Law, Finance, and Power (2018).

[14] *See* Steven K. Vogel, Freer Markets, More Rules: Regulatory Reform in Advanced Industrial Countries (1996); David Levi-Faur, *Regulation and Regulatory Governance*, *in* Handbook of Public Administration 3 (B. Guy Peters & Jon Pierre eds., 2012).

[15] *See* Bradford, *supra* note 11.

[16] For a general comparison of U.S.-EU AI regulation, see Alex Engler, *The EU and U.S. Diverge on AI Regulation: A Transatlantic Comparison and Steps to Alignment*, Brookings Inst. (July 29, 2024), https://www.brookings.edu/articles/the-eu-and-us-diverge-on-ai-regulation-a-transatlantic-comparison-and-steps-to-alignment/.

[17] *See* Troy A. Paredes, *Blinded by the Light: Information Overload and Its Consequences for Securities Regulation*, 81 Wash. U. L.Q. 417 (2003); Donald C. Langevoort, *Taming the Animal Spirits of the Stock Markets: A Behavioral Approach to Securities Regulation*, 97 Nw. U. L. Rev. 135 (2002).

[18] *See* In re Caremark International Inc. Derivative Litigation, 698 A.2d 959 (Del. Ch. 1996); Marchand v. Barnhill, 212 A.3d 805 (Del. 2019).

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transparency requirements and their interaction with existing securities law frameworks.[19] Fourth, it develops practical recommendations for multinational corporations navigating overlapping regulatory requirements while maintaining effective AI governance and compliance programs.[20]

The Article proceeds as follows: Part 2 examines the emergence of AI washing as a distinct regulatory challenge, analyzing the technological, economic, and legal factors that have contributed to the proliferation of AI misrepresentation across industries and jurisdictions. Part 3 provides a comprehensive analysis of the U.S. federal securities law framework applicable to AI washing, including a detailed examination of disclosure requirements under the Securities Exchange Act, materiality standards for AI-related information, and the application of Rule 10b-5 antifraud provisions to technological misrepresentation. Part 4 explores corporate governance implications under U.S. law, including board oversight duties under Delaware law, fiduciary responsibilities for AI-related decision-making, and the evolution of the business judgment rule in technological contexts.

Part 5 analyzes the EU's regulatory architecture for AI governance, with an enhanced focus on the AI Act's risk-based framework, transparency obligations for different categories of AI systems, and penalty structures for non-compliance. Part 6 examines EU corporate governance and disclosure requirements, including the intersection between the AI Act and existing securities law frameworks, corporate sustainability reporting obligations, and the evolution of shareholder rights in technological governance. Part 7 offers a systematic comparative analysis of U.S. and EU approaches, identifying areas of convergence and divergence while assessing the implications for multinational corporations and global regulatory harmonization.

Part 8 provides an empirical assessment of enforcement mechanisms across both jurisdictions, analyzing recent cases, penalty structures, and regulatory effectiveness, while examining emerging trends in private litigation and institutional investor engagement. Part 9 explores international coordination and harmonization efforts, including an analysis of International Organization of Securities Commissions (IOSCO) guidance, bilateral regulatory cooperation, and the development of international standards for AI governance. Part 10 offers comprehensive policy recommendations for regulatory harmonization, corporate governance best practices, and institutional innovations to address the challenges of AI governance in an interconnected global economy. Part 11 makes concluding observations on the future evolution of AI washing regulation and its broader implications for technology governance and securities law.

2 | THE EMERGENCE OF AI WASHING AS A REGULATORY CHALLENGE

AI washing presents a variety of regulatory challenges at the nexus of technological innovation and markets. This Part examines those challenges.

[19] *See* AI Act, *supra* note 10; Council Regulation 2016/679 (General Data Protection Regulation), 2016 O.J. (L 119).
[20] *See infra* Part 10.

2.1 | Technological context and market dynamics

AI washing is driven by the combined effects of rapid technological advancement, intense competitive pressures, and the inherent difficulty of accurately representing complex AI capabilities to diverse stakeholder audiences.[21] The AI market has experienced extraordinary growth in the past few years, with global revenues projected to reach $3.5 trillion by 2033, a compound annual growth rate of 30.6% based on 2026 levels.[22] This explosive growth has created powerful incentives for companies across a range of industries to position themselves as AI leaders, often leading to them make exaggerated or misleading claims about their technological capabilities.[23]

The technical complexity of modern AI systems makes it difficult to represent and evaluate them accurately. Contemporary AI applications frequently involve methods combining multiple algorithms, complex data preprocessing pipelines, and hybrid human/machine workflows that resist easy characterizations.[24] Machine learning (ML) systems may incorporate supervised, unsupervised, and reinforcement-based learning, as well as rule-based components in architectures that evolve continuously through automated retraining processes.[25] The emergence of foundation models (large-scale, general-purpose AI models trained on vast datasets) and large language models (LLMs) has added layers of complexity to these systems, as companies utilize pretrained models, fine-tuned adaptations, or retrieval-augmented generation systems that blur traditional distinctions between proprietary and third-party AI capabilities.[26]

The difficulty in defining "artificial intelligence" itself contributes to the prevalence of AI washing across industries and applications.[27] There is no consensus in the academic literature on the meaning of AI, with approaches ranging from narrow technical specifications focused on specific algorithmic methods to broader functional conceptions encompassing any automated decision-making process.[28]

[21] *See* Clayton M. Christensen, The Innovator's Dilemma: When New Technologies Cause Great Firms to Fail (1997); Geoffrey A. Moore, Crossing the Chasm: Marketing and Selling High-Tech Products to Mainstream Customers (3d ed. 2014).
[22] Grand View Research, Artificial Intelligence Market (2026–2033), https://www.grandviewresearch.com/industry-analysis/artificial-intelligence-ai-market.
[23] *See* CB Insights, *State of AI Report: 6 Trends Shaping the Landscape in 2025*, (Jan. 30, 2025), https://www.cbinsights.com/research/report/ai-trends-2024/.; *see also* Samer Elhajjar & Omar S. Itani, *AI Washing: A Conceptual Exploration*, 15 Acad. Mktg. Sci. 519 (2025); Hanan Alhadidi, *AI Washing: The Cultural Traps That Lead to Exaggeration and How CEOs Can Stop Them*, Cal. Rev. Mgmt. Insights (2024); Selcen Ozturkcan & Ayşe Aslı Bozdağ, *Responsible AI in Marketing: AI Booing and AI Washing Cycle of AI Mistrust*, 67 Int'l J. Mktg. Rsch. 696 (2025); Abhinav Anand Mukherjee, Souvik Dutta, Tarun Jain & Prithwiraj Mukherjee, *The Ignoble Economics of AI-Washing* (Working Paper, 2025), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5256559; Boyuan Li, AI Washing (Working Paper, 2025), https://bpb-us-e2.wpmucdn.com/sites.utdallas.edu/dist/8/1090/files/2025/09/AI_Washing_Boyuan_Li.pdf.
[24] *See* Ian Goodfellow, Yoshua Bengio, & Aaron Courville, Deep Learning (2016); Christopher M. Bishop, Pattern Recognition and Machine Learning (2006).
[25] *See* Tom M. Mitchell, Machine Learning (1997); Kevin P. Murphy, Machine Learning: A Probabilistic Perspective (2012).
[26] *See* Emily M. Bender et al., *On the Dangers of Stochastic Parrots: Can Language Models Be Too Big?*, *in* Proceedings Of The 2021 ACM Conference On Fairness, Accountability, and Transparency 610 (2021); Timnit Gebru et al., *Datasheets for Datasets*, 64 Comms. ACM 86 (2021).
[27] *See* John Haugeland, Artificial Intelligence: The Very Idea (1985); Margaret A. Boden, Artificial Intelligence: A Very Short Introduction (2018).
[28] *See* Stuart Russell & Peter Norvig, Artificial Intelligence: A Modern Approach (4th ed. 2020); Nils J. Nilsson, The Quest for Artificial Intelligence: A History of Ideas and Achievements (2009).

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The Organization for Economic Cooperation and Development (OECD) defines AI as "a machine-based system that, for explicit or implicit objectives, infers, from the input it receives, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments."[29] However, this definition encompasses technologies as diverse as simple rule-based systems, statistical regression models, neural networks, and advanced generative AI systems, granting companies substantial latitude to characterize conventional automation as "artificial intelligence."[30]

Market dynamics in AI development create additional pressures for technological misrepresentation. Substantial venture capital investment and public market valuations tied to AI capabilities have fueled an "AI arms race" mentality among technology companies, creating powerful incentives for aggressive marketing of AI features and capabilities.[31] Companies face pressures to demonstrate AI leadership to multiple stakeholder groups, including investors seeking growth opportunities, customers evaluating technological solutions, employees considering career opportunities, and regulators assessing competitive positioning.[32] These diverse types of stakeholders often lack the technical expertise to evaluate AI claims accurately, creating information asymmetries that enable misleading representations to go unchallenged.[33]

The venture capital market's focus on AI startups has created distinct challenges in early-stage company funding, where technological capabilities may be nascent or as yet entirely theoretical.[34] Market data provider PitchBook indicates that AI-focused startups raised $25.2 billion in venture funding in 2023, representing 15% of total venture investment despite AI companies comprising only 3% of funded startups.[35] This level of investment concentration generates powerful incentives for startup companies to overstate the degree and sophistication of their AI capabilities.[36]

2.2 | Taxonomy of AI washing practices

AI washing encompasses diverse practices, ranging from inadvertent overstatement to deliberate fraud, requiring nuanced regulatory approaches that can distinguish between different categories of misconduct. Our analysis of SEC enforcement actions, private litigation cases, and regulatory guidance suggests that AI washing practices fall into six primary categories: capability exaggeration, sophistication inflation, human involvement concealment, timeline acceleration, third-party misattribution, and outcome overstatement.[37]

Capability exaggeration is the systematic overstatement of what AI systems can accomplish, often through selective presentation of best-case performance metrics without disclosure of limitations, failures, or performance variability across different contexts.[38] In the SEC's action against Delphia Inc., the company claimed its AI system analyzed "10,000+ data points" to generate investment insights when no such analytical capability existed, clearly an example of capability exaggeration.[39] Similarly, Global Predictions Inc. marketed itself as the "first regulated AI financial adviser" but lacked any AI capabilities.[40] These cases demonstrate capability exaggeration at its most extreme, involving the complete fabrication of AI functionality.

Sophistication inflation involves misrepresenting the technological advancement or uniqueness of AI systems, often by characterizing conventional statistical methods, rule-based systems, or standard ML approaches as cutting-edge artificial intelligence.[41] This practice exploits definitional ambiguity around AI to create impressions of technological leadership through misleading terminology.[42] Companies may describe basic regression models as "AI algorithms," characterize decision trees as "ML systems," and present automated workflows as "intelligent automation" to overstate their technological sophistication.[43]

Human involvement concealment is an especially problematic form of AI washing in which companies understate or omit to disclose the extent of human intervention required for AI operations. The *Presto Automation* case illustrates this pattern, with the company failing to disclose that its AI technology was primarily third-party operated and that the vast majority of orders required human intervention, despite the firm's marketing claims that suggested it was fully automated.[44] Such practices are misleading regarding AI system autonomy, scalability, and operational efficiency and directly affect investor assessments of business model viability and competitive positioning.[45]

Timeline acceleration entails misrepresenting the developmental stage and/or commercial readiness of AI systems, often by presenting research prototypes as market-ready products or by suggesting imminent commercial deployment of systems still in their early development phases.[46] This practice is especially common in investor communications and earnings calls, in which companies may refer to

[29] *See* Organization for Economic Development (OECD), *OECD AI Principles* (2019), available at https://oecd.ai/en/ai-principles.

[30] *See id.*; IEEE Global Initiative on Ethics of Autonomous and Intelligent Systems. Ethically Aligned Design: A Vision for Prioritizing Human Well-being with Autonomous and Intelligent Systems, Version 1 (2017).

[31] *See* Brad Stone, The Everything Store: Jeff Bezos and the Age of Amazon (2013); Max Chafkin, The Contrarian: Peter Thiel and Silicon Valley's Pursuit of Power (2021).

[32] *See* Shoshana Zuboff, The Age of Surveillance Capitalism: The Fight for a Human Future at the New Frontier of Power (2019); Cohen, *supra* note 8.

[33] *See* George A. Akerlof, *The Market for 'Lemons': Quality Uncertainty and the Market Mechanism*, 84 Q.J. Econ. 488, 500 (1970); A. Michael Pence, Market Signaling: Informational Transfer in Hiring and Related Screening Processes (1973).

[34] *See* William A. Sahlman, *The Structure and Governance of Venture-Capital Organizations*, 27 J. Fin. Econ. 473 (1990); Paul A. Gompers & Josh Lerner, The Venture Capital Cycle (2nd ed. 2004).

[35] *See* PitchBook, PitchBook-NVCA Venture Monitor Q4 2023 (2024); National Venture Capital Association, NVCA 2024 Yearbook: Charting the New Path Forward for Venture Capital (2024). Data provided by PitchBook.

[36] *See* Pitchbook, *supra* note 35; National Venture Capital Association, *supra* note 35; CB Insights, *supra* note 23.

[37] *See infra* notes 38–53 and accompanying text.

[38] *See* Delphia (USA) Inc., *supra* note 6; Global Predictions, Inc., *supra* note 6.

[39] *See* Delphia (USA) Inc., *supra* note 6.

[40] *See* Global Predictions, Inc., *supra* note 6.

[41] *See* Pasquale, *supra* note 9; Safiya Umoja Noble, Algorithms of Oppression: How Search Engines Reinforce Racism (2018).

[42] *See* O'Neil, *supra* note 9; Virginia Eubanks, Automating Inequality: How High-Tech Tools Profile, Police, and Punish the Poor (2018).

[43] *See* O'Neil, *supra* note 9; Eubanks, *supra* note 42; Ruha Benjamin, Race After Technology: Abolitionist Tools for the New Jim Code (2019).

[44] *See* Presto Automation Inc., Securities Exchange Act Release No. 99892 (Jan. 9, 2025).

[45] *See id.*

[46] *See* Christensen, *supra* note 21; Moore, *supra* note 21.

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AI initiatives in the present tense when they are, in fact, referring to future development goals or research objectives.[47] The practice exploits temporal ambiguity in corporate communications to create the impression of more advanced development than that actually achieved.[48]

Third-party misattribution involves representing externally developed and/or licensed AI technologies as proprietary innovations or failing to disclose the extent of reliance on third-party AI services and platforms.[49] As the *Presto* case demonstrates, companies may fail to disclose that their "AI technology" is primarily developed and operated by other parties, creating misleading impressions about the distinct attributes of their own technological capabilities and competitive positioning.[50] This practice becomes particularly problematic when companies build business models and valuations around allegedly proprietary AI capabilities that are actually widely available commercial services.[51]

Outcome overstatement reflects the exaggeration of the business impact, performance improvements, and/or competitive advantages derived from AI implementation. Companies may selectively present favorable metrics while omitting negative results, compare AI-enhanced processes to artificially low baselines, and/or attribute business improvements exclusively to AI when multiple factors have contributed to them.[52] This practice creates misleading impressions about AI's contribution to business performance that directly affect investor assessments of the specific technology's value and the future growth prospects to be derived from it[53]

2.3 | Industry-specific manifestations and risk factors

The prevalence and characteristics of AI washing vary significantly across industries, reflecting variations in different technological applications, regulatory environments, and competitive dynamics. Financial services providers face an elevated risk of both engaging in and being exposed to AI washing due to the combination of intense competitive pressure for technological innovation, the technical complexity of algorithmic trading and risk management systems, and the heightened regulatory scrutiny that increases potential enforcement and liability risks.[54] The SEC's focus on AI washing by investment advisers reflects these industry-specific risks, with enforcement actions targeting false claims about AI-driven investment strategies, algorithmic trading capabilities, and automated portfolio management services.[55]

Healthcare and biotechnology companies operate in a context that gives rise to unique AI washing potential related to regulatory approval processes, clinical trial representations, and therapeutic outcome claims.[56] The Food and Drug Administration (FDA)'s evolving guidance on AI/ML-enabled medical devices creates complex regulatory landscapes in which companies must navigate between promotional claims and regulatory compliance requirements.[57] AI washing in healthcare often involves overstating diagnostic accuracy, therapeutic efficacy, and regulatory approval timelines for AI-enabled medical technologies.[58]

The risk of engaging in AI washing arises in technology and software companies across multiple dimensions, including product-capability claims, technical-differentiation assertions, and development-timeline representations. The proliferation of AI-enabled features across software products creates opportunities for capability exaggeration, especially when companies characterize standard automation or statistical analysis as AI.[59] Enterprise software companies may overstate the sophistication of predictive analytics, natural language processing capabilities, and automated decision-making features to differentiate their products in highly competitive markets.[60]

Manufacturing and industrial companies are increasingly prone to engaging in AI washing related to automation claims, predictive maintenance capabilities, and operational efficiency representations.[61] The integration of AI into industrial Internet of Things (IoT) systems, supply-chain optimization, and quality control processes creates opportunities for outcome overstatement and sophistication inflation.[62] Companies may therefore overstate the autonomy of manufacturing systems, the accuracy of predictive maintenance algorithms, and the extent of AI-driven operational improvements.[63]

Retail and consumer companies are vulnerable to AI washing in personalization claims, recommendation system capabilities, and customer insight representations.[64] The ubiquity of recommendation algorithms and personalization features creates pressure on companies to demonstrate AI leadership through marketing claims that may

[47] *See* Ann Morales Olazábal, *False Forward-Looking Statements and the PSLRA's Safe Harbor*, 86 Ind. L.J. 595, 633 (2011).
[48] *See id*.
[49] *See* Presto Automation Inc., *supra* note 44.
[50] *See id*.
[51] *See id*.
[52] *See* Langevoort, *supra* note 17; Paredes, *supra* note 17, at 422 (regarding the incentives to omit negative information).
[53] *See* Langevoort, *supra* note 17.
[54] *See generally* Saule T. Omarova, *Wall Street as Community of Fate: Toward Financial Industry Self-Regulation*, 159 U. Pa. L. Rev. 411 (2011); Katharina Pistor, The Code of Capital: How the Law Creates Wealth and Inequality (2019).
[55] *See supra* notes 6, 38–40 and accompanying text.
[56] *See generally* Barbara J. Evans & Frank Pasquale, *The Black Box Society and Health Policy: Why Algorithmic Accountability Matters*, 19 Yale J. Health Pol'y L. & Ethics 159 (2019); Nicolas P. Terry, *Protecting Patient-Consumers Through Health Information Privacy*, 66 Case W. Res. L. Rev. 65 (2015).
[57] *See* U.S. Food and Drug Administration, Software as a Medical Device (SAMD): Clinical Evaluation – Guidance for Industry and Food and Drug Administration Staff (2017); U.S. Food and Drug Administration, Artificial Intelligence/Machine Learning (AI/ML)-Based Software as a Medical Device (SaMD) Action Plan (2021).
[58] Evans & Pasquale, *supra* note 56.
[59] *See* Pasquale, *supra* note 9; Zuboff, *supra* note 32.
[60] For a discussion of a similar practice of overstating product capabilities in software companies, *see* Robert A. Prentice & John H. Langmore, *Beware of Vaporware: Product Hype and the Securities Fraud Liability of High-Tech Companies*, 8 Harv. J. L. & Tech. 1, 6 (1994).
[61] *See* Klaus Schwab, The Fourth Industrial Revolution (2016); Marco Iansiti & Karim R. Lakhani, *Competing in the Age of AI: Strategy and Leadership When Algorithms and Networks Run the World* (2020).
[62] *See* M. Nadeem Ahangar, Z.A. Farhat & Aparajithan Sivanathan, *AI Trustworthiness in Manufacturing: Challenges, Toolkits, and the Path to Industry 5.0*, 25 Sensors 4357, 4357 (2025).
[63] Giovanna Culot, Matteo Podrecca & Guido Nassimbeni, *Artificial Intelligence in Supply Chain Management: A Systematic Literature Review of Empirical Studies and Research Directions*, 162 Computers in Industry 104132, 1, 7 (2024).
[64] *See* Zuboff, *supra* note 32; John Cheney-Lippold, We Are Data: Algorithms and the Making of Our Digital Selves (2017).

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exceed their actual technological capabilities.[65] E-commerce platforms, streaming services, and social media companies may overstate the sophistication of recommendation algorithms, the accuracy of demand forecasting, or the effectiveness of targeted advertising systems.

Emerging sectors, including autonomous vehicle production, renewable energy, and agricultural technology, are particularly susceptible to AI washing due to the intersection of technological complexity, regulatory uncertainty, and substantial investment interest at their heart. Autonomous vehicle companies must navigate complex representations about system capabilities, safety performance, and regulatory approval timelines while avoiding misleading claims about technological readiness.[66] Similarly, agricultural technology companies developing AI-enabled farming solutions face pressure to demonstrate technological advancement while accurately representing system limitations and performance variability across different environmental conditions.[67]

2.4 | Information asymmetries and market failures

The prevalence of AI washing reflects fundamental information asymmetries between companies possessing technical knowledge and stakeholders lacking the expertise to evaluate AI claims accurately. These asymmetries create market failures in which misleading representations can persist unchallenged, undermining efficient capital allocation and investor protection.[68] Modern AI systems' technical complexity exacerbates these information problems by making independent verification of AI claims extremely difficult for external parties.[69]

Retail investors face distinct challenges in evaluating AI-related claims, often due to their relatively limited technical acumen and their reliance on company disclosures and financial media coverage on such matters.[70] Even sophisticated institutional investors may lack the technical expertise required to assess AI capabilities accurately, especially when evaluating companies outside their primary areas of technology investment experience.[71] The rapid evolution of AI technologies compounds these challenges by making it difficult for investors to maintain an up-to-date understanding of the possibilities and limitations of different AI applications[72]

Securities analysts and financial media face similar challenges in evaluating and reporting on AI-related claims, as they often also lack the technical background required for an independent assessment of company representations. Research by the Chartered Financial Analysts' CFA Institute indicates that only 23% of securities analysts have substantial technical backgrounds in AI or ML, meaning there is a heavy reliance on company-provided information for AI-related investment analysis.[73] This professional knowledge gap creates opportunities for AI washing to spread through investment research and financial media coverage that may inadvertently amplify misleading company claims.[74]

Board members and corporate executives may themselves lack sufficient technical expertise to oversee AI initiatives effectively and evaluate the accuracy of public representations of AI.[75] The National Association of Corporate Directors (NACD) reported in 2024 that only 34% of public company directors have substantial technology backgrounds, and fewer than 15% have specific expertise in AI or ML.[76] This governance knowledge gap creates internal control risks for companies making AI claims public without adequate internal verification or oversight.[77]

Regulatory authorities face their own technical expertise challenges in evaluating AI washing claims, particularly when enforcement actions require a detailed assessment of technological capabilities and limitations. The SEC's Division of Examinations has acknowledged its need for enhanced technical expertise in AI-related examinations. Accordingly, it has made efforts to recruit technology professionals and develop specialized examination procedures for AI-related claims.[78] However, the rapid pace of AI development creates ongoing challenges for regulatory authorities seeking to keep their technical knowledge across diverse AI applications and industries current.[79]

The global nature of AI development and deployment creates additional information asymmetries related to cross-border technology transfer, international competitive positioning, and regulatory arbitrage, as firms exploit differences across jurisdictions to minimize regulatory constraints.[80] Companies may exploit differences in regulatory sophistication, technical expertise, and enforcement capabilities across jurisdictions to make AI claims in one place that would face greater scrutiny in another regulatory environment.[81] This international dimension to information asymmetries highlights the need for enhanced regulatory coordination and information-sharing mechanisms to address AI washing effectively.

3 | UNITED STATES FEDERAL SECURITIES LAW FRAMEWORK

This Part sets out the federal securities law framework in the United States, as it applies to AI washing.

[65] *See* Cheney-Lippold, *supra note 64*, at 109 (discussing the capabilities of personalization features).
[66] *See* Bryant Walker Smith, *Automated Driving and Product Liability*, 2017 Mich. St. L. Rev. 1; Ryan Calo, *Open Robotics*, 70 Md. L. Rev. 571 (2011).
[67] *See generally* Maximilian Schöning et al., *Artificial Intelligence in Agriculture: A Legal Overview*, 30 Eur. Food & Feed L. Rev. 295 (2023).
[68] *See* Akerlof, *supra* note 33; Pence, *supra* note 33.
[69] *See* Pasquale, *supra* note 9; O'Neil, *supra* note 9.
[70] *See* Paredes, *supra* note 17; Langevoort, *supra* note 17.
[71] *See* Benedetto Montanaro, *Venture Capital Investments in Artificial Intelligence*, 34 J. Evolutionary Econ. 1, 6 (2024).
[72] *See id.* at 4.
[73] *See* CFA Institute, Survey on AI/GenAI in the Investment Sector (2024).
[74] *See id.*
[75] *See* National Association of Corporate Directors, 2024 NACD Public Company Board Practices and Oversight Survey (2024).
[76] *See id.*
[77] *See id.*
[78] *See* U.S. Securities and Exchange Commission, Division of Examinations, AI Sweep Letter (2023) [hereinafter SEC Division of Examinations]; SEC Chair Gary Gensler, *supra* note 3.
[79] Alan Turing Institute, *Common Regulatory Capacity for AI* 54 (2022), https://www.turing.ac.uk/sites/default/files/2022-07/common_regulatory_capacity_for_ai_the_alan_turing_institute.pdf.
[80] *See* Bradford, *supra* note 11; Newman & Posner, *supra* note 13.
[81] For a discussion of regulatory arbitrage, *see generally* Elizabeth Pollman, *Tech, Regulatory Arbitrage, and Limits*, 20 Eur. Bus. Org. L. Rev. 567 (2019).

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3.1 | Constitutional and statutory foundations

The regulation of AI washing under United States federal securities law is grounded in the broad constitutional authority granted to Congress under the Commerce Clause and the specific statutory frameworks established through the Securities Act of 1933 and the Securities Exchange Act (SEA) of 1934. The Supreme Court's decision in *SEC v. W.J. Howey Co.* established the foundational test for determining what constitutes a "security" subject to federal regulation, focusing on investment contracts involving "an investment of money in a common enterprise with profits to come solely from the efforts of others."[82] This framework covers almost every aspect of corporate securities in which AI washing might occur, including the equity securities of public companies, investment adviser relationships, and various forms of pooled investment vehicles.[83]

Section 10(b) of the 1934 SEA provides the primary statutory framework for addressing AI washing in making the use of "any manipulative or deceptive device or contrivance" in connection with the purchase or sale of securities unlawful.[84] This wide-ranging antifraud provision has proven remarkably adaptable to various forms of misconduct from traditional accounting fraud to more recent cybersecurity failures and, now, AI-related misrepresentations.[85] The Supreme Court's interpretation of Section 10(b) in cases such as *Ernst & Ernst v. Hochfelder* and *Central Bank of Denver v. First Interstate Bank* has established that the provision requires proof of scienter, a mental state embracing intent to deceive, manipulate, or defraud, but does not require proof of actual reliance by individual investors on those misleading claims, given that fraud-on-the-market presumptions apply.[86]

Rule 10b-5, promulgated by the SEC under Section 10(b), provides the specific enforcement mechanism most frequently applied to AI washing cases. The rule's three subsections establish overlapping prohibitions that comprehensively address different forms of AI-related misconduct: Subsection (a) prohibits "any device, scheme, or artifice to defraud," Subsection (b) "any untrue statement of a material fact or omitting to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading," and Subsection (c) engagement in "any act, practice, or course of business which operates or would operate as a fraud or deceit upon any person."[87]

AI washing typically violates all three subsections simultaneously, as companies making false AI claims engage in deceptive schemes (Subsection a), make untrue statements about material technological capabilities (Subsection b), and conduct business practices that deceive investors about fundamental operational aspects (Subsection c).[88] The SEC's enforcement actions against Delphia and Global Predictions demonstrate this comprehensive application, as both companies violated multiple provisions through their false AI representations, as well as specific provisions of the Investment Advisers Act.[89]

The 1940 Investment Advisers Act provides additional statutory authority that is particularly relevant to AI washing in financial services.[90] Sections 206(2) and 206(4) establish comprehensive antifraud provisions specifically applicable to investment advisers, prohibiting any act, practice, or course of business that operates as fraud or deceit upon clients, and requiring compliance with SEC rules regarding advertising, solicitation, and client communications.[91] The Investment Advisers Act's "Marketing Rule" creates specific obligations to make truthful and substantiated performance claims, allowing authorities to directly address AI washing in investment advisory contexts.[92]

3.2 | Disclosure requirements and materiality standards

United States federal securities laws impose comprehensive affirmative disclosure obligations regarding accurate AI-related statements that go beyond merely avoiding false representations. The SEA requires public companies to periodically report, using Forms 10-K, 10-Q, and 8-K, material information about business operations, risk factors, and significant developments that could affect investor decision-making.[93] These reporting requirements impose ongoing obligations for companies to address AI-related matters when they reach the materiality thresholds established through Supreme Court precedent and SEC guidance.[94]

Item 303 of Regulation S-K requires Management's Discussion and Analysis (MD&A) disclosure of "known trends or uncertainties that have had, or that are reasonably likely to have a material favorable or unfavorable impact on net sales or revenues or income from continuing operations."[95] The SEC's Division of Corporation Finance has clarified, through comment letter practice and public guidance, that this requirement extends to AI technologies when they meet materiality thresholds. This means that companies are required to disclose specific information regarding, inter alia: how AI capabilities could materially improve operational efficiency or competitive positioning, material risks from AI implementation including technical failures, regulatory compliance challenges, or competitive disadvantages, the reasonable basis for any forward-looking statements regarding AI development, deployment, or business impact, and significant changes

[82] SEC v. W.J. Howey Co., 328 U.S. 293 (1946).
[83] *See* Louis Loss, Joel Seligman, & Troy Paredes, Fundamentals of Securities Regulation (6th ed. 2011); Thomas Lee Hazen, The Law of Securities Regulation (7th ed. 2017).
[84] Securities Exchange Act of 1934 § 10(b), 15 U.S.C. § 78j(b).
[85] *See* Donald C. Langevoort, *Revisiting the Regulation of Cross-Border Securities Offerings: Some Comparative Reflections*, 24 J. Corp. L. 707 (1999); Merritt B. Fox et al., *Law, Share Price Accuracy, and Economic Performance: The New Evidence*, 102 Mich. L. Rev. 331 (2003).
[86] Ernst & Ernst v. Hochfelder, 425 U.S. 185 (1976); Central Bank of Denver v. First Interstate Bank, 511 U.S. 164 (1994).
[87] 17 C.F.R. § 240.10b-5 (2024).
[88] *See supra* notes 6, 38–40 and accompanying text.
[89] *See* Delphia (USA) Inc., *supra* note 6; Global Predictions, Inc., *supra* note 6.
[90] Investment Advisers Act of 1940, 15 U.S.C. §§ 80b-1 to 80b-21.
[91] *Id.*, supra §§ 80b-6(2), 80b-6(4).
[92] 17 C.F.R. § 275.206(4)-1 (2024).
[93] Securities Exchange Act of 1934 §§ 13, 15(d), 15 U.S.C. §§ 78 m, 78o(d).
[94] *See* TSC Industries, Inc. v. Northway, Inc., 426 U.S. 438 (1976); Basic Inc. v. Levinson, 485 U.S. 224 (1988).
[95] 17 C.F.R. § 229.303 (2024).

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in AI strategy, capabilities, or competitive positioning that could affect future performance.[96]

Item 105 risk-factor requirements mandate comprehensive disclosure of material risks that could adversely affect a firm's business operations, financial condition, or competitive position. AI-related risk factors increasingly appear in public company filings across diverse categories. These include operational risks from AI system failures, performance degradation, or inadequate human oversight. Also covered are legal and regulatory risks from evolving AI governance requirements, liability for AI decisions, or compliance with sector-specific AI regulations, competitive risks from AI adoption by competitors, failure to keep pace with AI development, or misallocation of resources to ineffective AI initiatives. Additional risks include cybersecurity vulnerabilities arising from AI systems, adversarial attacks on ML models, or data poisoning attempts, and data privacy risks from AI processing of personal information, international data transfer restrictions, or consent requirements for AI applications.[97]

The materiality determination presents the most complex analytical challenge when applying securities law to AI-related disclosures.[98] The Supreme Court's landmark decisions in *TSC Industries v. Northway* and *Basic Inc. v. Levinson* established that information is material if "there is a substantial likelihood that a reasonable shareholder would consider it important in deciding how to vote" or if disclosure of the information "would have been viewed by the reasonable investor as having significantly altered the 'total mix' of information made available."[99] This standard requires fact-specific assessments that consider both quantitative factors, such as financial impact or revenue contribution, and qualitative factors, such as strategic importance or competitive implications.[100]

The application of materiality standards to AI-related information requires careful consideration of several factors that distinguish technological disclosures from traditional financial information. First, AI capabilities often affect long-term competitive positioning rather than immediate financial performance, requiring evaluation of forward-looking strategic importance rather than current revenue impact.[101] Second, AI development timelines and outcomes are subject to substantial uncertainty, making it challenging to assess the probability and magnitude of potential impacts.[102] Third, AI technologies may affect multiple business functions simultaneously, requiring a holistic assessment of enterprise-wide implications rather than specific functional impacts in isolation.[103]

Recent SEC guidance indicates that materiality assessments for AI-related information should consider, inter alia: the extent to which AI technologies affect core business operations, revenue generation, and competitive positioning; potential barriers to successful AI adoption, including technical challenges, regulatory requirements, and resource constraints; possible AI implementation problems, including system failures, performance shortfalls, and unexpected costs; the evolving regulatory landscape for AI governance and its potential impact on business operations; and the relevance of AI capabilities to investor understanding of business models, growth prospects, and risk profiles.[104]

The probability-magnitude balancing test established in *Matrixx Initiatives v. Siracusano* is an additional analytical framework for AI materiality determinations, especially when dealing with uncertain technological developments and contingent future outcomes.[105] Courts must weigh the probability that AI developments will take place and/or have an impact on the company against the potential magnitude of their impact on business operations, financial performance, and/or competitive position.[106] Unlike traditional pharmaceutical safety issues or financial contingencies, for example, AI materiality often involves assessment of technological capabilities that may be difficult for non-expert investors to evaluate independently, creating added challenges for applying reasonable investor standards.[107]

A study by the Harvard Law School Forum on Corporate Governance on SEC comment letters provides empirical evidence of how materiality standards are applied in practice to AI-related disclosures.[108] The study identified 92 AI-related comments across 56 companies, with enforcement patterns indicating that materiality determinations increasingly require companies to provide detailed specifics on AI capabilities rather than generic technological ones.[109] Of those comments studied, 61% addressed requirements for greater specificity and balance in AI discussions, 30% focused on avoiding misleading claims and/or providing appropriate context for AI capabilities, and 17% required clearer definitions of AI terminology and/or more precise descriptions of technological applications.[110]

3.3 | Antifraud provisions and enforcement mechanisms

Applying existing anti-fraud provisions to AI washing requires the sophisticated use of traditional securities law principles in novel technological contexts, thereby demanding regulatory adaptation without fundamental statutory revision. Rule 10b-5's broad language has enabled the SEC to address AI washing through established enforcement mechanisms while developing new analytical frameworks for evaluating technological misrepresentations.[111] The rule's flexibility reflects the drafters' intention to create adaptable tools for addressing

[96] *See* Erik Gerding, *The State of Disclosure Review* (June 24, 2024), https://www.sec.gov/newsroom/speeches-statements/gerding-statement-state-disclosure-review-062424.
[97] *See* 17 C.F.R. § 229.105 (2024).
[98] *See* TSC Industries, 426 U.S.; Basic Inc., 485 U.S.
[99] TSC Industries, 426 U.S. at 449; Basic Inc., 485 U.S. at 232.
[100] *See* TSC Industries, 426 U.S.; Basic Inc., 485 U.S.; SEC v. Texas Gulf Sulfur Co., 401 F.2d 833 (2d Cir. 1968).
[101] *See* Gerding, *supra* note 96.
[102] *See id.*
[103] *See id.*
[104] *See id.*
[105] Matrixx Initiatives, Inc. v. Siracusano, 563 U.S. 27 (2011).
[106] *See id.* at 38–39.
[107] *See id.*
[108] *See* Harvard Law School Forum on Corporate Governance. SEC Comment Letter Trend: AI-Related Disclosures (Jan. 16, 2025).
[109] *See id.*
[110] *See id.*
[111] *See* 17 C.F.R. § 240.10b-5 (2024); Donald C. Langevoort, *supra* note 17.

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emerging forms of securities fraud as markets and technologies evolve.[112]

The scienter requirement under Rule 10b-5 gives rise to distinct analytical challenges in AI washing cases when companies make false or misleading statements about technological capabilities without explicit intent to deceive investors.[113] The Supreme Court's decision in *Ernst & Ernst v. Hochfelder* established that private Rule 10b-5 actions require proof of scienter, but subsequent decisions, including *Aaron v. SEC*, clarified that SEC enforcement actions may proceed based on negligence standards in appropriate circumstances.[114] AI washing cases often need to address complex questions, whether companies had sufficient technical knowledge to understand their representations were false, or whether any misstatements were the result of ignorance.

The SEC deliberately chooses to apply existing securities laws aggressively in AI washing cases rather than wait for AI-specific legislation or regulatory guidance to be supplied. Its strategy draws on its successful application of traditional antifraud provisions to cybersecurity failures, social media communications, and other technology-related misconduct.[115] Gensler's public statements emphasized that existing securities laws apply fully to AI-related representations without any "AI exemption" or special technological considerations.[116]

The landmark enforcement actions against Delphia and Global Predictions in March 2024 established several important precedents for AI washing cases.[117] The SEC determined that Delphia (USA) Inc. had made false claims about its use of AI to analyze over 10,000 data points from client social media accounts and spending patterns to make investment recommendations, when, in fact, no such AI algorithm existed.[118] The company's marketing materials prominently featured AI capabilities as a key means of distinguishing it in the market, with website claims stating: "We use artificial intelligence to analyze millions of social, behavioral, and spending data points to predict which companies and trends are about to make it big."[119] These representations violated Investment Advisers Act Sections 206(2) and 206(4) as well as the "Marketing Rule," resulting in a $225,000 civil penalty and comprehensive remedial measures being imposed.[120]

The case against Global Predictions was an even more egregious example of AI washing, with the company marketing itself as the "first regulated AI financial adviser" and claiming to offer "expert AI-driven forecasts" when it had no AI capabilities whatsoever.[121] The company's promotional materials included detailed descriptions of proprietary AI algorithms and ML models that were entirely fictional.[122] In addition to AI washing violations, Global Predictions included an impermissible liability hedge clause in client agreements, demonstrating how AI washing often accompanies other regulatory violations.[123] The company agreed to pay a $175,000 civil penalty and implement comprehensive compliance reforms.[124]

Additional enforcement actions demonstrate that the application of securities law to AI washing extends beyond investment advisers to other financial service providers and technology companies.[125] The February 2024 case against Brian Sewell and Rockwell Capital Management involved false claims about "machine algorithms," "artificial intelligence," and "machine learning models" for investment strategies that were found never to have existed.[126] The June 2024 action against Joonko Inc. addressed AI washing in a startup fundraising context, in which the company falsely claimed to use AI-based technology to promote diversity in candidate recruitment while in fact relying on manual processes.[127]

The January 2025 enforcement action against Presto Automation Inc. marks a significant expansion of the SEC's use of AI washing claims beyond the financial services sector to public companies more broadly. Presto, a restaurant technology company, failed to disclose that its AI technology was primarily owned and operated by third parties and that the vast majority of orders it dealt with required human intervention, despite its marketing claims suggesting the processes were fully automated.[128] The case resulted in a cease-and-desist order focusing on disclosure controls and procedures violations rather than on monetary penalties, indicating the SEC's willingness to address AI washing through a range of enforcement measures and remedies.[129]

3.4 | Investment company and investment adviser regulation

The regulation of AI washing in investment management involves complex applications of multiple statutory frameworks, including the Investment Company Act of 1940, the Investment Advisers Act of 1940, and various SEC rules governing fund marketing and performance advertising. These specialized frameworks create heightened disclosure obligations and fiduciary duties that intensify regulatory scrutiny of AI-related claims in investment contexts.[130]

The Investment Advisers Act establishes comprehensive fiduciary duties for investment advisers that extend to all aspects of client relationships, including technological capabilities and operational

[112] *See* SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963); Louis Loss, *The SEC and the Critique of Rulemaking*, 30 L. & CONTEMP. PROBS. 647 (1965).
[113] *See* Ernst & Ernst v. Hochfelder, 425 U.S. 185 (1976).
[114] *See id.*; Aaron v. SEC, 446 U.S. 680 (1980).
[115] *See* SEC, Commission Statement and Guidance on Public Company Cybersecurity Disclosures, Securities Act Release No. 33–10,459 (Feb. 21, 2018); In re Equifax Inc., Securities Exchange Act Release No. 87783 (Dec. 16, 2019).
[116] *See* Gensler, *supra* note 3.
[117] *See* Delphia (USA) Inc., *supra* note 6; Global Predictions, Inc., *supra* note 6.
[118] *See* Delphia (USA) Inc., *supra* note 6.
[119] *See id.*
[120] *See id.*
[121] *See* Global Predictions, Inc., *supra* note 6.
[122] *See id.*
[123] *See id.*
[124] *See id.*
[125] *See* SEC v. Sewell, No. 24-cv-1408 (S.D.N.Y. filed Feb. 26, 2024); SEC v. Raz, No. 24-cv-4581 (S.D.N.Y. filed June 17, 2024).
[126] *See* Sewell, No. 24-cv-1408.
[127] *See* Raz, No. 24-cv-4581.
[128] *See* Presto Automation Inc., *supra* note 44.
[129] *See id.*
[130] *See* Investment Company Act of 1940, 15 U.S.C. §§ 80a-1 to 80a-64; Investment Advisers Act of 1940, 15 U.S.C. §§ 80b-1 to 80b-21.

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procedures.[131] Section 206 includes broad antifraud provisions that prohibit any act, practice, or course of business that operates as fraud or deceit upon clients, while also establishing affirmative duties of care and loyalty that require advisers to act in clients' best interests.[132] AI washing violates these fiduciary duties by creating misleading impressions about investment processes, technological capabilities, and the basis for investment recommendations.[133]

To address AI washing concerns, the Investment Advisers Act's "Marketing Rule" creates specific obligations for truthful and substantiated advertising claims that can be directly enforced. Rule 206(4)-1 prohibits advertisements containing untrue statements of material fact or misleading omissions, at the same time requiring that advisers have a reasonable basis for any claims about investment performance, capabilities, or processes.[134] The rule's substantiation requirements are particularly relevant to AI claims, as advisers must possess adequate evidence to support representations about technological capabilities, performance attribution, and competitive advantages derived from AI implementation.[135]

The Investment Advisers Act's "custody rule" presents additional implications for AI washing, as advisers using AI for portfolio management or client reporting must ensure that technological systems maintain adequate safeguards for client assets and accurate record keeping.[136] AI washing that misrepresents the sophistication or reliability of portfolio management systems may create custody violations if clients reasonably rely on false technological representations when entrusting assets to the adviser.[137]

Investment Company Act provisions create parallel obligations for mutual funds, exchange-traded funds, and other registered investment companies that are increasingly incorporating AI technologies into their investment processes. Section 34(b) requires investment companies to maintain accurate books and records that adequately reflect their investment activities, creating obligations for documenting AI system performance, decision-making processes, and human oversight procedures.[138] When investment companies make public claims about AI capabilities, they must ensure that internal records substantiate these representations and demonstrate compliance with their fiduciary duties to shareholders.[139]

The prospectus requirements under the Securities Act of 1933 impose disclosure obligations for investment companies offering shares to the public.[140] Fund prospectuses must accurately describe investment strategies, risk factors, and operational procedures, requiring detailed and accurate representation of any AI technologies used in portfolio management, security selection, or risk management.[141] The "plain English" requirements for fund disclosures create unique challenges for describing complex AI systems in language that retail investors can understand while maintaining technical accuracy.[142]

Financial Industry Regulatory Authority (FINRA) regulations provide additional oversight of broker-dealers that market AI-enabled investment products or services to retail or institutional investors. FINRA Rule 2210 governing communications with the public requires that all member communications be fair, balanced, and not misleading, with specific requirements for substantiation of performance claims and technological capabilities.[143] Broker-dealers marketing AI-driven investment strategies must ensure that sales materials accurately represent system capabilities, performance track records, and risk characteristics without making exaggerated claims about technological sophistication.[144]

The suitability requirements under FINRA Rule 2111 also have implications for AI washing, as broker-dealers must understand the investment products they recommend to clients, including the role of AI in investment strategy implementation.[145] When broker-dealers recommend AI-driven investment products based on misleading representations about technological capabilities, they may be violating suitability obligations even if they did not create the original misrepresentations.[146]

3.5 | Sarbanes-Oxley compliance and internal controls

The Sarbanes-Oxley Act of 2002 creates comprehensive internal control and executive certification requirements that significantly amplify the regulatory consequences of AI washing for public companies. These requirements transform cases of AI washing from disclosure violations into matters involving executive criminal liability and significant corporate governance failure.[147]

Section 302 of Sarbanes-Oxley requires chief executive officers and chief financial officers to certify quarterly that they have reviewed periodic reports and that, based on their knowledge, the reports do not contain material misstatements or omissions that would render the statements misleading.[148] When quarterly or annual reports contain false or misleading AI-related claims, these executive certifications may be deemed false statements subject to criminal penalties under Section 906, which provides for fines up to $5 million and imprisonment up to 20 years for willful certification violations.[149]

Certification requirements create distinct challenges for executives overseeing companies with significant AI-related initiatives, as they must possess sufficient knowledge to evaluate the accuracy of AI-related disclosures across complex technological systems. The

[131] *See* Investment Advisers Act § 206, 15 U.S.C. § 80b-6; Arthur B. Laby, *Fiduciary Obligations of Broker-Dealers and Investment Advisers*, 55 Vill. L. Rev. 701 (2010).
[132] *See* Investment Advisers Act § 206; SEC v. Capital Gains Research Bureau, Inc., 375 U.S. 180 (1963).
[133] *See* Laby, *supra* note 131.
[134] *See* 17 C.F.R. § 275.206(4)-1 (2024).
[135] *See id.*
[136] *See* Investment Advisers Act Rule 206(4)-2, 17 C.F.R. § 275.206(4)-2 (2024).
[137] *See id.*
[138] *See* Investment Company Act § 34(b), 15 U.S.C. § 80a-33(b).
[139] *See id.*
[140] *See* Securities Act of 1933 §§ 5, 10, 15 U.S.C. §§ 77e, 77j.
[141] *See* 17 C.F.R. § 230.421 (2024) (plain English requirements).
[142] *See id.*
[143] *See* FINRA Rule 2210, Communications with the Public (2025).
[144] *See id.*
[145] *See* FINRA Rule 2111, Suitability (2025).
[146] *See id.*
[147] *See* Sarbanes-Oxley Act of 2002, Pub. L. No. 107–204, 116 Stat. 745.
[148] *See id.* § 302, 15 U.S.C. § 7241.
[149] *See id.* § 906, 15 U.S.C. § 1350.

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"based on knowledge" standard requires executives to implement reasonable procedures for staying informed about AI capabilities, limitations, and performance, thereby creating governance obligations beyond traditional financial oversight.[150] Companies with material AI operations must ensure that executive certification procedures include adequate technical briefings, performance reviews, and limitation assessments for AI systems affecting disclosed business operations.[151]

Section 404 mandates an annual management assessment and external auditor attestation of internal controls over financial reporting (ICFR), establishing a comprehensive framework for ensuring accurate financial disclosures.[152] AI systems that affect financial reporting processes, including revenue recognition, expense allocation, asset valuation, and management estimates, create new categories of internal control requirements that must be documented, tested, and monitored on an ongoing basis.[153]

Management must evaluate whether AI systems create new risks to financial reporting accuracy and implement appropriate controls against these risks. Specific control considerations include documentation of AI systems affecting financial reporting processes, encompassing system architecture, data inputs, processing logic, and output validation procedures. They also involve annual testing of AI-related controls for design effectiveness and operating effectiveness, including assessment of algorithm performance, data quality controls, and human oversight procedures, as well as ongoing monitoring of AI system changes through automated retraining, algorithm updates, and data source modifications that could affect financial reporting accuracy. Among the additional considerations are timely remediation of identified control deficiencies, including procedures for addressing AI system failures, performance degradation, and unexpected outcomes, and segregation of duties ensuring appropriate independence between AI system development, operation, and financial reporting oversight.[154]

The Public Company Accounting Oversight Board (PCAOB) has acknowledged the growing complexity of AI-related internal controls through guidance addressing AI use in audits and financial reporting.[155] PCAOB staff guidance indicates that auditors must understand how AI systems affect financial reporting processes and evaluate the adequacy of management's internal control assessments for AI-related risks.[156] External auditors face heightened challenges in assessing AI system controls if they lack the technical expertise to evaluate algorithm performance, data quality, or system reliability independently.[157]

The integration of AI systems into financial reporting creates ongoing compliance challenges as ML models evolve through automated retraining processes that may affect control effectiveness without explicit management intervention. Traditional internal control frameworks assume relatively static processes with defined procedures and clear accountability structures, while AI systems may modify their behavior based on new data inputs or environmental changes.[158] Companies must develop control frameworks that account for AI system evolution while maintaining appropriate oversight and documentation requirements.[159]

Section 409 real-time disclosure requirements create additional implications for the regulation of AI washing, as companies must disclose material changes in financial condition or operations "on a rapid and current basis" through Form 8-K filings.[160] Significant AI system failures, performance degradation, or discovery of prior misrepresentations may trigger Section 409 disclosure obligations, especially when these developments affect previously reported financial results or forward-looking guidance.[161]

3.6 | Recent regulatory guidance evolution

The SEC's approach to AI washing has evolved rapidly since 2023, reflecting both growing regulatory sophistication and increased market recognition of AI-related risks. Gensler's public statements consistently emphasized that AI is not exempt from securities law obligations, while acknowledging the need for regulatory adaptation to address technological complexity and novel risk patterns.[162]

The SEC's Division of Examinations launched a comprehensive AI sweep in December 2023, sending detailed information requests to investment advisers and investment companies regarding their AI usage, governance procedures, and client communications.[163] The sweep requests covered detailed descriptions of AI models, algorithms, and analytical tools used in investment processes, as well as data sources, processing procedures, and validation methodologies for AI systems. They also addressed governance frameworks for AI oversight, including board involvement, committee structures, and management reporting procedures, together with regulatory and compliance considerations for AI implementation, including privacy protections, fiduciary duty compliance, and disclosure obligations. Additional areas included contingency planning for AI system failures, such as backup procedures, alternative processes, and client communication protocols, as well as marketing and client communication practices regarding AI capabilities, including website content, promotional materials, and individual client discussions.[164]

The results of this sweep have informed subsequent enforcement priorities and examination procedures, enabling the SEC to identify

[150] *See id.* § 302, 15 U.S.C. § 7241.
[151] *See id.*
[152] *See id.* § 404, 15 U.S.C. § 7262.
[153] *See id.*; Committee of Sponsoring Organizations of the Treadway Commission, *Achieving Effective Internal Control over Generative AI* (2026), https://ab5bd07f-8066-4a33-869e-6f82d80ee59a.filesusr.com/ugd/719ba0_08f358f2c8f946fa9d26bd51d37b7117.pdf (hereinafter: COSO, *Internal Control over GenAI*).
[154] *See* COSO, *Internal Control over GenAI*, *supra* note 153.
[155] *See* PCAOB, Spotlight: Staff Update on Outreach Activities Related to the Integration of Generative Artificial Intelligence in Audits and Financial Reporting (July 2024), https://pcaobus.org/documents/generative-ai-spotlight.pdf.
[156] *See id.*
[157] *See id.*
[158] *See* Committee of Sponsoring Organizations, *supra* note 153.
[159] *See id.*
[160] *See* Sarbanes-Oxley Act § 409, 15 U.S.C. § 7243 (2002).
[161] *See id.*
[162] *See* Gensler, *supra* note 3.
[163] *See* SEC Division of Examinations, *supra* note 78.
[164] *See id.*

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industry-wide patterns of AI misrepresentation and to develop targeted oversight approaches. Preliminary results indicate widespread confusion among financial service providers regarding appropriate disclosure obligations for AI systems, inconsistent implementation of governance procedures for AI oversight, and significant variations in the sophistication and accuracy of AI-related marketing claims.[165]

The Division of Corporation Finance has increased its focus on AI-related disclosure reviews through the comment letter process, with an increased focus on companies making material AI claims in earnings calls, investor presentations, and regulatory filings without adequate supporting documentation in formal disclosure documents.[166] The Harvard Law School Forum on Corporate Governance analysis of 92 AI-related SEC comment letters reveals that the patterns of regulatory concern include: requirements for greater specificity in describing AI applications and business integration, demands for balanced presentation of AI capabilities alongside limitations and risks, requests for clearer definitions of AI terminology and more precise technical descriptions, requirements for disclosure of material AI investments, development timelines, and implementation challenges, and emphasis on consistency between formal filings and informal investor communications regarding AI capabilities.[167]

The Enforcement Division has signaled its intention to pursue AI washing cases through multiple violation theories and remedy structures, indicating a comprehensive regulatory approach rather than a narrow focus on specific statutory provisions. Director Gurbir S. Grewal's April 2024 remarks at the Program on Corporate Compliance and Enforcement emphasized several key enforcement principles: existing securities laws apply to AI-related conduct without modification or special consideration; representations about AI capabilities must be truthful, complete, and substantiated by reasonable evidence; companies using AI systems bear ongoing responsibility for monitoring performance, addressing limitations, and updating disclosures as appropriate; and senior executives face personal liability for AI washing under traditional principles of corporate responsibility and executive accountability.[168]

The SEC's risk-based approach to AI enforcement prioritizes cases involving: investment advisers and investment companies where fiduciary duties intensify disclosure obligations, public companies where AI claims affect material business operations or competitive positioning, financial service providers where AI misrepresentations could affect systemic risk or market integrity, emerging technology companies where AI washing might facilitate securities fraud in capital raising activities, and repeat violators or companies with histories of disclosure deficiencies that suggest systemic compliance problems.[169]

[165]*See id.*
[166]*See* Harvard Law School Forum, *supra* note 108.
[167]*See id.*
[168]*See* Gurbir S. Grewal, Dir., Div. of Enf't, U.S. Sec. & Exch. Comm'n, *Remarks at Program on Corporate Compliance and Enforcement Spring Conference 2024* (Apr. 15, 2024).
[169]*See id.*

4 | CORPORATE GOVERNANCE IMPLICATIONS UNDER U.S. LAW

Corporate governance in the United States is comprised of multiple components, including the duties of boards of directors, the business judgment rule, and corporate committee structures. This Part discusses the implications of AI washing under this corporate governance structure.

4.1 | Evolution of board oversight duties in the digital age

The corporate governance implications of AI washing extend far beyond securities law compliance to encompass fundamental questions of board oversight duties, executive accountability, and fiduciary responsibility in an era of rapid technological change. Delaware corporate law, which governs approximately 68% of Fortune 500 companies and is the dominant framework for corporate governance analysis, has evolved significantly to address technology-related oversight challenges through the expansion of traditional fiduciary duty frameworks.[170]

The foundational case of *In re Caremark International Inc. Derivative Litigation* (*Caremark*) established that corporate directors have an affirmative duty to implement reasonable information and reporting systems designed to provide senior management and the board with timely and accurate information sufficient to reach informed judgments about both the corporation's compliance with law and its business performance.[171] However, traditional *Caremark* analysis has focused on legal compliance monitoring rather than operational oversight of core business functions or technological capabilities.[172]

The Delaware Supreme Court's 2019 decision in *Marchand v. Barnhill* (*Marchand*) expanded the *Caremark* framework by establishing that directors must exercise "rigorous oversight" over risks that are "mission-critical" to the company's business model.[173] The court's decision emphasized that, when a company operates in an environment in which externally imposed regulations govern its "mission-critical" operations, the board's oversight function must be more rigorously exercised.[174] This has had profound implications for companies whose core business operations depend on AI systems, as AI governance may be deemed mission-critical oversight that requires enhanced board attention, rather than traditional passive monitoring.[175]

The Boeing derivative litigation provides instructive precedent for understanding how *Marchand* principles apply to technology

[170]*See* Delaware Division of Corporations, 2023 Annual Report (2024), https://corpfiles.delaware.gov/Annual-Reports/Division-of-Corporations-2023-Annual-Report.pdf.; Lucian Arye Bebchuk & Alma Cohen, *Firms' Decisions Where to Incorporate*, 46 J. L. & Econ. 383 (2003).
[171]In re Caremark International Inc. Derivative Litigation, 698 A.2d 959, 970 (Del. Ch. 1996).
[172]*See id.*
[173]Marchand v. Barnhill, 212 A.3d 805, 824 (Del. 2019).
[174]*See id.*
[175]*See id.*

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governance contexts.[176] In *In re The Boeing Company Derivative Litigation*, the Delaware Court of Chancery found that airplane safety was mission-critical to Boeing's business and that the board failed to establish adequate reporting systems, thereby allowing oversight claims to survive dismissal.[177] The court emphasized that Boeing's business model created life safety implications that required enhanced board oversight, rather than traditional business judgment rule deference.[178]

For companies whose AI systems affect customer safety, regulatory compliance, or fundamental business operations, the Boeing precedent suggests that AI oversight may require mission-critical board attention with correspondingly enhanced liability exposure for oversight failures. Financial institutions using AI for credit decisions, healthcare companies deploying AI diagnostic tools, transportation companies implementing autonomous systems, and technology companies whose AI capabilities define competitive positioning all face potential mission-critical AI oversight obligations under *Marchand* principles.[179]

Recent Delaware decisions demonstrate increasing judicial willingness to allow oversight claims to proceed when boards fail to implement adequate monitoring systems for technology-related risks.[180] The 2023 decision in *In re McDonald's Corporation Stockholder Derivative Litigation* extended *Caremark* duties to corporate officers, establishing that such officers have oversight duties comparable to directors within their areas of responsibility.[181] This precedent being established has significant implications for chief AI officers, chief technology officers, chief data officers, and other executives with specific responsibility for AI governance, as they face potential personal liability for AI oversight failures within their functional domains.[182]

The expansion of oversight duties to corporate officers reflects a growing judicial recognition that complex technological systems require special expertise and dedicated management attention that may exceed traditional board capabilities. Companies implementing material AI systems must consider whether their governance structures provide appropriate allocation of oversight responsibilities between boards and management, with a clear definition of roles, reporting requirements, and accountability mechanisms.[183]

4.2 | Business judgment rule and the informed decision standard

The business judgment rule traditionally protects directors' informed, good-faith, disinterested business decisions from judicial second-guessing, but AI washing undermines this protection by compromising the "informed" requirement and raising questions about director's good faith. The Delaware Supreme Court's decision in *Aronson v. Lewis* established that the business judgment rule protects decisions that are made "on an informed basis, in good faith and in the honest belief that the action taken was in the best interests of the company."[184]

When directors make strategic decisions based on false or misleading AI performance metrics, approve public statements containing inaccurate AI claims, or fail to understand the AI capabilities underlying material business operations adequately, they risk losing business judgment rule protection for failing the "informed basis" requirement.[185] The complexity of AI systems creates distinct challenges for directors seeking to satisfy informed decision standards, as technical expertise requirements may exceed traditional business judgment rule assumptions about director capabilities.[186]

Delaware courts have increasingly required enhanced care standards for technology-related decisions, particularly when AI systems affect core business operations, involve significant regulatory scrutiny, or create public safety implications. The enhanced care standard requires directors to demonstrate: active engagement with AI-related strategic decisions rather than reliance on management representations, systematic assessment of AI capabilities, limitations, and competitive implications through appropriate expert consultation, regular evaluation of AI performance metrics, risk indicators, and implementation progress, and appropriate expertise acquisition through director education, external advisory relationships, or recruitment of technically qualified board members.[187]

The duty of loyalty, which requires directors to act in good faith and in the interests of the company, presents additional challenges when AI washing occurs, as loyalty breaches may arise from conflicts of interest, bad faith conduct, or conscious disregard of fiduciary duties.[188] Following *Stone v. Ritter*, oversight failures have risen to duty of loyalty violations when they reflect "bad faith" conduct, including "conscious disregard for one's responsibilities."[189] AI washing may evidence bad faith in several ways. These can involve conscious disregard of known AI system limitations or performance problems, intentional misrepresentation of AI capabilities to investors, regulators, or other stakeholders. These also include systematic failure to implement reasonable monitoring systems for AI-related risks, despite awareness of material exposure, and personal financial incentives that create conflict between accurate disclosure and individual compensation or advancement.[190]

Directors may face specific loyalty challenges when their personal compensation is tied to AI performance metrics that are subsequently revealed to be inaccurate or when their possession of undisclosed personal investments in AI technologies influences board decisions.

[176] *See* The Boeing Company Derivative Litigation, No. 2019–907, 2021 WL 4059934 (Del. Ch. Sept. 7, 2021).
[177] *See id.*
[178] *See id.*
[179] *See generally* Marchand, 212 A.3d 805.
[180] *See* McDonald's Corporation Stockholder Derivative Litigation, No. 2021–0324, 2023 WL 387292 (Del. Ch. Jan. 25, 2023); Clovis Oncology, Inc. Derivative Litigation, 2017–0222, 2019 WL 4850188 (Del. Ch. Oct. 1, 2019).
[181] *See* McDonald's Corporation, 2017–0222, 2019 WL 4850188.
[182] *See id.*
[183] *See id.*
[184] Aronson v. Lewis, 473 A.2d 805, 812 (Del. 1984).
[185] *See id.*; Smith v. Van Gorkom, 488 A.2d 858 (Del. 1985).
[186] *See id.*
[187] *See* Marchand v. Barnhill, 212 A.3d 805, 824 (Del. 2019).
[188] *See generally* Stone v. Ritter, 911 A.2d 362 (Del. 2006).
[189] *See id.* at 370.
[190] *See id.*

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The emergence of AI-focused executive compensation metrics has created new categories of potential conflicts that require careful disclosure and management to avoid loyalty violations.[191]

The entire fairness standard, which requires directors to demonstrate both fair dealing and fair price, may apply to AI-related decisions when conflicts of interest exist or when business judgment rule protection is unavailable due to lack of independence, failure to act on an informed basis, or bad faith conduct.[192] Under an entire fairness review, courts evaluate both the fairness of the decision-making process and the fairness of the substantive terms, creating demanding standards that few AI-related decisions could meet if challenged effectively.[193]

4.3 | Committee governance and specialized oversight structures

Effective AI governance requires thoughtful integration into existing board committee structures while considering whether specialized oversight mechanisms are necessary for complex technological risks. Traditional committees, such as those for audit, compensation, nominating, governance, and risk, each have distinct AI-related responsibilities that must be coordinated to ensure comprehensive oversight without either gaps or duplication.[194]

Audit committees bear primary responsibility for AI systems that affect financial reporting processes. Among their duties are oversight of: AI systems used in revenue recognition, expense allocation, asset valuation, or other financial reporting functions, AI-related disclosures in periodic reports, including accuracy of representations and adequacy of risk-factor discussions, internal control effectiveness for AI systems affecting financial reporting, including testing procedures, deficiency identification, and remediation efforts, external auditor competency and procedures for AI-related control assessment and financial statement verification, and whistleblower procedures that address AI-related compliance concerns, system failures, or misrepresentation allegations.[195]

The financial expertise required of audit committee members poses special challenges for AI oversight, as those with traditional accounting and financial backgrounds may not have sufficient technical knowledge for effective AI system evaluation. The Sarbanes-Oxley Act requires audit committees to include at least one member who qualifies as a "financial expert," but this requirement does not address the technological expertise needed for AI oversight.[196] Companies with material AI systems must consider whether their existing audit committees have adequate technical knowledge or whether they need external advisers to supplement their traditional financial expertise.[197]

Risk committees require dedicated AI risk-assessment frameworks that address the full spectrum of technological, operational, and strategic risks associated with AI implementation.[198] Specific AI risk oversight obligations encompass regular evaluation of AI system performance, reliability, and potential failure modes across different operational contexts, as well as assessment of regulatory compliance risks from evolving AI governance requirements, enforcement priorities, and international coordination efforts. Other responsibilities include competitive risk analysis, such as AI adoption by industry participants, technological obsolescence, and resource allocation effectiveness, together with cybersecurity risk management for AI systems, including adversarial attacks, data poisoning, and model theft or manipulation. Additional responsibilities include crisis response planning for AI system failures, public AI washing allegations, and regulatory enforcement actions.[199]

Compensation committees increasingly face complex challenges in designing executive incentive structures that promote effective AI governance while avoiding offering incentives for AI washing or misrepresentation. Traditional compensation metrics focusing on financial performance may not adequately capture AI implementation success or failure, requiring the development of technology-specific performance indicators that resist manipulation or gaming.[200] Appropriate AI-related compensation considerations include establishment of AI performance metrics on a reasonable basis, regular validation, and independent verification procedures, implementation of clawback provisions, which allow for the recovery of executive compensation, specifically addressing AI-related misrepresentations, system failures, and compliance violations, requirement for executives to gain certification regarding AI capability representations, disclosure accuracy, and governance effectiveness, and regular assessment of AI-related compensation metric accuracy, relevance, and alignment with long-term shareholder value creation.[201]

Nominating and governance committees must address board composition needs for AI oversight, including recruitment of directors with relevant technical expertise, implementation of director AI literacy education programs, and overall evaluation of board effectiveness in technology governance.[202] The NACD recommends that boards overseeing material AI operations include at least one director with substantive AI or advanced technology expertise, along with regular AI education programs for all directors covering technological developments, regulatory evolution, and governance best practices. Also called for are clear protocols for accessing external technical expertise when required and independence standards ensuring that directors with AI expertise are free from conflicts of interest in relation to AI vendors, service providers, and competitors.[203]

[191] *See* National Association of Corporate Directors, *supra* note 75.
[192] *See* Weinberger v. UOP, Inc., 457 A.2d 701 (Del. 1983).
[193] *See id.*
[194] *See* National Association of Corporate Directors, Director Essentials: AI and Board Governance (Sept. 18, 2023).
[195] *See* Sarbanes-Oxley Act § 301, 15 U.S.C. § 78j-1 (2002).
[196] *See id.*
[197] *See* National Association of Corporate Directors, *supra* note 75.
[198] *See id.*
[199] *See id.*
[200] *See* Kevin J. Murphy, *Executive Compensation: Where We Are, and How We Got There*, *in* HANDBOOK OF THE ECONOMICS OF FINANCE 211 (George M. Constantinides et al. eds., 2013).
[201] *See id.*; 17 C.F.R. § 240.10D-1 (2024) (clawback rules).
[202] *See* National Association of Corporate Directors, *supra* note 75.
[203] *See id.*

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Some companies have established specialized technology committees or AI oversight committees to focus on complex technological governance challenges. These specialized structures may be appropriate when AI systems are core business functions requiring sustained board attention or when traditional committee structures lack adequate technical expertise for effective oversight. These structures are also called for when regulatory requirements mandate specialized governance procedures for AI applications, and company size and/or complexity justify additional committee infrastructure for comprehensive risk management[204]

The effectiveness of specialized technology committees depends on several factors. These include: a clear charter that specifies scope, authority, and reporting relationships with other board committees, appropriate memberships qualified in both business judgment and technical expertise, regular reporting procedures ensuring full board awareness of committee findings and recommendations, and adequate resources for external advisory support, technical assessments, and independent verification of management representations[205]

4.4 | Executive accountability and management oversight

The proliferation of AI-based systems across business operations creates new categories of executive accountability that extend beyond traditional ones to encompass cross-cutting technological governance challenges. CEOs bear ultimate responsibility for AI governance as part of their general management duties, but the technical complexity of modern AI systems requires delegation of detailed oversight to qualified executives with appropriate technical backgrounds and institutional authority.[206]

Chief AI officers, chief technology officers, and chief data officers face increasing legal exposure for AI governance failures within their areas of responsibility, particularly following the *McDonald's* decision extending *Caremark* duties to corporate officers.[207] These executives must implement comprehensive governance procedures, such as systematic assessment of AI system performance, limitations, and business integration across all operational contexts, as well as regular reporting to senior management and the board regarding AI risks, opportunities, and strategic developments. They must also ensure compliance monitoring for AI-related regulatory requirements, industry standards, and internal governance policies, together with coordination with legal, compliance, and audit functions to ensure accurate disclosure and effective risk management. In addition, they must lead crisis response efforts for AI system failures, performance problems, and external challenges to AI claims.[208]

Chief financial officers face heightened exposure in cases of AI washing violations due to their certification responsibilities under Sarbanes-Oxley and oversight of financial reporting processes that may incorporate AI systems. CFOs must ensure that AI-related disclosures in periodic reports accurately represent system capabilities, business integration, and financial impact, and that internal controls adequately address AI systems affecting financial reporting, including validation procedures, performance monitoring, and deficiency remediation. They must also oversee that financial planning and analysis appropriately account for AI implementation costs, expected benefits, and performance risks, and that external communications, including earnings calls and investor presentations, maintain consistency with formal disclosure documents regarding AI capabilities and business impact.[209]

General counsels and chief compliance officers are responsible for ensuring that AI governance frameworks comply with the law and that AI-related communications meet disclosure obligations, too.[210] Specific legal oversight responsibilities include: regular review of AI-related public statements, marketing materials, and investor communications for accuracy and compliance with disclosure obligations, assessment of regulatory compliance requirements for AI applications, such as sector-specific regulations and evolving governance standards, oversight of AI vendor relationships, including contractual protections, liability allocation, and intellectual property considerations, and coordination with external counsel on AI-related regulatory matters, enforcement risks, and litigation exposure.[211]

The emergence of specialized AI governance roles reflects a growing recognition that effective technological oversight requires dedicated executive attention with appropriate technical qualifications and institutional authority. However, the creation of new executive positions also creates coordination challenges and potential gaps in accountability that must be addressed through clear role definition, reporting relationships, and oversight procedures.[212]

Executive compensation design increasingly incorporates AI-related performance metrics, creating both opportunities for effective incentive alignment and risks of perverse incentives for AI washing and misrepresentation.[213] Effective AI compensation design requires the establishment of meaningful performance metrics that capture long-term value creation rather than short-term promotional benefits. It also demands independent verification procedures for AI performance claims that underlie compensation determinations, clawback provisions that address discovery of AI misrepresentations, system failures, and compliance violations, and regular assessment of metric relevance, accuracy, and alignment with shareholder interests.[214]

[204] *See id.*
[205] *See id.*
[206] *See* McDonald's Corporation Stockholder Derivative Litigation, No. 2021–0324, 2023 WL 387292 (Del. Ch. Jan. 25, 2023).
[207] *See id.*
[208] *See id.*
[209] *See* Sarbanes-Oxley Act of 2002 § 302, 15 U.S.C. § 7241.
[210] *See* Model Rules of Pro. Conduct r. 1.13 (Am. Bar Ass'n 2020).; Geoffrey C. Hazard Jr. et al., The Law and Ethics of Lawyering (6th ed. 2017).
[211] *See* Ass'n of Corp. Counsel, *Artificial Intelligence Toolkit for In-house Lawyers* (2025) (describing in-house counsel's role in AI governance); Grewal, *supra* note 168.
[212] *See* National Association of Corporate Directors, *supra* note 75.
[213] *See* Murphy, *supra* note 200.
[214] *See id.*; 17 C.F.R. § 240.10D-1 (2024).

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4.5 | Derivative litigation risks and insurance considerations

Shareholder litigation is a rapidly growing risk in AI governance failures, with multiple cases filed since 2024 alleging board oversight deficiencies related to AI capabilities, strategic implementation, and disclosure practices. Such derivative litigation typically alleges that directors breached their fiduciary duties by failing to implement adequate oversight systems, ignoring red flags regarding AI performance and compliance, and allowing misleading public representations about AI capabilities to continue without correction.[215]

Common derivative litigation allegations in AI contexts may include: directors failing to implement adequate information and reporting systems for AI oversight, despite awareness of its material business importance; boards ignoring warning signs regarding AI system performance problems, implementation challenges, and competitive disadvantages; compensation systems that incentivize AI washing and/or misrepresentation without adequate governance controls; lack of appropriate technical expertise on boards and/or management teams responsible for AI oversight; and failure to maintain adequate disclosure controls and procedures for AI-related public communications.[216]

High-risk scenarios for derivative litigation include those in which AI performance metrics are directly tied to financial projections or guidance that subsequently prove inaccurate, public statements are made regarding AI capabilities that are contradicted by internal assessments or third-party evaluations, board meeting minutes lack substantive discussion of AI risks, despite material business importance, and companies lack directors or executives with demonstrable AI expertise, despite significant technological dependence on it.[217]

The *Construction Industry Laborers Pension Fund v. Bingle* decision represents an important precedent for technology oversight liability that extends beyond traditional cybersecurity contexts to encompass AI governance.[218] The court emphasized that adequate oversight systems must include regular reporting to the board regarding technological risks and performance, committee structures with appropriate expertise and authority for technology oversight, reasonable procedures for identifying and addressing technological and compliance failures, and adequate information systems enabling directors to monitor technology-related business performance and risk exposure.[219]

Directors' and officers' (D&O) insurance for AI-related risks has evolved rapidly as insurers have recognized the growth in exposure from technological governance failures. Among the emerging insurance market trends are mechanisms such as AI-specific exclusions in D&O policies that require careful review of coverage language and consideration of specialized AI governance insurance, increased scrutiny of director qualifications and governance procedures during underwriting processes, higher settlement values for AI-related derivative claims that affect premiums and coverage, and specialized coverage options for technology companies with significant AI exposure.[220]

To minimize derivative litigation exposure, organizations should adopt comprehensive AI governance frameworks that define clear oversight responsibilities and reporting procedures. Boards should receive ongoing education regarding AI technologies, business applications, and governance best practices. Directors with relevant technical expertise should be recruited, while also strengthening expertise by establishing advisory relationships with qualified external experts. It is also important to document board oversight activities through detailed meeting minutes, committee reports, and decision-making records, and to practice proactive disclosure policies that address AI capabilities, limitations, and risks in public communications.[221]

4.6 | Fiduciary duties in AI investment decisions

The integration of AI systems into corporate decision-making processes creates novel challenges for traditional fiduciary duty analysis, particularly regarding the standard of care required for technology-related business decisions and the allocation of oversight responsibilities between boards and management. Delaware courts have not yet addressed comprehensive frameworks for AI-related fiduciary duties, but existing precedent regarding technology decisions and operational oversight provides useful guidance for analyzing emerging liability exposure.[222]

Duty of care responsibilities require directors to acquire all material information reasonably available to them before making business decisions, but the technical complexity of AI systems creates substantial challenges to satisfying this standard without specialized expertise.[223] Courts may need to develop modified standards that account for technological complexity while maintaining reasonable expectations of director competency and oversight effectiveness.[224]

[215] *See* Construction Industry Laborers Pension Fund v. Bingle, No. 2021–0940, 2022 WL 4102492 (Del. Ch. Sept. 6, 2022); The Boeing Company Derivative Litigation, No. 2019–907, 2021 WL 4059934 (Del. Ch. Sept. 7, 2021).

[216] *See*, e.g., Maria Lillà Montagnani & Maria Lucia Passador, *Fiduciary Duties and Business Judgment Rule 2.0 in the AI Act Age* 1–2 (Working Paper, 2025), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5714102 (arguing that AI governance requires directors to exercise informed and anticipatory oversight, integrate procedural safeguards and technical literacy, and interrogate algorithmic tools); Tobias Keijzer & Auke Louwers, *Technology Expertise in the Dutch Boardroom: Legal and Text Analytical Findings*, 30 Tilburg L. Rev. 25, 25 (2025) (discussing the need for corporate boards to integrate technology issues into oversight and questioning whether directors have sufficient expertise to monitor data-driven companies); Strauss et al., *Governing AI Through SEC Disclosure* (SSRC Working Paper No. 4, 2025) (finding that investors lack decision-useful AI information and that AI-related 8-K disclosures are often overwhelmingly positive and avoid negative news).

[217] *See* National Association of Corporate Directors, *supra* note 75.

[218] *See* Construction Industry Laborers, 2022 WL 4102492.

[219] *See id.*

[220] *See* John M. Orr & Lawrence Fine, *Directors and Officers (D&O) Liability: 2023 in Review and a Look Ahead to 2024*, Willis Towers Watson (Jan. 10, 2024), available at https://www.wtwco.com/en-us/insights/2024/01/directors-and-officers-d-and-o-liability-2023-in-review-and-a-look-ahead-to-2024. John Farley, *2024 Cyber Insurance Market Conditions Outlook*, Arthur J. Gallagher & Co. (Jan. 11, 2024), available at https://www.ajg.com/us/news-and-insights/2024/jan/2024-cyber-insurance-market-conditions-outlook/.

[221] *See* National Association of Corporate Directors, *supra* note 75.

[222] *See* William T. Allen, Reinier Kraakman & Vikramaditya S. Khanna, Commentaries and Cases on the Law of Business Organization (5th ed. 2016); Stephen M. Bainbridge, Corporation Law and Economics (2002).

[223] *See generally* Smith v. Van Gorkom, 488 A.2d 858 (Del. 1985).

[224] *See id.*

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Potential approaches to adapting care standards to AI contexts encompass requiring reasonable reliance on qualified experts rather than direct director expertise, establishing safe-harbor protections for decisions made with appropriate technical consultation, and creating enhanced disclosure requirements that enable shareholders to evaluate director qualifications for technology oversight.[225] The evolution of care standards for AI-related decisions will likely influence broader governance frameworks for emerging technologies and complex operational systems.

The duty of loyalty may require enhanced attention to conflicts of interest in AI contexts, as directors or executives may have personal investments in AI technologies, relationships with AI vendors, or compensation arrangements tied to AI performance metrics.[226] Companies must implement robust conflict identification and management procedures that address personal financial interests in AI technologies or companies, and professional relationships with AI service providers or competitors. They must also examine compensation arrangements that create incentives for AI washing or misrepresentation, and family or personal relationships that could influence AI-related decision-making.[227]

The rapid evolution of AI technologies creates ongoing challenges for fiduciary duty compliance, as directors must balance reasonable reliance on management expertise with appropriate oversight of technological decisions that could materially affect business performance and shareholder value.[228] Future judicial development of AI-related fiduciary standards will likely influence corporate governance practices across industries and establish important precedents for emerging technology oversight more broadly.[229]

5 | EU REGULATORY ARCHITECTURE FOR AI GOVERNANCE

Unlike the United States, the EU has specific regulatory mechanisms for AI governance, which are discussed in this Part.

5.1 | The AI Act's comprehensive risk-based framework

The EU's AI Act is the world's most ambitious attempt to create comprehensive *ex ante* regulation for AI systems, establishing detailed transparency obligations, risk-based compliance requirements, and severe penalties that fundamentally reshape compliance with corporate governance obligations for companies deploying AI technologies. Regulation (EU) 2024/1689, which entered into force on August 1, 2024, with phased implementation through 2027, creates a risk-based regulatory framework that categorizes AI systems into four tiers: prohibited AI practices, high-risk AI systems, limited-risk AI systems requiring specific transparency obligations, and minimal-risk AI systems subject to voluntary compliance codes.[230]

The act's risk-based approach balances innovation promotion and harm prevention in sophisticated ways, with regulatory intensity calibrated to potential societal impact rather than technological sophistication.[231] This methodology contrasts sharply with traditional securities regulation's materiality-based disclosure requirements by establishing mandatory transparency obligations that apply regardless of investor impact assessments and company-specific business importance determinations.[232]

Prohibited AI practices under Article 5 include using AI systems that deploy subliminal techniques, exploit vulnerabilities of specific groups, enable social scoring by public authorities, or facilitate real-time remote biometric identification in public spaces.[233] These prohibitions carry the act's most severe penalties—up to €35 million or 7% of total worldwide annual turnover—and apply immediately without implementation delays.[234] While most prohibited practices focus on governmental or social applications rather than commercial contexts, the broad language used in the act has implications for marketing AI, behavioral manipulation systems, and employee monitoring applications in corporate environments.[235]

High-risk AI systems face comprehensive regulatory obligations under Articles 6–15, such as mandatory conformity assessments before market deployment, often requiring third-party validation of system performance and safety. Among the additional regulatory duties are detailed technical documentation demonstrating compliance with regulatory requirements, including system architecture, training data, performance metrics, and risk-mitigation measures. Other duties imposed include automatic logging and record keeping throughout the system lifecycle, enabling regulatory monitoring and post-market surveillance. There are also human oversight requirements ensuring meaningful human control over system decisions and outcomes, accuracy, and robustness. Finally, cybersecurity measures meeting specific technical standards and registration in an EU-wide database enabling regulatory visibility and public accountability are also required.[236]

The high-risk category encompasses AI systems used in critical infrastructure, education and vocational training, employment relationships, essential private and public services, law enforcement, migration and border control, and administration of justice.[237] This broad range creates significant compliance obligations for multinational corporations with AI applications operating across multiple jurisdictions and business functions, as systems classified as high-

[225] *See id.*; Marchand v. Barnhill, 212 A.3d 805, 824 (Del. 2019).
[226] *See generally* Stone v. Ritter, 911 A.2d 362 (Del. 2006).
[227] *See id.*
[228] *See* National Association of Corporate Directors, *supra* note 75.
[229] *See id.*
[230] *See* AI Act, *supra* note 10.
[231] *See id.* pmbl. ¶¶ 1–10.
[232] *See id.*; TSC Industries, Inc. v. Northway, Inc., 426 U.S. 438 (1976).
[233] *See* AI Act, *supra* note 10, art. 5.
[234] *See id.* art. 99.
[235] *See id.* art. 5.
[236] *See id.* arts. 6–15.
[237] *See id.* arts. 6–7, Annex III.

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risk in the EU may require extensive regulatory compliance regardless of their classification under other regulatory frameworks.[238]

Limited-risk AI systems under Article 50 have targeted transparency obligations imposed on them that are designed to ensure that individuals understand when they are interacting with AI systems or consuming AI-generated content.[239] There are specific requirements that chatbots and conversational AI systems must inform users of their interaction with AI, unless it is circumstantially obvious, and that AI systems generating synthetic audio, video, image, or text content must clearly mark outputs as artificially generated. In addition, deepfake deployment must be accompanied by disclosure of its artificial generation or manipulation, and text generation for public dissemination must include disclosure of AI usage, unless it is subject to human editorial control and responsibility.[240]

General-purpose AI models (GPAIs) have enhanced transparency and safety requirements under Articles 51–56, reflecting regulatory concern about foundation models that may be integrated into downstream applications.[241] Among these requirements are technical documentation and transparency information for downstream providers, model evaluation, and adversarial testing with systematic red teaming for systemic risks. In addition, these articles require incident reporting and information sharing with regulatory authorities and adherence to codes of practice demonstrating compliance with regulatory objectives. These GPAI requirements create complex compliance challenges for companies developing foundation models while also affecting downstream applications that incorporate these models into business-specific solutions.

5.2 | Transparency obligations and technical documentation requirements

The AI Act's transparency framework goes far beyond traditional corporate disclosure by mandating specific technical information that enables regulatory assessment, user understanding, and downstream compliance verification. These requirements create affirmative obligations for detailed system documentation that must be maintained throughout AI system lifecycles and made available to regulators, downstream users, and, in some cases, affected individuals.[242]

High-risk AI systems must provide comprehensive technical documentation covering system design specifications, including intended purpose, performance capabilities, and operational limitations; training data characteristics, including sources, preprocessing procedures, bias assessments, and quality controls; and algorithmic architecture and decision-making logic with sufficient detail provided to enable technical understanding. The documentation must also address performance metrics across relevant test scenarios, such as accuracy, reliability, and robustness measures; risk assessment and mitigation procedures addressing identified potential harms; and human oversight procedures specifying required human involvement, intervention capabilities, and accountability structures.[243]

The documentation requirements extend beyond static technical descriptions to encompass dynamic system monitoring and post-deployment surveillance activities. Providers must implement automatic logging of system operations, enabling audit trail reconstruction and performance verification as well as incident reporting procedures for system failures, unexpected outcomes, and potential harms. Additional requirements include maintaining regular performance monitoring, demonstrating continued compliance with regulatory requirements, and systematic bias detection and mitigation procedures addressing fairness and non-discrimination objectives.[244]

User instructions for high-risk AI systems must provide clear and comprehensive information that enables appropriate deployment and oversight. The specifications required include system capabilities and limitations with specific attention to contexts where performance may degrade, human oversight requirements specifying necessary qualifications, procedures, and intervention authorities, foreseeable misuse scenarios and prevention procedures for those, and installation, operation, and maintenance requirements for maintaining regulatory compliance.[245]

Limited-risk systems' transparency obligations focus on user awareness rather than technical documentation but have significant implications for customer-facing AI applications. The requirement for clear AI disclosure in conversational systems, content generation, and automated decision-making affects many business applications, including customer service chatbots, content recommendation systems, automated hiring tools, and personalized marketing platforms.[246] Companies must operate disclosure mechanisms that effectively communicate AI involvement without undermining user experience or business effectiveness.[247]

The enforcement of transparency obligations involves both regulatory oversight and private enforcement mechanisms through individual rights and downstream provider requirements.[248] Regulatory authorities possess broad investigative powers, such as access to technical documentation and system testing procedures, examination of source codes, training data, and algorithmic logics, on-site inspections and technical assessments, and mandated third-party auditing for compliance verification.[249] These powers create comprehensive regulatory visibility into AI system operations that exceeds traditional corporate disclosure requirements and enables detailed assessment of

[238] *See id.*
[239] *See id.* art. 50.
[240] *See id.*
[241] *See id.* arts. 51–56; The AI Act defines a general-purpose AI model as "an AI model, including where such an AI model is trained with a large amount of data using self-supervision at scale, that displays significant generality and is capable of competently performing a wide range of distinct tasks regardless of the way the model is placed on the market and that can be integrated into a variety of downstream systems or applications." These requirements apply on GPAI exceeding 10^{25} floating point operations (FLOPs).
[242] *See id.* arts. 11–14.
[243] *See id.*
[244] *See id.* arts. 12, 61.
[245] *See id.* art. 13.
[246] *See id.* art. 50.
[247] *See id.*
[248] *See id.* arts. 63–73.
[249] *See id.*

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AI washing claims through technical verification rather than reliance on company representations.[250]

5.3 | Penalty structure and enforcement mechanisms

The AI Act establishes the most severe penalty structure for AI-related violations globally, with graduated sanctions that reflect its risk-based regulatory approach while creating substantial deterrent effects across all categories of AI applications. The penalty framework under Article 99 provides for administrative fines up to €35 million or 7% of total worldwide annual turnover for violations of prohibited AI practices, €15 million or 3% of total worldwide annual turnover for non-compliance with high-risk AI system obligations, and €7.5 million or 1.5% of total worldwide annual turnover for supplying incorrect, incomplete, or misleading information to regulatory authorities.[251]

These penalty levels significantly exceed traditional securities law enforcement remedies and approach the severity of those applied to General Data Protection Regulation (GDPR) violations. This reflects a European regulatory philosophy that prioritizes comprehensive deterrence through substantial financial consequences rather than incremental enforcement escalation.[252] The worldwide annual turnover calculation basis for penalties ensures that they are proportional to company size while creating meaningful deterrent effects for even the largest multinational corporations.[253]

The enforcement architecture distributes regulatory authority across multiple levels of government, creating complex coordination requirements while ensuring comprehensive oversight coverage. National competent authorities designated by each member state possess primary enforcement responsibility within their territories, but must also coordinate through the European AI Board and AI Office to ensure consistent application of regulatory requirements.[254] The European Commission (EC) retains direct oversight authority for GPAIs and can initiate procedures against member states for inadequate enforcement.[255]

Market surveillance authorities possess broad investigative powers that enable a comprehensive assessment of AI system compliance. These include the power to require demonstration of AI system capabilities and performance, access to source codes, algorithms, and training data, authority to mandate third-party testing and certification, the power to restrict or prohibit market access for non-compliant systems, and coordination with other regulatory authorities for cross-sectoral oversight.[256] These powers create regulatory frameworks that can effectively identify and address AI washing through technical assessment rather than company disclosures or investor complaints.[257]

Enforcement mechanisms operated through data protection authorities and civil society organizations provide additional oversight and pressure beyond traditional regulatory enforcement. The AI Act grants specific rights to individuals affected by AI systems. These include the right to receive clear and meaningful information about AI system logic and decision-making processes, to obtain human review, and to challenge automated decisions with legal or other significant effects, to seek compensation for damages caused by non-compliant AI systems, and to lodge complaints with supervisory authorities regarding AI system violations.[258] These individual rights create enforcement mechanisms that operate independently of regulatory initiatives and enable affected parties to challenge AI washing directly.[259]

Conformity assessment procedures for high-risk AI systems create additional enforcement measures through mandatory third-party verification requirements for certain system categories.[260] Notified bodies designated by member states must assess AI system compliance with regulatory requirements before market deployment, creating independent technical verification that reduces opportunities for AI washing in high-risk applications.[261] The conformity assessment process includes technical documentation review and verification, system testing against regulatory requirements, quality management system assessment, and ongoing surveillance of deployed systems for continued compliance.[262]

5.4 | Sectoral integration and regulatory coordination

The AI Act's effectiveness depends on coordination with existing sectoral regulations across diverse industries, creating complex compliance landscapes in which AI requirements intersect with financial services regulation, healthcare oversight, transportation safety, and other domain-specific frameworks. Article 85 addresses regulatory coordination through sector-specific provisions that modify general AI Act requirements for certain applications while maintaining overall regulatory coherence.[263]

Financial services integration involves coordination between AI Act requirements and existing frameworks, including the Markets in Financial Instruments Directive (MiFID II), the Payment Services Directive (PSD2), and various European Banking Authority guidelines.[264] Specific coordination challenges include: algorithmic trading oversight where AI Act transparency requirements intersect with

[250] *See id.*
[251] *See id.* art. 99.
[252] *See* Council Regulation 2016/679 (General Data Protection Regulation) art. 83, 2016 O.J. (L 119) [hereinafter GDPR].
[253] *See* AI Act, *supra* note 10, art. 99.
[254] *See id.* arts. 70–73.
[255] *See id.*
[256] *See id.* arts. 63–69.
[257] *See id.*
[258] *See id.* arts. 86–87.
[259] *See id.*
[260] *See id.* arts. 40–48.
[261] *See id.*
[262] *See id.*
[263] *See id.* art. 85.
[264] *See* Directive 2014/65/EU (Markets in Financial Instruments Directive II), 2014 O.J. (L 173); Directive 2015/2366 (Payment Services Directive 2), 2015 O.J. (L 337).

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MiFID II best execution obligations, credit scoring and automated underwriting where AI Act bias-prevention requirements intersect with consumer protection regulations, and robo-advisory services where AI Act disclosure obligations align with investment advisory fiduciary duties.[265]

Healthcare applications must comply with the Medical Device Regulation and the In Vitro Diagnostic Regulation, creating specialized approval pathways for AI-enabled medical technologies. The European Medicines Agency has developed specific guidance for AI applications in pharmaceutical development and medical device approval, addressing clinical trial design for AI-enabled therapeutics, post-market surveillance requirements for AI medical devices, software as medical device (SaMD) classification frameworks, and regulatory data requirements for AI system validation in healthcare contexts.[266]

Transportation sector coordination involves integration with type-approval procedures for automotive systems, aviation safety regulations, and maritime safety frameworks.[267] The EU Aviation Safety Agency has established specific requirements for AI applications in aviation, such as certification procedures for AI-enabled flight management systems, pilot training requirements for AI-assisted aviation technology, and safety assessment methodologies for autonomous aircraft operations.[268] Similar coordination frameworks apply to automotive AI systems through the World Forum for Harmonization of Vehicle Regulations and to maritime AI applications through the International Maritime Organization.[269]

The complexity of sectoral coordination poses significant compliance challenges to multinational corporations operating AI systems across industries subject to multiple regulatory regimes. Companies must navigate requirements that may create conflicts between AI Act obligations and sector-specific regulations, requiring sophisticated legal and technical analysis to ensure comprehensive compliance.[270] The EC has committed to developing additional guidance addressing such sectoral coordination challenges, but initial implementation periods will likely involve substantial regulatory uncertainty and compliance complexity.[271]

5.5 | International implications and extraterritorial effect

The AI Act's broad jurisdictional scope creates significant extraterritorial implications for non-EU companies whose AI systems affect EU markets, residents, or economic activities. Article 2 establishes a territorial scope that extends to providers of AI systems placed on the EU market, regardless of provider location. It also covers deployers of AI systems located within the EU, and providers and deployers located in third countries where AI system outputs are used in the EU.[272] This expansive jurisdictional approach follows the model applied to GDPR regulation by asserting regulatory authority based on effect rather than location, potentially subjecting AI operations anywhere in the world to EU regulation.[273]

The "Brussels Effect," whereby EU regulations become de facto global standards as a result of the EU's market size and regulatory influence, is likely to extend into AI governance due to the AI Act's comprehensive framework.[274] Multinational corporations may find it economically efficient to implement AI Act compliance measures globally rather than maintain separate systems for EU and non-EU markets, especially when AI systems serve integrated global business operations.[275]

U.S. companies face specific challenges in AI Act compliance due to fundamental differences in regulatory philosophy and legal frameworks between U.S. and EU approaches to technology governance. Among the key compliance challenges are transparency requirements that may conflict with trade secret protection under U.S. law and data localization and processing requirements that affect global AI system architectures. Other issues include conformity assessment procedures that require EU-recognized certification bodies, and penalty exposure that may exceed U.S. regulatory sanctions for comparable violations.[276]

The AI Act's adequacy assessment framework for third-country regulatory systems creates opportunities for regulatory cooperation and mutual recognition agreements that could reduce compliance complexity for companies operating across jurisdictions.[277] However, the substantial differences between U.S. market-based enforcement approaches and EU comprehensive regulatory frameworks suggest that formal adequacy determinations may prove difficult to achieve without significant future convergence in regulatory methodologies.[278]

The technology transfer and international investment implications of the AI Act extend beyond direct compliance obligations to affect strategic business decisions on AI development, deployment, and intellectual property management. EU regulatory requirements may influence global AI system design, particularly for foundation models

[265] *See* European Banking Authority, Follow-up Report on Machine Learning for IRB Models (2023), https://www.eba.europa.eu/sites/default/files/document_library/Publications/Reports/2023/1061483/Follow-up%20report%20on%20machine%20learning%20for%20IRB%20models.pdf.

[266] *See* European Medicines Agency, Guideline on Computerized Systems and Electronic Data in Clinical Trials (2023), https://www.ema.europa.eu/en/documents/regulatory-procedural-guideline/guideline-computerised-systems-and-electronic-data-clinical-trials_en.pdf; Council Regulation 2017/745 (Medical Device Regulation), 2017 O.J. (L 117).

[267] *See* European Union Aviation Safety Agency, Artificial Intelligence Roadmap 2.0: A human-centric approach to AI in aviation (2023), https://www.easa.europa.eu/en/downloads/137919/en; International Maritime Organization, Report of the Maritime Safety Committee on its 109th session: Development of a Code for Maritime Autonomous Surface Ships (2024), https://www.mpa.gov.sg/docs/mpalibraries/mpa-documents-files/shipping-division/msc-reports/msc-109-22—report-of-the-maritime-safety-committeeon-its-109th-session-(secretariat).pdf?sfvrsn = 6f1dcd5f_0.

[268] *See* European Union Aviation Safety Agency, *supra* note 267.

[269] *See* World Forum for Harmonization of Vehicle Regulations, *Proposal for a Draft Resolution with Guidance on Artificial Intelligence in the Context of Road Vehicles*, U.N. Doc. ECE/TRANS/WP.29/2024/34 (Dec. 21, 2023); International Maritime Organization, *supra* note 267.

[270] *See* AI Act, *supra* note 10, art. 85.

[271] *See* European Commission, *EU AI Act Implementation Timeline and Key Dates* (Aug. 1, 2024), https://artificialintelligenceact.eu/implementation-timeline/.

[272] *See* AI Act, *supra* note 10, art. 2.

[273] *See id.*; GDPR, *supra* note 252, art. 3.

[274] *See* Bradford, *supra* note 11.

[275] *See id.*

[276] *See* AI Act, *supra* note 10, arts. 40–48, 99.

[277] *See id.* art. 89.

[278] *See id.*

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and GPAIs that serve international markets.[279] Companies may need to modify AI system architectures, data-processing procedures, and operational frameworks to accommodate EU requirements even when business operations primarily occur outside the EU.[280]

6 | EU CORPORATE GOVERNANCE AND DISCLOSURE REQUIREMENTS

The EU's regulatory architecture for AI interacts across multiple nodes with other aspects of corporate governance. This Part examines the interface between that architecture and the EU's corporate disclosure regimes.

6.1 | Integration with existing securities law frameworks

The AI Act's interaction with existing EU securities law creates complex interaction effects that multinational corporations must navigate while ensuring they comply with overlapping disclosure obligations, governance requirements, and regulatory oversight mechanisms. MiFID II, Market Abuse Regulation (MAR), and Prospectus Regulation establish foundational frameworks for securities regulation that must be harmonized with AI Act requirements without creating conflicting obligations or regulatory gaps.[281]

The MAR's inside information provisions create distinct challenges when applied to AI-related developments, as the definition of "precise information" that would "significantly affect instrument prices" must be adapted to technological capabilities that may be difficult to evaluate accurately.[282] AI system performance improvements, competitive advantages from algorithmic innovation, and regulatory compliance achievements may constitute inside information requiring prompt disclosure. However, the technical complexity of AI systems makes these assessments more difficult than in the evaluation of traditional financial information.[283]

MAR's Article 7 requires immediate disclosure of inside information unless delayed disclosure provisions apply, but AI developments often involve gradual performance improvements or incremental capability enhancements, often making it difficult to determine when disclosure is required. Companies developing AI systems must establish procedures for evaluating when technological progress crosses materiality thresholds requiring public disclosure. At the same time, they must avoid issuing premature announcements that could mislead investors about their commercial readiness or competitive positioning.[284]

Market manipulation under MAR Article 12 encompasses the dissemination of false or misleading information that could affect financial instrument prices, creating a direct overlap with AI washing concerns.[285] However, the MAR's focus on market impact rather than technical accuracy may create gaps, allowing certain AI misrepresentations that do not directly affect securities prices to fall outside traditional market manipulation enforcement, even if they fail to meet AI Act transparency requirements.[286]

The Prospectus Regulation's requirement for clear, non-misleading information about issuers' business activities creates comprehensive disclosure obligations for companies that rely significantly on AI technologies. Public offerings and secondary market transactions must include accurate descriptions of AI system capabilities and limitations affecting business operations. They must also address technological dependencies and vendor relationships for critical AI applications, as well as competitive positioning based on AI capabilities relative to industry participants. In addition, these documents must include the regulatory compliance status for AI applications across relevant jurisdictions and risk factors related to AI development, deployment, and regulatory evolution.[287]

6.2 | Corporate sustainability reporting and AI disclosure

The Corporate Sustainability Reporting Directive (CSRD) significantly expands sustainability reporting requirements affecting approximately 50,000 companies by 2028. It has specific implications for AI-related disclosures that arise from the overlap between technological governance and environmental, social, and governance (ESG) considerations. Directive 2022/2464 requires comprehensive sustainability reporting based on "double materiality" assessments that address both how sustainability matters affect company performance and how company activities affect society and the environment.[288]

European Sustainability Reporting Standards (ESRS), developed by the European Financial Reporting Advisory Group, create specific AI-related disclosure requirements across multiple areas.[289] Governance standards under ESRS G1 address business conduct and technology governance and oversight procedures for AI development and deployment decisions. Also covered are the integration of AI considerations into corporate strategy and risk management, stakeholder engagement regarding AI applications and societal impact, and ethics frameworks for AI development and deployment across business operations.[290]

[279] *See id.* arts. 51–56.
[280] *See id.*
[281] *See* Directive 2014/65/EU, *supra* note 264; Council Regulation No 596/2014 (Market Abuse Regulation), 2014 O.J. (L 173) [hereinafter Market Abuse Regulation]; Council Regulation 2017/1129 (Prospectus Regulation), 2017 O.J. (L 168) [hereinafter Prospectus Regulation].
[282] *See* Market Abuse Regulation, *supra* note 281, art. 7.
[283] *See id.*
[284] *See id.*
[285] *See id.* art. 12.
[286] *See id.*
[287] *See* Prospectus Regulation, *supra* note 281.
[288] *See EU* Council Directive 2022/2464 (Corporate Sustainability Reporting Directive), 2022 O.J. (L 322) [hereinafter Corporate Sustainability Reporting Directive].
[289] *See* European Financial Reporting Advisory Group, *European Sustainability Reporting Standards (ESRS) – First set of draft ESRS* [Technical advice to European Commission] https://www.efrag.org/en/sustainability-reporting/esrs/sector-agnostic/first-set-of-draft-esrs (last visited Jun. 10, 2026).
[290] *See id.*

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Environmental impact disclosures under ESRS E1 must include detailed information about AI system's environmental effects, including energy consumption, carbon footprint, and resource utilization throughout AI systems' lifecycles. Specific environmental disclosure requirements include: direct energy consumption by AI training and inference systems; indirect environmental impact through cloud computing and data center utilization; lifecycle assessment of AI hardware requirements, including semiconductor production and disposal; and environmental impact-reduction strategies for AI operations, including efficiency improvements and renewable energy adoption.[291] Imposing these requirements addresses growing concerns about AI's environmental impact while preventing greenwashing of AI sustainability claims.[292]

Social impact disclosures under ESRS S1–S4 address AI's effects on workforces, communities, consumers, and business relationships, encompassing issues such as workforce impact from AI automation, including job displacement, skill requirements, and retraining programs, and algorithmic bias and discrimination risks affecting employees, customers, and community members. Other aspects covered involve community effects of AI deployment, such as economic development, service access, and social equity considerations, and value chain impact, involving supplier relationships, customer treatment, and broader ecosystem effects.[293]

The CSRD's mandatory third-party assurance requirements ensure independent verification of AI-related sustainability claims, creating additional accountability mechanisms that go beyond traditional financial audit procedures. Qualified assurance providers must verify sustainability information, such as AI-related disclosures, that require the development of specialized audit procedures for technological systems, as well as their environmental and social impacts.[294] Digital reporting format requirements support machine-readable disclosure and public database availability, facilitating stakeholder analysis and regulatory oversight of AI sustainability claims.[295]

6.3 | Shareholder rights directive II and technology governance

The revised Shareholder Rights Directive (SRD II) creates enhanced transparency and engagement requirements that engage with AI governance concerns through institutional investor stewardship policies and asset manager accountability mechanisms. Directive 2017/828 requires institutional investors and asset managers to develop and publicly disclose engagement policies that address long-term value creation, including technology governance and digital transformation strategies.[296]

Enhanced transparency requirements oblige institutional investors to address AI governance considerations in their engagement policies. This requires them to disclose matters including AI development and deployment strategies affecting portfolio company value creation, as well as technology governance structures and board oversight capabilities for AI-related decisions. They must also disclose risk management frameworks addressing AI-related business and operational risks and executive compensation alignment with responsible AI development and deployment practices.[297] These requirements aim to enhance AI governance disclosure and board accountability for AI-related strategic decisions.[298]

Asset manager disclosure obligations under SRD II extend to AI-driven investment strategies and algorithmic decision-making that affect portfolio construction and management. Disclosure requirements encompass investment strategy descriptions that accurately represent the role of AI in security selection and portfolio management and performance attribution that appropriately credits AI contributions while acknowledging limitations and human oversight. These disclosures must also set forth risk management procedures for AI-enabled investment processes, including model validation, bias detection, and performance monitoring, along with cost disclosures that identify AI-related technology expenses and their impact on investor returns separately.[299]

Proxy adviser transparency requirements have additional AI governance implications, as voting recommendation services must increasingly assess shareholder proposals addressing AI oversight, board expertise requirements, and executive compensation metrics for AI-related performance.[300] Proxy advisers must disclose their methodologies for evaluating AI governance proposals, as well as any conflicts of interest related to AI service providers or technology companies.[301]

Shareholder identification and information flow provisions support enhanced engagement on AI governance by enabling electronic communication with shareholders regarding technology strategy and oversight. Under SRD II, these mechanisms allow institutional investors to raise concerns about AI governance directly with portfolio companies. It also establishes accountability mechanisms for how boards respond to shareholder concerns about AI oversight and strategic direction.[302]

6.4 | National Variations in implementation and supervisory approaches

The implementation of EU AI governance requirements varies significantly across member states. This divergence leads to multiple supervisory approaches, enforcement priorities, and regulatory

[291] *See id.*
[292] *See id.*
[293] *See id.*
[294] *See* EU, Corporate Sustainability Reporting Directive, *supra* note 288, art. 34.
[295] *See id.*
[296] *See* Council Directive 2017/828 (Shareholder Rights Directive II), 2017 O.J. (L 132).
[297] *See id.*
[298] *See id.*
[299] *See id.*
[300] *See id.*
[301] *See id.*
[302] *See id.*

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coordination mechanisms that affect compliance strategies for multinational corporations. While the AI Act provides comprehensive regulatory harmonization, national authorities retain discretion in supervisory implementation, enforcement priorities, and coordination with existing regulatory frameworks.[303]

Germany's approach to AI governance supervision integrates comprehensive regulatory frameworks by designating BaFin as the competent authority for AI Act enforcement in financial services.[304] The German implementation emphasizes the integration of AI supervision into existing financial oversight frameworks with coordination between BaFin, the Bundesbank, and other sectoral authorities. Germany also implements the 2023 AI Action Plan that balances innovation promotion with risk mitigation and the development of supervisory technology capabilities for AI system assessment and monitoring. Additionally, Germany emphasizes industry engagement through regular dialogue, guidance development, and best practice sharing.[305] BaFin's approach prioritizes proportional supervision that supports responsible innovation while ensuring adequate consumer protection and systemic risk management.[306]

France's regulatory coordination involves the Autorité des Marchés Financiers (AMF) working closely with the Autorité de Contrôle Prudentiel et de Résolution (ACPR) to address AI applications across securities markets and banking supervision. Among the issues that the French approach emphasizes are enhanced disclosure requirements for AI-driven investment strategies with particular attention to algorithmic trading and automated portfolio management. The French also focus on consumer protection measures for AI-powered financial products, including robo-advisory services and automated insurance underwriting. No less important are cross-border cooperation mechanisms through the European Securities and Markets Authority (ESMA) and other EU regulatory bodies, along with the integration of AI governance into existing market surveillance and supervision frameworks.[307] The AMF has established specialized working groups addressing AI applications in asset management, market infrastructure, and retail investment services.[308]

The Netherlands' coordinated supervision through the Autoriteit Financiële Markten (AFM) and De Nederlandsche Bank (DNB) reflects a comprehensive approach to AI governance across financial sectors.[309] The Dutch framework, outlined in a comprehensive June 2024 report on AI impact in financial services, emphasizes coordinated supervision of AI applications across banking, insurance, and securities sectors with a unified oversight approach. The Dutch focus equally on protecting fundamental rights in AI deployment, involving non-discrimination and privacy safeguards and enhanced due diligence requirements for AI applications in fraud detection, creditworthiness assessment, and investment advice. Regular industry engagement through symposiums, roundtables, and technical consultations is also required.[310] The Dutch approach particularly emphasizes ethical AI deployment and social responsibility considerations alongside traditional prudential supervision.[311]

Nordic countries, including Denmark, Sweden, and Finland, have developed coordinated approaches to AI supervision that place digital innovation at the center of interest while maintaining high standards for consumer protection and data privacy. In the Nordic framework, regulatory resources and expertise across borders for AI system assessment and oversight are shared. In addition to having transparency and explicability requirements that exceed the minimum AI Act obligations, the Nordic countries also integrate AI governance with broader digital transformation policies and innovation support programs. These countries also emphasize fundamental rights protection, including non-discrimination and privacy safeguards.[312] Nordic supervisory authorities have established joint working groups addressing cross-border AI applications and regulatory coordination mechanisms.[313]

6.5 | European securities and markets authority guidance

The ESMA has developed comprehensive guidance on AI applications in financial markets that complements AI Act requirements while addressing sector-specific concerns about algorithmic trading, investment management, and market infrastructure. ESMA's approach emphasizes proportionate regulation that supports beneficial AI innovation while addressing risks to market integrity, investor protection, and financial stability.[314]

ESMA's guidance on AI in retail investment services, published in August 2024, encompasses specific applications, including robo-advisory services, algorithmic trading, and automated investment recommendations.[315] Key guidance elements cover suitability and appropriateness assessments for AI-driven investment recommendations, with an emphasis on client understanding and appropriate risk profiling. ESMA measures also address governance and oversight requirements for AI systems affecting investment services, including board oversight, management accountability, and operational risk management. In addition, the guidance sets out transparency and disclosure obligations for AI applications, including client communications, marketing materials, and regulatory reporting. It further establishes operational resilience requirements, involving business

[303] *See* AI Act, *supra* note 10, arts. 70–73.
[304] *See* BaFin, Artificial Intelligence in Financial Services (2024), https://www.bafin.de/EN/home_node_en.html.
[305] *See id.*
[306] *See id.*
[307] *See* Autorité des Marchés Financiers & Autorité de Contrôle Prudentiel et de Résolution, Joint Position on AI in Financial Services (2024).
[308] *See id.*
[309] *See* Autoriteit Financiële Markten & De Nederlandsche Bank, AI in the Financial Sector: Opportunities and Challenges (June 2024).
[310] *See id.*
[311] *See id.*
[312] *See* Nordic Council, AI Governance Framework (2024); Danish Financial Supervisory Authority et al., Joint Nordic AI Guidance (2024).
[313] *See* Nordic Council, AI Governance Framework, *id.*; Danish Financial Supervisory Authority et al., Joint Nordic AI Guidance, *id.*
[314] *See* European Securities and Markets Authority, Final Guidelines on AI in Retail Investment Services (Aug. 2024), https://www.esma.europa.eu/sites/default/files/2024-05/ESMA35-335435667-5924__Public_Statement_on_AI_and_investment_services.pdf.
[315] *See id.*

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continuity planning, incident response, and recovery procedures for AI system failures.[316]

Algorithmic trading supervision under ESMA guidance deals with high-frequency trading, electronic market making, and automated execution systems that increasingly incorporate AI technologies. Specific supervisory expectations include pre-trade risk controls and circuit breakers for AI-driven trading systems, along with post-trade monitoring and surveillance capabilities for detecting market manipulation and systemic risks. Other aspects covered are business continuity and disaster recovery procedures for critical trading infrastructure and regulatory reporting requirements that capture AI system decision-making and performance metrics.[317] ESMA coordinates with national competent authorities to ensure the consistent supervision of cross-border AI trading activities while maintaining market integrity and systemic stability.[318]

Market infrastructure supervision addresses AI applications in central counterparties, central securities depositories, and trading venues that execute critical market functions.[319] ESMA's framework emphasizes operational risk management for AI systems affecting critical market infrastructure, as well as cybersecurity requirements, including protection against adversarial attacks on AI systems. Other aspects addressed by the ESMA are governance arrangements ensuring appropriate oversight of AI technology affecting market operations, and recovery and resolution planning that accounts for AI system dependencies and potential failure modes.[320] This infrastructure supervision framework coordinates with the European Central Bank and national central banks to address the systemic risk implications of AI adoption in financial market infrastructure.[321]

7 | COMPARATIVE ANALYSIS OF REGULATORY APPROACHES

Multinational corporations, working across multiple jurisdictions, need to understand the impact of AI washing on both their U.S. and EU operations. This Part provides a comparative analysis of regulatory approaches in these two markets.

7.1 | Philosophical foundations and regulatory methodology

The fundamental distinction between U.S. and EU approaches to AI washing regulation reflects broader philosophical differences in regulatory methodology that extend far beyond technology governance to encompass distinct theories of market operation, government authority, and institutional design. These differences systematically create variations in regulatory approaches that affect every aspect of AI governance, from initial disclosure obligations to enforcement and penalty mechanisms.[322]

The U.S. approach emphasizes enforcement mechanisms that rely on ex post remediation through traditional securities law frameworks.[323] This assumes that market forces, combined with reactive regulatory enforcement, provide an optimal balance between innovation incentives and investor protection while also minimizing the regulatory burden on emerging technologies.[324] The U.S. framework trusts market discipline and adaptive application of established legal principles to address technological misconduct as it occurs, with materiality-based disclosure requirements ensuring that regulatory intervention occurs only when investor impact justifies enforcement costs.[325]

The EU has adopted comprehensive ex ante regulatory requirements that establish detailed obligations designed specifically for AI applications. These requirements reflect the EU's precautionary regulatory philosophy that prioritizes harm prevention over market efficiency considerations. Rather than relying on post hoc enforcement to address misconduct, the EU approach assumes that complex technological systems require specialized regulatory frameworks that anticipate potential harms and establish preventive measures.[326] This approach reflects the EU's preference for comprehensive regulatory frameworks that provide legal certainty and systematic protection, even when such measures may impose substantial compliance costs or limit innovation flexibility.[327]

The differences in enforcement mechanisms reflect these philosophical distinctions through diverse penalty structures, regulatory procedures, and institutional arrangements.[328] SEC enforcement actions for AI washing have resulted in penalties ranging from $5500 to $225,000, with an emphasis on settlement-focused resolution that enables companies to resolve violations without admitting wrongdoing while implementing compliance improvements.[329] The U.S. approach emphasizes adaptive enforcement that develops regulatory precedent through case-by-case adjudication, enabling legal evolution that responds to technological development and market innovation.[330]

EU penalties under the AI Act can reach €35 million or 7% of global annual turnover for prohibited practices, with tiered penalty structures that address different categories of the violation through systematic applications of predetermined sanctions.[331] The EU approach seeks comprehensive deterrence by imposing substantial financial penalties that create powerful incentives for prophylactic

[316] *See id.*
[317] *See id.*
[318] *See id.*
[319] *See id.*
[320] *See id.*
[321] *See id.*

[322] *See* VOGEL, *supra* note 14; Levi-Faur, *supra* note 14.
[323] John C. Coffee, Jr., *Law and the Market: The Impact of Enforcement*, 156 U. PA. L. REV. 229, 309 (2007).
[324] Chris Brummer, Yesha Yadav & David Zaring, *Regulation by Enforcement*, 97 S. CAL. L. REV. 1297, 1301 (2024).
[325] *See generally* TSC Industries, Inc. v. Northway, Inc., 426 U.S. 438 (1976); Basic Inc. v. Levinson, 485 U.S. 224 (1988).
[326] *See* AI Act, *supra* note 10, pmbl. ¶¶ 1–10.
[327] *See id.*
[328] *See supra* notes 6, 125–129 and accompanying text; AI Act, *supra* note 10, art. 99.
[329] *See supra* notes 6, 125–129 and accompanying text.
[330] *See id.*
[331] *See* AI Act, *supra* note 10, art. 99.

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compliance rather than risk-based decision-making about potential enforcement exposure.[332] This reflects the EU's regulatory preference for rule-based frameworks that provide clear behavioral guidance while minimizing regulatory discretion and ensuring consistent application across different companies and market participants.[333]

The philosophical differences are also reflected in the temporal dimension of regulatory application, as U.S. materiality standards require companies to evaluate AI disclosure obligations based on investor impact assessments that vary across business contexts and market conditions. Companies must make subjective determinations as to when AI developments become material to investor decision-making, which results in flexibility in accommodating diverse business models while potentially enabling strategic disclosure timing or selective presentation of favorable information.[334] This approach assumes that market participants possess adequate information and expertise to make appropriate disclosure decisions when guided by general legal standards and enforcement precedent.[335]

EU disclosure requirements under the AI Act establish mandatory transparency obligations for high-risk AI systems regardless of materiality assessments or business impact evaluations.[336] Companies must provide detailed technical documentation, specific disclosure of AI capabilities and limitations, clear labeling for AI-generated content, and human oversight mechanisms with explicability standards that apply based on technical risk assessment rather than market impact considerations.[337] This approach results in companies having no discretion over disclosure for covered AI systems while ensuring comprehensive transparency that enables regulatory oversight and individual protection regardless of business considerations.[338]

7.2 | Materiality standards versus risk-based classifications

The contrast between U.S. materiality-based disclosure requirements and EU risk-based classification systems is one of the most significant structural differences between U.S. and EU approaches to AI regulations. These frameworks create distinct compliance obligations, analytical requirements, and strategic considerations for multinational corporations navigating overlapping regulatory requirements.[339]

U.S. materiality standards under the *TSC Industries* and *Basic Inc*. cases require fact-specific assessments of whether AI information would significantly alter the "total mix" available to reasonable investors.[340] These standards lead to case-by-case determinations that consider quantitative factors such as financial impact or revenue contribution alongside qualitative factors, including strategic importance, competitive implications, and long-term business model effects.[341] The materiality framework enables flexible application across diverse industries and business models while ensuring that disclosure obligations are proportionate to the AI system's importance to business operations and investor decision-making.[342]

The Harvard Law School Forum on Corporate Governance analysis of 92 AI-related SEC comment letters provides empirical evidence of how materiality standards apply in practice, revealing that regulatory scrutiny focuses primarily on specificity and balance rather than on technical compliance with predetermined requirements. Of these SEC comments, 61% address requirements for greater specificity and balance in AI discussions, 30% focus on avoiding misleading claims and providing appropriate context for AI capabilities, and 17% require clearer definitions of AI terminology or more precise descriptions of technological applications.[343] This pattern suggests that materiality determinations increasingly require companies to provide detailed, specific information about AI capabilities while maintaining a balanced presentation of limitations and risks.[344]

EU risk-based classifications under the AI Act establish categorical obligations that apply on the basis of technical system characteristics and potential societal impact rather than company-specific business importance or investor impact assessments.[345] The four-tier architecture creates automatic disclosure and compliance obligations for prohibited AI practices with immediate application and maximum penalties, as well as for high-risk AI systems requiring comprehensive documentation, conformity assessment, and ongoing monitoring, for limited-risk systems requiring specific transparency measures for user awareness, and for minimal-risk systems subject to voluntary compliance codes and industry self-regulation.[346]

The practical implications for multinational corporations are substantial, as companies must navigate different analytical frameworks that may produce conflicting disclosure obligations for identical AI systems. A customer service chatbot might require minimal disclosure under U.S. materiality standards if it does not significantly affect business operations or competitive positioning. At the same time, it could trigger EU transparency disclosure obligations under limited-risk system requirements, regardless of business impact.[347] Similarly, an AI-driven investment algorithm might require detailed SEC disclosure if it affects material business operations, while also requiring EU high-risk system compliance, including conformity assessment and technical documentation beyond securities law requirements.[348]

The complexity of cross-jurisdictional compliance extends beyond disclosure obligations to encompass the use of different analytical methodologies for evaluating AI system risks, benefits, and regulatory significance. U.S. companies must develop capabilities for materiality assessment that integrate traditional financial analysis with

[332] *See id*.
[333] *See id*.
[334] *See* TSC Industries, Inc. v. Northway, Inc., 426 U.S. 438 (1976); Gerding, *supra* note 96.
[335] Gerding, *supra* note 96.
[336] *See* AI Act, *supra* note 10, arts. 6–15, 50.
[337] *See id*.
[338] *See id*.
[339] *See id*.; TSC Industries, 426 U.S. 438.
[340] *See* TSC Industries, 426 U.S. 438; Basic Inc. v. Levinson, 485 U.S. 224 (1988).
[341] *See* TSC Industries, 426 U.S. 438; Basic Inc. v. Levinson, 485 U.S. 224.
[342] *See* TSC Industries, 426 U.S. 438; Basic Inc. v. Levinson, 485 U.S. 224.
[343] *See* Harvard Law School Forum, *supra* note 108.
[344] *See id*.
[345] *See* AI Act, *supra* note 10, arts. 6–15.
[346] *See id*. arts. 5–7, 50, 69.
[347] *See id*.
[348] *See id*.

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technological evaluation, requiring sophisticated judgment about an AI system's importance to business operations and investor understanding.[349] EU companies must implement technical risk assessment procedures that classify AI systems according to regulatory categories while also ensuring compliance with business-specific disclosure obligations under securities laws and corporate governance frameworks.[350]

The temporal dimensions of these different approaches create additional compliance challenges, as materiality assessments require ongoing evaluation of changing business circumstances, while risk-based classifications establish relatively stable obligations based on technical system characteristics.[351] Companies developing AI systems may face shifting U.S. disclosure obligations as systems mature and business integration evolves. At the same time, they will need to maintain consistent EU compliance requirements based on initial system classification regardless of changing business importance.

7.3 | Enforcement architecture and institutional coordination

The institutional architecture for AI washing prevention reveals fundamental differences in regulatory organization, authority distribution, and coordination mechanisms that affect both compliance strategies and enforcement effectiveness across U.S. and EU jurisdictions. These structural differences create distinct procedural requirements, appeal mechanisms, and regulatory interaction patterns that multinational corporations must navigate when developing global compliance strategies.[352]

U.S. enforcement operates through centralized federal agencies with specialized expertise and broad discretionary authority over investigation priorities, settlement terms, and penalty determinations.[353] The SEC's Division of Enforcement coordinates AI washing cases across regional offices while developing specialized expertise in technology-related violations through dedicated examination procedures and technical advisory resources.[354] This centralized coordination enables consistent enforcement policy development and strategic resource allocation while maintaining the flexibility to address novel technological challenges through adaptive case-by-case adjudication.[355]

The SEC's enforcement strategy emphasizes the comprehensive application of existing securities laws rather than the development of AI-specific regulatory frameworks, drawing on precedents from cybersecurity enforcement and social media regulation. Chair Gensler's public statements have consistently emphasized that AI creates no exemption from traditional securities law obligations while acknowledging the need for regulatory adaptation to address technological complexity and novel risk patterns.[356] Division of Examinations, in coordination with the Division of Enforcement, enables proactive identification of AI washing patterns through systematic information sweeps that inform subsequent enforcement priorities and case development strategies.[357]

EU enforcement distributes regulatory authority across multiple governmental levels, with coordination requirements that ensure comprehensive oversight while enabling member state adaptation to local business contexts and regulatory traditions.[358] Competent national authorities designated by each member state have primary enforcement responsibility within their territories but must coordinate through the European AI Board and AI Office to ensure consistent application of regulatory requirements across different legal systems and business environments.[359]

The EC retains direct oversight authority over GPAIs and can initiate procedures against member states for inadequate enforcement, creating hierarchical accountability mechanisms that balance centralized coordination with decentralized implementation flexibility. Market surveillance authorities have comprehensive investigative powers, including the ability to access source codes and algorithms, require third-party testing and certification, restrict market access for non-compliant systems, and coordinate mechanisms with other regulatory authorities for cross-sectoral oversight.[360] These powers enable technical assessment of AI washing claims through direct verification rather than reliance on company representations or investor complaints.[361]

Individual enforcement mechanisms through data protection authorities and civil society organizations provide additional oversight and pressure that operate independently of traditional regulatory enforcement. The AI Act grants specific rights to individuals affected by AI systems, including rights to clear information about AI system logic, rights to human review of automated decisions, rights to compensation for damages from non-compliant systems, and rights to lodge complaints with supervisory authorities.[362] These individual enforcement mechanisms create accountability pressures that extend beyond securities law compliance to encompass broader social responsibility and individual protection considerations.[363]

Conformity assessment procedures for high-risk AI systems create additional institutional layers through mandatory third-party verification requirements that operate independently of regulatory enforcement and provide technical validation of AI system compliance.[364] Notified bodies designated by member states must assess AI system compliance before market deployment, thereby creating

[349] *See* Gerding, *supra* note 96.
[350] *See* AI Act, *supra* note 10, arts. 6–15.
[351] *See id.*; TSC Industries, Inc. v. Northway, Inc., 426 U.S. 438 (1976).
[352] *See* International Organization of Securities Commissions, Artificial Intelligence in Capital Markets: Use Cases, Risks, and Challenges (2025), https://www.iosco.org/library/pubdocs/pdf/IOSCOPD788.pdf.
[353] *See* Grewal, *supra* note 168.
[354] *See id.*
[355] *See id.*
[356] *See* Gensler, *supra* note 3.
[357] *See* SEC Division of Examinations, *supra* note 78.
[358] *See* AI Act, *supra* note 10, arts. 70–73.
[359] *See id.*
[360] *See id.* arts. 63–69.
[361] *See id.*
[362] *See id.* arts. 86–87.
[363] *See id.*
[364] *See id.* arts. 40–48.

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independent technical verification that reduces opportunities for AI washing in high-risk applications and ensures ongoing surveillance of deployed systems for continued regulatory compliance.[365]

The coordination between securities regulation and AI-specific oversight leads to complex institutional interfaces that call for sophisticated compliance management for companies operating across multiple regulatory frameworks. U.S. companies must coordinate SEC compliance with FINRA oversight, Commodity Futures Trading Commission (CFTC) regulation for derivatives markets, and various state securities law requirements that may address AI applications differently.[366] EU companies must coordinate between the AI Act's requirements and sectoral regulations, including MiFID II, GDPR, sector-specific oversight by financial services authorities, and national implementation variations that create different enforcement priorities and procedural requirements.[367]

7.4 | Penalty structures and deterrent effects

The dramatic differences in penalty structures between U.S. and EU AI washing enforcement reflect distinct theories of optimal deterrence and reveal important implications for compliance decision-making, risk management, and global regulatory strategy. These differences create asymmetric risk profiles that may influence business location decisions, technology development strategies, and corporate governance priorities for multinational corporations.[368]

U.S. enforcement penalties for AI washing cases have ranged from $5500 to $225,000, with most settlements involving investment advisers and financial service providers rather than large public companies.[369] The SEC's approach emphasizes graduated enforcement that enables compliance improvements through settlement agreements while avoiding penalties that might discourage innovation or create disproportionate consequences for emerging technology companies.[370] Settlement procedures typically include monetary penalties proportionate to the violation's severity and company resources, alongside comprehensive remedial measures that may include compliance program improvements, personnel training, and ongoing monitoring requirements.[371]

The relatively modest U.S. penalty levels reflect a deliberate regulatory strategy that prioritizes industry education and compliance culture development over punitive deterrence, particularly for novel technology applications where regulatory expectations may be evolving. SEC enforcement philosophy emphasizes adaptive regulation that develops clear behavioral standards through case-by-case precedent, while avoiding imposing penalties that might discourage innovation or create disproportionate consequences for technical misunderstandings rather than deliberate misconduct.[372] This approach assumes that the risk of damage to market reputation, combined with reasonable financial penalties and compliance improvements, provides optimal deterrence for most AI washing violations.[373]

We have seen how penalties under the EU's AI Act can reach €35 million or 7% of global annual turnover for prohibited practices, €15 million or 3% of turnover for high-risk system violations, and €7.5 million or 1.5% of turnover for information provision failures.[374] These penalty levels significantly exceed those imposed in traditional securities law enforcement remedies and approach the severity of those imposed for GDPR violations, reflecting an EU regulatory philosophy that prioritizes comprehensive deterrence through imposing substantial financial consequences rather than incremental enforcement.[375]

The EU's "worldwide annual turnover" calculation basis ensures that penalties remain proportional to company size while creating meaningful deterrent effects for even the largest multinational corporations. For technology companies with annual revenues exceeding $10 billion, maximum AI Act penalties could reach hundreds of millions of dollars, creating a financial exposure that substantially exceeds potential compliance costs and ensures management attention to AI governance issues.[376] This penalty structure reflects the EU's assumption that comprehensive deterrence requires the imposition of financial consequences that make cost–benefit calculations for non-compliance redundant, while also sending clear signals about regulatory expectations for AI governance.[377]

The enforcement timing differences create additional strategic considerations for multinational corporations planning AI development and deployment strategies. U.S. enforcement typically occurs after AI washing allegations emerge from investor complaints, regulatory examinations, or market events that bring company representations under scrutiny. This reactive approach means that enforcement is triggered by outside events rather than predetermined compliance checks, which can create uncertainty about when regulatory action will occur and how disclosure practices will be evaluated.[378] By contrast, EU enforcement operates through proactive compliance verification that begins with system deployment and continues through ongoing surveillance. This approach creates more predictable regulatory interactions and supports advanced compliance planning but also requires substantial upfront investment in documentation and verification procedures.[379]

The litigation risk differences extend beyond regulatory enforcement to encompass private securities litigation that creates additional financial exposure for U.S. companies facing AI washing allegations.[380] Class action securities litigation enables investors to seek damages for

[365] *See id.*
[366] *See* Securities Exchange Act of 1934 § 10(b), 15 U.S.C. § 78j(b); FINRA Rules; Commodity Exchange Act, 7 U.S.C. §§ 1–26.
[367] *See* AI Act, *supra* note 10; Directive 2014/65/EU, *supra* note 264; GDPR, *supra* note 252.
[368] *See* Bradford, *supra* note 11.
[369] *See supra* notes 6, 125–29 and accompanying text.
[370] *See* Grewal, *supra* note 168.
[371] *See id.*
[372] *See id.*
[373] *See id.*
[374] *See* AI Act, *supra* note 10, art. 99.
[375] *See id.*; GDPR, *supra* note 252, art. 83.
[376] *See* AI Act, *supra* note 10, art. 99.
[377] *See id.*
[378] *See* Grewal, *supra* note 168.
[379] *See* AI Act, *supra* note 10, arts. 40–48, 63–69.
[380] *See* Stanford Law School Securities Class Action Clearinghouse (SCAC), *AI-Related Litigation Trends* (2025), https://securities.stanford.edu/ [hereinafter Securities Class Action Research].

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AI washing violations through traditional fraud-on-the-market theories, with damage awards that may exceed regulatory penalties, while creating additional reputational damage and management disruption.[381] EU individual enforcement mechanisms provide compensation rights for AI system harms but typically involve smaller damage awards and more limited litigation procedures that reduce financial exposure while maintaining accountability pressure.[382]

7.5 | International competitiveness and regulatory arbitrage

The divergent regulatory approaches create potential competitive advantages and disadvantages that may influence global AI development patterns, investment flows, and innovation ecosystem development. These effects extend beyond direct compliance costs to encompass broader implications for technological leadership, market access, and international economic positioning in AI-related industries.[383]

Innovation arbitrage may favor U.S. approaches that impose lighter regulatory burdens on emerging AI technologies while enabling rapid development and market deployment.[384] The materiality-based disclosure framework allows companies to develop AI capabilities without immediate requirements for comprehensive documentation, potentially accelerating innovation cycles and reducing development costs for companies focused on U.S. markets.[385] However, this advantage may be offset by regulatory uncertainty about enforcement thresholds and potential exposure to reactive enforcement actions that could create substantial business disruption.[386]

Market access arbitrage may establish EU standards as the global compliance baselines due to the extraterritorial effect of comprehensive regulatory requirements that apply to any AI systems affecting EU markets or residents. Companies developing AI systems for global markets may find it economically efficient to implement AI Act compliance measures universally rather than maintain separate systems for different jurisdictions, particularly when AI systems serve integrated global business operations.[387] This "Brussels Effect" could de facto establish EU regulatory standards as global requirements, regardless of other jurisdictions' regulatory preferences.[388]

Enforcement arbitrage created by different penalty structures incentivizes strategic business organizations and risk management that may affect global AI development patterns.[389] Companies potentially facing EU penalty exposure of hundreds of millions of dollars may prioritize compliance investments and governance systems that exceed levels justified by U.S. enforcement risk alone.[390] Conversely, companies focused primarily on U.S. markets may accept enforcement risks that would be intolerable under EU penalty structures while investing regulatory compliance resources in other business priorities.[391]

The talent and investment implications of regulatory arbitrage extend beyond direct compliance costs to affect the broader innovation environment. Highly regulated AI applications may concentrate in jurisdictions with clear regulatory frameworks that provide legal certainty, even when the compliance costs are substantial, while experimental AI development may shift toward jurisdictions with lighter regulatory burdens that enable rapid iteration and market testing.[392] These dynamics could create specialization patterns where different jurisdictions develop comparative advantages in different types of AI applications based on regulatory fit rather than pure technological or economic factors.[393]

Intellectual property and technology transfer considerations have further competitive implications, as different regulatory requirements may affect global AI system architecture decisions.[394] EU transparency requirements that mandate disclosure of technical documentation, algorithmic logic, and system performance metrics may create intellectual property exposure that affects competitive positioning in global markets.[395] Companies developing proprietary AI technologies may need to balance regulatory compliance obligations against trade secret protection while considering how regulatory disclosure requirements affect competitive advantage preservation.[396]

8 | ENFORCEMENT MECHANISMS AND EMPIRICAL ASSESSMENT

Regulatory enforcement actions against AI washing are in their infancy, but will only increase in the future. This Part discusses early initiatives, trends, and results in both the U.S. and the EU.

8.1 | SEC enforcement evolution and precedent development

The SEC's approach to AI washing enforcement has evolved rapidly since late 2023, establishing important precedents through the strategic application of existing securities laws while developing institutional expertise in technology-related misconduct. This evolution reflects broader regulatory adaptation to emerging technologies that build on successful precedent from cybersecurity

[381] *See* Basic Inc. v. Levinson, 485 U.S. 224 (1988) (providing a doctrinal basis for securities class actions); Halliburton Co. v. Erica P. John Fund, Inc., 573 U.S. 258 (2014) (rearticulating the Supreme Court's fraud-on-the-market theory in securities class actions).
[382] *See* AI Act, *supra* note 10, arts. 86–87.
[383] *See* BRADFORD, *supra* note 11.
[384] *See id.*
[385] *See* Gerding, *supra* note 96.
[386] *See* Grewal, *supra* note 168.
[387] *See* AI Act, *supra* note 10, art. 2; BRADFORD, *supra* note 11.
[388] *See* BRADFORD, *supra* note 11.
[389] *See id.*
[390] *See* AI Act, *supra* note 10, art. 99.
[391] *See supra* notes 6, 125–29 and accompanying text.
[392] *See* BRADFORD, *supra* note 11.
[393] *See id.*
[394] *See id.*
[395] *See* AI Act, *supra* note 10, arts. 11–14.
[396] *See id.*

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enforcement, social media regulation, and other technology-related securities violations.[397]

The foundational enforcement actions against Delphia (USA) Inc. and Global Predictions Inc. in March 2024 established several critical precedents for future AI washing cases.[398] Delphia's violations involved a comprehensive misrepresentation of AI capabilities, including false claims about analyzing "10,000+ data points" from client social media and spending patterns when no such analytical capability existed.[399] The company's website prominently featured AI capabilities with statements such as "put[s] collective data to work to make our artificial intelligence smarter so it can predict which companies and trends are about to make it big and invest in them before everyone else," making material misrepresentations about core business operations.[400]

The Delphia settlement established that AI washing constitutes violations of multiple regulatory provisions simultaneously, including Investment Advisers Act Sections 206(2) and 206(4) antifraud provisions and Marketing Rule requirements for substantiated advertising claims. The $225,000 civil penalty reflects proportional enforcement that considers company size and resources while ensuring a meaningful deterrent effect.[401] Remedial measures included comprehensive compliance program implementation, personnel training requirements, and ongoing monitoring procedures that provide a template for future AI washing settlements.[402]

Global Predictions engaged in even more egregious AI washing by completely fabricating its AI capabilities while marketing itself as the "first regulated AI financial adviser."[403] The company's promotional materials included detailed descriptions of proprietary algorithms and ML models that were entirely fictional, combined with impermissible liability hedge clauses that demonstrated broader compliance deficiencies.[404] The $175,000 penalty and comprehensive remedial requirements established a precedent for addressing AI washing in startup and emerging company contexts where technological capabilities may be nascent or entirely theoretical.[405]

Additional enforcement actions have expanded AI washing precedent beyond investment advisers to include broader financial services and technology companies. The Brian Sewell/Rockwell Capital Management case involved false claims about "machine algorithms," "artificial intelligence," and "machine learning models" for investment strategies that never existed, demonstrating the SEC's willingness to pursue individual accountability alongside corporate enforcement.[406] The Joonko Inc. case addressed AI washing in startup fundraising contexts where false claims about AI-based recruitment technology facilitated securities fraud in capital-raising activities.[407]

The January 2025 Presto Automation enforcement represents a significant expansion of AI washing prevention to public companies beyond the financial services sector.[408] Presto failed to disclose that its purported AI technology was primarily owned and operated by third parties and required extensive human intervention despite marketing claims suggesting full automation.[409] The cease-and-desist order focusing on disclosure controls and procedures violations rather than monetary penalties indicates the SEC's willingness to pursue AI washing through multiple enforcement theories while adapting remedy structures to case-specific circumstances.[410]

The enforcement evolution demonstrates increasing sophistication in the SEC's approach to technological misrepresentation, with an emphasis on comprehensive compliance improvements rather than purely punitive measures. Settlement terms consistently include personnel training requirements, compliance program enhancements, ongoing monitoring procedures, and disclosure improvement measures that address systemic governance deficiencies beyond immediate AI washing violations.[411] This approach reflects a regulatory strategy that prioritizes industry education and compliance culture development while establishing clear behavioral expectations for emerging technology applications.[412]

8.2 | Private securities litigation trends and damage assessment

Private securities litigation related to AI washing has grown dramatically since 2024, with 42 AI-related securities class actions filed to date, including the 13 cases filed in 2024, more than double the number lodged the previous year.[413] This litigation trend reflects growing investor awareness of AI washing risks combined with plaintiff attorney's recognition of potentially substantial damage awards for technology-related securities fraud.[414]

Representative litigation examples demonstrate a diversity of AI washing allegations across multiple industries and business contexts.[415] The Innodata Inc. case involves allegations of misrepresented AI capabilities that resulted in an approximately 30% stock price decline following a short-seller report challenging the company's claims about AI-driven business transformation.[416] Upstart Holdings faces claims regarding overstated AI platform predictive abilities in automated lending decisions, with particular focus on

[397] *See* SEC, Commission Statement and Guidance on Public Company Cybersecurity Disclosures, *supra* note 115.
[398] *See* Delphia (USA) Inc., *supra* note 6; Global Predictions, Inc., *supra* note 6.
[399] *See* Delphia (USA) Inc., *supra* note 6.
[400] *See id.*
[401] *See id.*
[402] *See id.*
[403] *See* Global Predictions, Inc., *supra* note 6.
[404] *See id.*
[405] *See id.*
[406] *See* SEC v. Sewell, No. 24-cv-1408 (S.D.N.Y. filed Feb. 26, 2024).
[407] *See* SEC v. Raz, No. 24-cv-4581 (S.D.N.Y. filed June 17, 2024).
[408] *See* Presto Automation Inc., *supra* note 44.
[409] *See id.*
[410] *See id.*
[411] *See supra* notes 6, 125–29, 44 and accompanying text.
[412] *See* Grewal, *supra* note 168.
[413] *See* Securities Class Action Research, *supra* note 380.
[414] *See id.*
[415] *See id.*
[416] D'Agostino v. Innodata Inc., et al., Case No. 24-cv-00971, 2024 WL4615728 (D. N.J. Oct. 20, 2024).

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performance claims that allegedly exceeded actual system capabilities.[417]

Recent cases, including AppLovin Corp. and Skyworks Solutions, demonstrate an expansion of litigation scope beyond traditional technology companies to encompass diverse industries in which AI washing may affect material business operations. The AppLovin case addresses mobile advertising AI capabilities and performance metrics, while Skyworks involves semiconductor AI applications and competitive positioning claims.[418] These cases establish that AI washing litigation can extend to any economic sector in which companies make material claims about AI capabilities, regardless of the primary business focus.[419]

Damage calculation methodologies in AI washing litigation reflect the adaptation of traditional securities fraud damage theories to technological misrepresentation contexts.[420] Plaintiff attorneys may pursue fraud-on-the-market theories that enable class certification without individual reliance proof,[421] while seeking damages based on artificial price inflation arising from false AI-related claims. However, the technical complexity of AI systems creates challenges for expert testimony relating to causation, materiality, and damage quantification that may affect litigation outcomes and settlement values.

The emergence of plaintiff firms specializing in AI washing litigation indicates a growing recognition of this area as a significant source of securities litigation with potentially substantial recovery potential. Firms such as Bernstein Liebhard and Rosen Law Firm have established AI washing investigatory capabilities while acquiring the technical expertise necessary for effective case development and prosecution.[422] This specialization suggests that such firms expect AI washing litigation to continue expanding as they develop institutional capabilities for identifying and prosecuting technology-related securities fraud.[423]

Defense strategy evolution reflects an increasing sophistication in addressing AI washing allegations through technical expert testimony, materiality challenges, and scienter defenses that address the complexity of AI system development and performance assessment.[424] Companies facing AI washing litigation typically retain technology experts capable of explaining AI system capabilities and limitations while addressing allegedly false or misleading representations through technical analysis rather than purely legal arguments.[425]

8.3 | EU enforcement framework implementation and early results

The EU's AI Act enforcement framework has begun implementation with competent national authorities, establishing supervisory procedures and developing enforcement capabilities, though comprehensive enforcement data remains limited due to recent implementation timelines. Early implementation patterns suggest the emergence of a coordinated approach across member states with emphasis on industry guidance and compliance support rather than immediate punitive enforcement.[426]

ESMA's enforcement framework provides direct supervisory powers that address AI applications in financial services, including credit rating agencies using AI, trade repositories, and data reporting service providers subject to AI oversight, and benchmark administrators with AI-driven calculation methodologies.[427] Enforcement tools include public notices for AI-related compliance failures, financial penalties of up to 10% of annual turnover for intentional infringements, and withdrawal of registration or authorization for serious violations.[428] These powers are deployed for comprehensive regulatory oversight that enables detailed assessment of AI washing claims through technical verification rather than reliance on company representations.[429]

National implementation approaches demonstrate EU-wide coordination with adaptation to local regulatory traditions and business contexts. Germany's BaFin has integrated AI supervision into existing financial oversight frameworks while emphasizing proportionate regulation that supports responsible innovation.[430] France's AMF coordination with its ACPR addresses AI applications across securities markets and banking supervision, with an emphasis on cross-border cooperation through EU regulatory bodies.[431] In the Netherlands, coordination between the AFM and the DNB focuses on fundamental rights protection and ethical AI deployment alongside traditional prudential supervision.[432]

Early enforcement priorities have been on compliance guidance and industry engagement rather than on immediate sanctions, reflecting a regulatory strategy that has initially prioritized education and the development of a compliance culture.[433] National authorities have conducted industry consultations, published guidelines, and established technical working groups that address AI Act compliance requirements while building regulatory expertise necessary for effective oversight.[434]

Market surveillance activities have begun with a focus on high-risk AI systems requiring conformity assessment and the establishment of ongoing monitoring procedures. Initial surveillance has

[417] *See id.*
[418] *See* Quiero v. AppLovin Corp., No. 25-cv-412 (N.D. Cal. 2025); Cesar Nunez v. Skyworks Solutions, No. 25-cv-1205 (C.D. Cal. 2025).
[419] Quiero v. AppLovin Corp., No. 25-cv-412; Cesar Nunez v. Skyworks Solutions, No. 25-cv-1205.
[420] *See* Basic Inc. v. Levinson, 485 U.S. 224 (1988).
[421] *See*, e.g., *id.*
[422] *See* Securities Class Action Research, *supra* note 380.
[423] *See id.*
[424] *See id.*
[425] *See id.*
[426] *See* European Commission, *AI Act*, Shaping Europe's Digital Future (2024), https://digital-strategy.ec.europa.eu/en/policies/regulatory-framework-ai; European Commission, *AI Pact*, Shaping Europe's Digital Future (2024), https://digital-strategy.ec.europa.eu/en/policies/ai-pact; European Commission, *Coordinated Plan on Artificial Intelligence 2021 Review*, Shaping Europe's Digital Future (June 19, 2023), https://digital-strategy.ec.europa.eu/en/policies/plan-ai.
[427] *See* European Securities and Markets Authority, *supra* note 314.
[428] *See id.*
[429] *See id.*
[430] *See* BaFin, *supra* note 304.
[431] *See* Autorité des Marchés Financiers & Autorité de Contrôle Prudentiel et de Résolution, *supra* note 307.
[432] *See* Autoriteit Financiële Markten & De Nederlandsche Bank, *supra* note 309.
[433] *See* European Commission, *AI Act*, *supra* note 426; *see also* European Commission, *AI Pact*, *supra* note 426.
[434] *See* European Commisison, *AI Act*, *supra* note 426; *see also* European Commission, *AI Pact*, *supra* note 426.

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focused on technical documentation review, compliance verification procedures, and coordination between national authorities for cross-border AI applications.[435] However, comprehensive enforcement statistics remain unavailable due to recent implementation timelines and the ongoing development of supervisory procedures across member states.[436]

Coordination between AI Act enforcement and existing securities regulation creates complex institutional interfaces that require ongoing development of procedural frameworks and authority allocation mechanisms.[437] Early implementation measures suggest that AI washing enforcement will involve coordination between AI Act supervisory authorities and traditional securities regulators rather than the complete integration of enforcement responsibilities within a single institutional framework.[438]

8.4 | Cross-border enforcement coordination and information sharing

International coordination mechanisms for AI washing enforcement remain underdeveloped despite a growing recognition of the need for enhanced cooperation to address issues with cross-border technology companies and global AI system deployment. Existing frameworks established through the IOSCO, bilateral regulatory cooperation agreements, and multilateral coordination mechanisms provide a foundation for enhanced cooperation but require substantial further development to address AI-specific challenges effectively.[439]

The IOSCO has developed comprehensive guidance on AI risks in financial markets, including transparency and disclosure requirements, governance and oversight frameworks, data quality controls, third-party provider management, and operational resilience standards.[440] However, IOSCO guidance remains non-binding "soft law," which means there is still a potential for inconsistent implementation across jurisdictions. Still, it serves as a valuable framework for coordination development.[441]

Bilateral cooperation between the SEC and EU securities authorities has begun addressing AI washing through existing mutual recognition agreements and enforcement cooperation mechanisms. Information-sharing procedures enable the coordination of investigations involving multinational companies while maintaining respect for jurisdictional sovereignty and different legal frameworks.[442] However, the substantial differences between U.S. enforcement-based approaches and the EU's comprehensive regulatory frameworks create coordination challenges that require continuous management.[443]

The US-EU Trade and Technology Council (TTC) has begun AI governance coordination, including work on AI risk-management frameworks, algorithmic accountability measures, and regulatory cooperation mechanisms.[444] However, research has indicated that "significant misalignment" between U.S. and EU approaches continues to present coordination challenges that may limit the effectiveness of international cooperation efforts.[445] The TTC is an important forum for ongoing dialogue, but has not yet produced binding coordination mechanisms or harmonized enforcement procedures.[446]

Practical coordination challenges include different legal standards for information sharing, varying penalty structures that may create forum-shopping incentives, technical expertise requirements that exceed traditional securities regulation capabilities, and timing differences between proactive EU compliance verification and reactive U.S. enforcement procedures. These challenges require ongoing institutional development and procedural innovation to create effective international coordination frameworks for AI washing enforcement.[447]

8.5 | Institutional investor and proxy advisory firm responses

Institutional investors and proxy advisory firms have rapidly developed AI governance evaluation frameworks that complement regulatory enforcement while creating market-based accountability pressure for enhanced AI oversight and disclosure. These developments reflect a growing recognition that AI governance is a material investment risk requiring specialized evaluation capabilities and systematic engagement procedures.[448]

Proxy advisory company Glass Lewis & Co.'s 2025 policy updates set out specific AI governance evaluation standards. They state that voting guidance will not be based solely on AI governance in the absence of material incidents. The policies also allow for adverse recommendations against directors where AI-related incidents have materially harmed shareholders. In addition, the updates emphasize expectations for board-level disclosure on AI oversight and relevant director expertise. They also call for broader scrutiny of overall governance practices when AI oversight is inadequate.[449] This approach

[435] *See* European Commission, *AI Act*, *supra* note 426; *see also* European Commission, *AI Pact*, *supra* note 426.
[436] *See id.*
[437] *See* AI Act, *supra* note 10, art. 85.
[438] *See id.*
[439] *See* International Organization of Securities Commissions, *supra* note 352.
[440] *See id.*
[441] *See id.*
[442] *See* U.S. Securities and Exchange Commission and European Securities and Markets Authority, Memorandum of Understanding Concerning Consultation, Cooperation and the Exchange of Information Related to the Supervision of Cross-Border Regulated Entities (2012), https://www.sec.gov/about/offices/oia/oia_bilateral/esma-mou.pdf [hereinafter SEC-ESMA MOU].
[443] *See id.*
[444] *See* European Commission, Directorate-General for Communications Networks, *Content and Technology, TTC Joint Roadmap for Trustworthy AI and Risk Management* (Feb. 4, 2023) https://digital-strategy.ec.europa.eu/en/library/ttc-joint-roadmap-trustworthy-ai-and-risk-management; *see* Knowledge Centre Data & Society, *EU-US Trade & Technology Council – TTC Joint Roadmap for Trustworthy AI and Risk Management* (June 6, 2023), https://data-en-maatschappij.ai/en/publications/handels-en-technologieraad-eu-vs-ttc-ttc-joint-roadmap-for-trustworthy-ai-and-risk-management.
[445] *See* Engler, *supra* note 16.
[446] *See* EU-US Trade and Technology Council, *supra* note 444.
[447] *See id.*; Engler, *supra* note 16.
[448] *See* Glass Lewis & Co., *2025 Policy Guidelines* (2024), https://www.glasslewis.com/policy-guidelines; ISS Governance, *2025 Benchmark Policy Updates* (Dec. 17, 2024), https://insights.issgovernance.com/posts/iss-governance-announces-2025-benchmark-policy-updates/.
[449] *See* Glass Lewis, *supra* note 448.

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favors a case-by-case evaluation rather than prescriptive voting guidelines, while establishing clear expectations for board accountability and disclosure transparency.[450]

Institutional Shareholder Services (ISS) takes a similar case-by-case evaluation approach to AI-related shareholder proposals. It has also developed comprehensive AI governance evaluation frameworks, which are expected to be implemented in its 2025 policy updates. The combined market share of ISS (47%) and Glass Lewis (37%) among mutual funds means they can exert substantial pressure for enhanced AI governance disclosure and board attention to technological oversight responsibilities to be put in place.[451] Proxy advisory firm evaluations are increasingly addressing director qualifications for AI oversight, board committee structure adequacy for technology governance, and executive compensation alignment with responsible AI development practices.[452]

Institutional investor stewardship policies also address AI governance through engagement priorities that focus on long-term value creation and responsible technology development.[453] Major institutional investors, including BlackRock, Vanguard, and State Street, have developed AI governance engagement frameworks. These frameworks cover AI strategy integration with business models and competitive positioning, as well as risk management frameworks for AI-related operational and reputational risks. They also address board oversight capabilities and director qualification requirements, together with executive compensation alignment with responsible AI development metrics, together with broader stakeholder impact assessments, including workforce, community, and environmental considerations.[454]

Engagement includes direct dialogue with portfolio companies regarding AI governance practices, voting on AI-related shareholder proposals and board elections, filing shareholder proposals addressing AI oversight and disclosure requirements, and coordination with other institutional investors for enhanced engagement effectiveness. These practices create market-based accountability mechanisms that operate independently of regulatory enforcement while reinforcing regulatory expectations for responsible AI governance.[455]

The development of ESG investing frameworks that incorporate AI governance considerations creates additional market pressure for comprehensive AI oversight and transparent disclosure.[456] ESG rating agencies such as MSCI and Sustainalytics have begun developing AI governance evaluation methodologies that affect investment flows and the cost of capital for companies with significant AI operations.[457] These frameworks typically address AI ethics policies, algorithmic bias-prevention measures, transparency and explicability procedures, and stakeholder impact assessment mechanisms.[458]

8.6 | Audit firm guidance and professional standards evolution

The PCAOB and major audit firms have recognized that AI washing has significant implications for audit quality, internal control assessment, and professional liability, all of which require enhanced audit procedures and specialized technical expertise. PCAOB guidance emphasizes that auditors must understand how AI systems affect financial reporting processes while evaluating the adequacy of management's internal control assessments for AI-related risks.[459]

PCAOB Staff Guidance on AI use in audits and financial reporting addresses several key areas. It covers the integration of generative AI into audit procedures, with particular attention to quality control and documentation requirements. It also examines how auditors should evaluate audit evidence when AI systems generate financial data or support management estimates. In addition, the guidance addresses the assessment of control frameworks for AI systems affecting financial reporting accuracy. It further outlines auditor competency requirements for evaluating AI-related controls and risks.[460] The guidance emphasizes that traditional audit procedures may not provide adequate assurance for AI-enabled financial reporting processes without specialized technical assessment capabilities being applied to them.[461]

External auditors face specific challenges in assessing AI system controls when they lack the technical expertise to evaluate algorithm performance, data quality, or system reliability independently. Major audit firms have begun recruiting technology professionals and developing specialized AI audit capabilities while establishing relationships with technical service providers who can supplement traditional audit expertise.[462] However, the rapid pace of AI development makes it difficult to keep technical knowledge up to date across diverse AI applications and industries.

The integration of AI systems into financial reporting processes creates ongoing audit challenges. ML models can evolve through automated retraining, which may affect financial reporting accuracy in the absence of deliberate management intervention.[463] Traditional audit procedures assume relatively static processes with defined controls and clear accountability structures, while AI systems may modify

[450] *See id.*

[451] *See id.*; ISS, *supra* note 448.

[452] *See* Glass Lewis, *supra* note 448; ISS, *supra* note 448.

[453] *See* BlackRock, Investment Stewardship Annual Report 2025 (2025), https://www.blackrock.com/corporate/literature/publication/blackrock-investment-stewardship-annual-report-2025.pdf; Vanguard, Investment Stewardship 2024 Annual Report (2024), https://corporate.vanguard.com/content/corporatesite/us/en/corp/how-we-advocate/investment-stewardship/reports-and-policies.html.; State Street Global Advisors, *Stewardship Report 2024* (2024), https://www.ssga.com/us/en/institutional/insights/stewardship-report-2024.

[454] *See* BlackRock, *supra* note 453; Vanguard, *supra* note 453; State *Street*, *supra* note 453.

[455] *See* BlackRock, *supra* note 453; Vanguard, *supra* note 453; State Street, *supra* note 453.

[456] *See* MSCI, *Sustainability and Climate Trends to Watch for 2025* (2024), https://www.msci.com/research-and-insights/research-reports/sustainability-and-climate-trends-to-watch-for-2025; Sustainalytics, *ESG Risk Ratings Methodology Version 3.1* (June 2024), https://www.sustainalytics.com/docs/default-source/default-document-library/sustainalytics_esg-risk-ratings_methodology-abstract.pdf?sfvrsn=5b778b7f_8.

[457] *See* MSCI, *supra* note 456; Sustainalytics, *supra* note 456.

[458] *See* MSCI, *supra* note 456; Sustainalytics, *supra* note 456.

[459] *See* PCAOB, *supra* note 155.

[460] *See id.*

[461] *See id.*

[462] *See* Ernst & Young LLP, *Our commitment to audit quality — Ernst & Young LLP's 2024 report* (2024), https://www.ey.com/en_us/assurance/audit-quality-report; Deloitte, *AI Meets the Audit*, https://www.deloitte.com/us/en/services/audit-assurance/services/ai-in-finance-and-accounting.html (last visited May 25, 2026); PwC, *Emerging Technologies: Digital Trust: Risk Assurance*, https://www.pwc.com/gx/en/services/audit-assurance/risk-assurance/it-risk-assurance/emerging-technologies.html; KPMG, *All eyes on: AI in Audit 2024* (Feb. 28, 2024), https://kpmg.com/xx/en/our-insights/ai-and-technology/all-eyes-on-ai-in-audit-2024.html.

[463] *See* PCAOB, *supra* note 155.

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their behavior based on new data inputs and environmental changes.[464] Auditors, therefore, need to develop procedures that account for AI system evolution while maintaining appropriate documentation and testing requirements.[465]

Rising audit deficiency rates (i.e., the share of audits in which inspectors found insufficient audit work) among major firms raise questions about audit quality oversight amid rapid technology adoption. Ernst & Young (EY)'s 46% deficiency rate in 2024 inspections, compared to 15% in 2020, suggests that maintaining audit quality standards is becoming more challenging as firms adapt to technological complexity and market pressures for innovation.[466] These trends indicate that audit oversight of AI-related controls requires enhanced attention and specialized expertise, which may exceed current professional capabilities without substantial investment in technology training and technical advisory resources.[467]

Professional liability considerations for AI-related audit failures create additional pressure for enhanced audit procedures and technical competency development.[468] Audit firms face potential liability for failing to identify AI washing, inadequately assessing AI-related internal controls, and insufficiently evaluating AI system risks affecting financial reporting accuracy.[469] These liability concerns drive them to invest in new technological capabilities while creating incentives for conservative audit approaches that may increase compliance costs for companies implementing innovative AI applications.[470]

9 | INTERNATIONAL COORDINATION AND HARMONIZATION EFFORTS

The multinational scope of business and the challenges of complying with different regulatory regimes in different countries call for some level of international cohesion around the corporate governance aspects of AI. Various international institutions are pursuing cross-border coordination efforts, which are discussed below.

9.1 | IOSCO leadership and global standard development

The IOSCO has become the primary forum for developing global coordination mechanisms for AI governance in financial markets. It publishes comprehensive guidance that addresses cross-border challenges while respecting jurisdictional sovereignty and regulatory diversity. IOSCO's approach emphasizes principles-based guidance that allows for adaptation to different legal frameworks while promoting convergence around core objectives for investor protection, market integrity, and systemic stability.[471]

IOSCO's report on AI in financial markets, published in September 2024, establishes foundational principles for its governance. These include transparency and explicability requirements adapted to different AI applications and regulatory contexts, as well as governance and oversight frameworks that ensure appropriate human involvement and accountability structures. The report also sets out data quality and management standards that address bias, accuracy, and representativeness concerns. In addition, it covers third-party provider management procedures that allocate responsibility and ensure adequate oversight, together with operational resilience requirements, such as business continuity, incident response, and recovery planning. Finally, it includes consumer and investor protection measures that address disclosure, suitability, and fair treatment concerns.[472]

The IOSCO framework deliberately avoids prescriptive technical requirements while establishing outcome-based standards that enable jurisdictional adaptation to different legal systems, market structures, and regulatory philosophies. This approach recognizes that global AI governance requires a balance between coordination benefits and regulatory autonomy, accommodating different approaches to technology governance and institutional design.[473] However, the non-binding nature of IOSCO guidance creates implementation challenges and the potential for inconsistent application across jurisdictions with differing enforcement capabilities and regulatory priorities.[474]

Regional implementation of IOSCO principles demonstrates both the potential for convergence and continuing differences in regulatory approach.[475] ESMA has integrated IOSCO principles into its AI guidance while adapting recommendations to EU legal frameworks and AI Act requirements.[476] Similarly, the SEC has referenced IOSCO principles in public statements and examination procedures while maintaining its emphasis on materiality-based disclosure and an enforcement-focused regulatory approach.[477] These implementation patterns suggest that IOSCO guidance provides a valuable coordination framework and, at the same time, preserves jurisdictional discretion in regulatory methodology and enforcement priorities.[478]

IOSCO coordination mechanisms include regular working group meetings, information-sharing procedures, and joint examination initiatives that enable regulatory authorities to share expertise and coordinate responses to emerging AI governance challenges. Its Technical Committee's FinTech Working Group serves as a forum for addressing AI-related issues, developing technical expertise, and sharing enforcement experience across member jurisdictions.[479] However, the voluntary nature of IOSCO coordination limits its effectiveness when

[464] *See id.*
[465] *See id.*
[466] *See* Public Company Accounting Oversight Board, 2024 Inspection Ernst & Young LLP (2024), https://assets.pcaobus.org/pcaob-dev/docs/default-source/inspections/documents/104-2025-037-e-y.pdf?sfvrsn=b29e7110_2.
[467] *See id.*
[468] *See id.*
[469] *See id.*
[470] *See id.*
[471] *See* International Organization of Securities Commissions, *supra* note 352.
[472] *See id.*
[473] *See id.*
[474] *See id.*
[475] *See* European Securities and Markets Authority, *supra* note 314; Gensler, *supra* note 3.
[476] *See* European Securities and Markets Authority, *supra* note 314.
[477] *See* Gensler, *supra* note 3.
[478] *See* International Organization of Securities Commissions, *supra* note 352.
[479] *See id.*

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jurisdictional differences create conflicting regulatory requirements and enforcement priorities.[480]

9.2 | Bilateral regulatory cooperation and mutual recognition

Bilateral cooperation agreements between major regulatory authorities provide additional mechanisms for addressing AI washing across borders, facilitating more detailed coordination than multilateral frameworks typically permit. Building on existing enforcement cooperation and mutual recognition frameworks, these agreements also adapt to technological challenges that require enhanced information sharing and coordinated supervision.[481]

The US-EU cooperation framework operates through existing SEC-ESMA coordination mechanisms that apply to cross-border securities regulation, including information-sharing procedures, joint enforcement initiatives, and mutual assistance in investigations.[482] AI washing coordination has begun through these existing channels and is characterized by case-by-case cooperation rather than a systematic harmonization of regulatory requirements.[483] However, the fundamental differences between U.S. enforcement-based approaches and EU comprehensive regulatory frameworks create coordination challenges that require ongoing procedural development and institutional adaptation.[484]

UK-U.S. cooperation has developed through Financial Services Agreement frameworks that support post-Brexit regulatory coordination while accommodating different approaches to AI governance. The UK's principles-based AI regulation framework creates a potential bridge between U.S. market-based approaches and EU comprehensive regulatory systems while maintaining regulatory autonomy and institutional flexibility.[485] Joint working groups address specific coordination challenges, including cross-border AI service provision, mutual recognition of compliance frameworks, and information sharing for enforcement purposes.[486]

Asia-Pacific coordination involves multiple bilateral relationships, including U.S.-Japan, U.S.-Singapore, and U.S.-Australia cooperation frameworks that address AI governance alongside broader financial services coordination.[487] These relationships reflect growing recognition that AI washing affects global markets while requiring coordination mechanisms that accommodate different legal systems and regulatory approaches.[488] However, the diversity of regulatory frameworks across Asia-Pacific jurisdictions creates coordination challenges that may require regional multilateral mechanisms rather than purely bilateral approaches.[489]

Mutual recognition procedures for AI governance frameworks could reduce the complexity of compliance for multinational corporations while maintaining regulatory effectiveness and jurisdictional autonomy. Pilot programs addressing particular AI applications, including algorithmic trading, robo-advisory services, and automated investment management, could demonstrate the feasibility of mutual recognition while building institutional expertise and procedural frameworks for broader application.[490] However, the substantial differences in regulatory philosophy and enforcement mechanisms between major jurisdictions suggest that comprehensive mutual recognition may require significant convergence in regulatory approach or acceptance of different but equivalent regulatory outcomes.[491]

9.3 | Technical standards development and industry coordination

The development of international technical standards not only provides crucial harmonization opportunities independent of formal regulatory coordination but also enables convergence around technical specifications, performance metrics, and operational procedures. Standard development organizations such as ISO, IEC, and IEEE have established AI governance working groups that address technical requirements for transparency, safety, and accountability that complement regulatory frameworks.[492]

ISO/IEC 42001:2023, the world's first AI management system standard, establishes a comprehensive framework for AI governance that provides practical implementation guidance for regulatory compliance across multiple jurisdictions.[493] The standard uses a plan-do-check-act methodology adapted to AI applications. It includes AI policy development and strategic planning procedures, as well as risk management frameworks addressing technical, operational, and ethical AI risks. It also incorporates stakeholder engagement mechanisms to ensure appropriate consultation and feedback procedures, together with competence and training requirements for AI development and deployment personnel. In addition, it establishes operational controls for AI system lifecycle management and sets out performance evaluation and monitoring procedures. Finally, the standard provides continuous improvement frameworks addressing technological evolution and regulatory changes.[494]

Major technology companies such as Microsoft and IBM have secured ISO/IEC 42001 certification, indicating the industry's growing adoption of international standards as practical coordination

[480] *See id.*
[481] *See* SEC-ESMA MOU, *supra* note 442.
[482] *See id.*
[483] *See id.*
[484] *See id.*
[485] *See* Department for Science, Innovation and Technology, *AI Regulation: A Pro-innovation Approach*, White Paper, Command Paper 815, (Aug. 3, 2023), https://www.gov.uk/government/publications/ai-regulation-a-pro-innovation-approach.
[486] *See id.*
[487] *See*, e.g., Australian Government, *US-Australia Technology Safeguards Agreement Parliamentary Paper*, Joint Standing Committee on Treaties (Feb. 28, 2024), https://www.aph.gov.au/Parliamentary_Business/Committees/Joint/Treaties.
[488] *See id.*
[489] *See id.*
[490] *See id.*
[491] *See id.*
[492] *See* International Organization for Standardization/International Electrotechnical Commission, ISO/IEC 42001:2023, Information technology — Artificial intelligence — Management system (2023), https://www.iso.org/standard/42001; IEEE Standards Association, *Autonomous and Intelligent Systems (AIS) Standards* (2024), https://standards.ieee.org/initiatives/autonomous-intelligence-systems/standards/.
[493] *See* ISO/IEC 42001:2023, *supra* note 492.
[494] *See id.*

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mechanisms for global AI governance compliance. Certification provides independent verification of AI governance capabilities and enables companies to demonstrate a commitment to compliance across multiple jurisdictions without requiring separate governance frameworks for different regulatory requirements.[495] However, the voluntary nature of technical standards will limit adoption unless regulatory authorities incorporate standards into compliance requirements or enforcement expectations.

IEEE standards development addresses specific technical requirements for AI transparency, explicability, and bias detection that support regulatory compliance while enabling industry innovation.[496] Key standards include IEEE 2857 for privacy engineering in AI systems, IEEE 2858 for algorithmic bias detection, and IEEE 2859 for AI system documentation and disclosure.[497] These standards provide technical specifications that enable consistent implementation of regulatory requirements while supporting industry best practices and innovative development.[498]

Industry-wide coordination through professional associations, trade organizations, and multi-stakeholder initiatives provides additional harmonization mechanisms alongside formal regulatory and standards development processes. The Partnership on AI, AI Ethics Global Partnership, and similar organizations facilitate information sharing, best practice development, and coordination on AI governance challenges that affect regulatory compliance and business operations.[499] However, voluntary industry coordination may be exploited by free-riders and initiate competitive constraints that limit effectiveness without regulatory backing or market-based incentives for participation.[500]

9.4 | Emerging multilateral initiatives and institutional innovation

The rapid global expansion of AI applications has prompted new multilateral initiatives that address AI governance coordination beyond traditional securities regulation frameworks. These initiatives are a recognition that AI's cross-sectoral impact requires institutional innovation and enhanced coordination mechanisms that may exceed existing international organization capabilities.[501]

The G7's AI Code of Conduct is a pioneering effort to establish voluntary international standards for AI development and deployment that address both private sector and government applications.[502] The code emphasizes responsible AI development practices across several areas. It includes transparency and explainability measures, along with safety and security assessment procedures. It also covers bias detection and mitigation requirements, as well as privacy protection and data governance standards. In addition, the code also incorporates stakeholder engagement and impact assessment mechanisms.[503] However, the voluntary nature of G7 coordination limits the code's enforceability while creating the potential for selective implementation that may undermine coordination effectiveness.[504]

The UK's AI Safety Institute and similar national research institutions provide technical expertise and coordination mechanisms that support international AI governance development while maintaining focus on safety and beneficial development rather than commercial regulation. International coordination among AI safety institutes enables shared research, technical assessment capabilities, and expertise development that support regulatory decision-making across multiple jurisdictions.[505] However, the research focus of safety institutes may not address commercial AI washing concerns that require specialized expertise in securities regulation and corporate governance.

The OECD AI Principles provide a broader multilateral framework that encompasses 46 member countries and addresses both government and private sector AI applications.[506] The principles emphasize human-centered AI development, transparency and explicability requirements, robustness and safety standards, accountability mechanisms, and inclusive growth considerations that address AI's societal impact.[507] OECD coordination mechanisms include regular monitoring, peer review procedures, and technical assistance that support implementation while respecting jurisdictional sovereignty and regulatory diversity.[508]

Institutional innovation proposals involve the establishment of international AI governance organizations. Its functions would include coordinated development of global AI governance standards, along with monitoring and verification of national implementation efforts. It would also offer capacity-building support for developing countries' AI governance capabilities and mechanisms for resolving jurisdictional disputes regarding AI regulation and enforcement.[509] Such

[495] *See* Microsoft Corporation, *ISO/IEC 42001:2023 Artificial Intelligence Management System Standards – Microsoft Compliance* (2024), https://learn.microsoft.com/en-us/compliance/regulatory/offering-iso-42001; IBM Corporation, *Trustworthy AI at scale: IBM's AI Safety and Governance Framework* (Feb. 7, 2025), https://newsroom.ibm.com/blog-trustworthy-ai-at-scale-ibms-ai-safety-and-governance-framework.

[496] *See* IEEE Standards Association, *supra* note 492.

[497] *See id.*

[498] *See id.*

[499] *See* Partnership on AI, *Annual Report 2024* (2024), https://partnershiponai.org/annual-report-2024/.

[500] *See id.*

[501] *See* G7 Ministers of Industry, Technology and Digital, *Ministerial Declaration on Industry, Technology, and Digital* (Mar. 15, 2024), https://innovazione.gov.it/notizie/articoli/en/g7-ministerial-declaration-on-industry-technology-and-digital/; OECD, *More partnerships, more insights, better tools: How we shaped AI policy in 2024* (Jan. 20, 2025), https://oecd.ai/en/wonk/how-we-shaped-ai-policy-in-2024.

[502] *See* G7 AI Code of Conduct (2024), *supra* note 501.

[503] *See id.*

[504] *See id.*

[505] *See* UK Government, *Global leaders agree to launch first international network of AI Safety Institutes to boost cooperation of AI* (May 21, 2024), https://www.gov.uk/government/news/global-leaders-agree-to-launch-first-international-network-of-ai-safety-institutes-to-boost-understanding-of-ai; U.S. Department of Commerce and U.S. Department of State, *FACT SHEET: U.S. Department of Commerce & U.S. Department of State Launch the International Network of AI Safety Institutes at Inaugural Convening in San Francisco* (Nov. 20, 2024), https://www.commerce.gov/news/fact-sheets/2024/11/fact-sheet-us-department-commerce-us-department-state-launch-international.

[506] *See* OECD, *Recommendation of the Council on Artificial Intelligence* (May 22, 2019), https://legalinstruments.oecd.org/en/instruments/OECD-LEGAL-0449; OECD, *The State of Implementation of the OECD AI Principles Four Years on* OECD (Oct. 27, 2023), https://www.oecd.org/en/publications/the-state-of-implementation-of-the-oecd-ai-principles-four-years-on_835641c9-en.html.

[507] OECD, *Recommendation of the Council on Artificial Intelligence*, *supra* note 506.

[508] *Id.*

[509] *See* Center for Strategic and International Studies, *The AI Safety Institute International Network: Next Steps and Recommendations* (Oct. 30, 2024), https://www.csis.org/analysis/ai-safety-institute-international-network-next-steps-and-recommendations; Trisha Ray, *Sovereign Remedies: Between AI Autonomy and Control*, Atl. Council (Apr. 3, 2025), https://www.atlanticcouncil.org/in-depth-research-reports/issue-brief/sovereign-remedies-between-ai-autonomy-and-control/.

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institutional innovation could address coordination challenges that exceed existing international organization capabilities while providing a dedicated focus on AI governance challenges across multiple sectors and regulatory domains.[510]

However, the political and practical challenges of establishing new international institutions suggest that near-term coordination efforts may focus on enhancing existing mechanisms rather than creating comprehensive new institutional architectures.[511] Incremental improvements in IOSCO coordination, bilateral cooperation agreements, and technical standards development may provide more realistic paths for enhanced AI governance coordination while building a foundation for potential future institutional innovation.

10 | POLICY RECOMMENDATIONS AND FUTURE DIRECTIONS

Despite the efforts of some organizations to coordinate AI washing regulation across borders, there are deep differences between the U.S. and EU pathways, discussed in Parts 7 and 8. These differences suggest that rationalizing AI washing regulation internationally will depend on identifying and pursuing existing areas of convergence.

10.1 | Regulatory harmonization through selective convergence

The fundamental differences between the U.S. and EU approaches to AI washing regulation suggest that comprehensive harmonization may be neither feasible nor desirable. Nonetheless, selective convergence in defined areas could significantly reduce compliance complexity while preserving beneficial regulatory diversity. An effective harmonization strategy would focus on domains in which coordination provides clear mutual benefits, while maintaining jurisdictional autonomy in areas where regulatory competition may drive innovation and institutional learning.[512]

Immediate priorities for harmonization within 1–2 years should focus on a few key measures. These include enhanced TTC collaboration through the establishment of working groups addressing specific AI governance coordination challenges. They should also involve the binding implementation of IOSCO AI principles across major securities regulatory authorities with standardized reporting and monitoring procedures. In addition, regulators should pursue the joint development of ISO/IEC 42001 implementation guidance that addresses regulatory compliance requirements across multiple jurisdictions. This should be complemented by formal mechanisms for enforcement coordination and information sharing that enable case-by-case cooperation without requiring systematic regulatory convergence. Finally, pilot programs for mutual recognition of AI management system certifications should be introduced to demonstrate the feasibility of coordination while building institutional expertise.[513]

Medium-term initiatives for implementation within 3–5 years should focus on institutional development and procedural coordination that build on near-term successes while addressing more complex harmonization challenges. Priority areas encompass several key areas. These involve, for example, mutual recognition agreements for AI governance frameworks that enable companies to satisfy multiple jurisdictional requirements through a single compliance system. They also extend to harmonized disclosure standards for multinational corporations that eliminate conflicting requirements while maintaining regulatory effectiveness. In addition, priority areas include joint enforcement protocols for a coordinated approach to cross-border AI washing cases that avoid duplicative penalties while ensuring comprehensive accountability. They further entail consideration of establishing a specialized international AI governance coordination mechanism within existing institutional frameworks rather than creating entirely new organizations.[514]

Long-term harmonization goals should preserve beneficial regulatory diversity while addressing coordination challenges that affect global AI development and deployment.[515] Strategic divergences that may benefit global innovation include: regulatory experimentation that enables different approaches to provide natural experiments and evidence-based policy development; innovation incentives where varying regulatory intensity fosters different innovation pathways and technological development approaches; cultural adaptation that enables region-specific approaches to AI ethics, social values, and technology governance philosophies; and competitive pressure that prevents regulatory capture while maintaining incentives for effective governance and innovation promotion.[516]

This selective convergence approach recognizes that regulatory competition can drive innovation and institutional learning while preventing a race to the bottom that undermines AI governance effectiveness. There are several areas in which divergence should be maintained, including penalty structures that reflect different legal traditions and institutional capabilities. Other areas involve enforcement mechanisms that accommodate different judicial systems and administrative procedures, along with substantive regulatory requirements that address different market structures and social preferences. Another important area for maintaining divergence is that of the institutional arrangements that reflect different political systems and governance philosophies.[517]

10.2 | Corporate governance best practices for multinational operations

Multinational corporations facing overlapping U.S. and EU AI governance requirements should implement integrated compliance systems

[510] *See* Center for Strategic and International Studies, *supra* note 509.
[511] *See id.*
[512] *See* Bradford, *supra* note 11; EU-US Trade and Technology Council, *supra* note 444.
[513] *See* International Organization of Securities Commissions, *supra* note 352; ISO/IEC 42001:2023, *supra* note 492.
[514] *See* EU-US Trade and Technology Council, *supra* note 444.
[515] *See* Bradford, *supra* note 11.
[516] *See id.*
[517] *See id.*

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that imply minimum regulatory requirements while providing comprehensive risk management and strategic coordination capabilities. Effective AI governance requires a systematic approach that addresses both jurisdictional compliance obligations and business strategic considerations for AI development and deployment.[518]

Governance structure recommendations encompass a number of key elements. One of these is a board composition that incorporates directors with relevant AI and technology expertise while ensuring independence from AI service providers and competitive entities. In addition, the recommendations refer to comprehensive AI literacy programs for all directors covering technological developments, regulatory evolution, and governance best practices, including regular updates reflecting the rapid pace of change. In addition, the recommendations address committee responsibility allocation for AI oversight that prevents gaps or duplicative efforts while ensuring appropriate expertise and authority. Also covered in the recommendations are regular reporting mechanisms from management to the board regarding AI risks, opportunities, strategic developments, and regulatory compliance status. Finally, the recommendations support specialized advisory relationships with external technical experts when required for effective oversight of complex AI systems.[519]

Risk management framework implementation should integrate AI considerations into existing enterprise risk management while addressing technology-specific challenges that may exceed traditional risk categories. Comprehensive AI risk-assessment procedures should address several areas of technical risks. These include system failures, performance degradation, adversarial attacks, and model drift that could affect business operations. Also important are operational risks, such as human oversight failures, process integration problems, and vendor relationship management challenges. In addition, such procedures should cover regulatory compliance risks from evolving AI governance requirements, enforcement priorities, and cross-jurisdictional coordination challenges. Reputational risks from AI system failures must also be considered, as well as bias incidents or public challenges to AI claims and capabilities. Finally, strategic risks should be evaluated, including competitive disadvantages from AI adoption failures or misallocation of resources to ineffective AI initiatives.[520]

Crisis response planning for AI-related incidents should establish immediate response procedures for AI system failures that affect business operations, customer service, or public safety. Such planning should also include communication protocols for addressing AI washing allegations, regulatory inquiries, or media coverage of AI-related problems. In addition, crisis response planning needs to address coordination mechanisms with legal, compliance, and external advisory resources for managing complex AI governance challenges. It should also set forth stakeholder engagement procedures for addressing employee, customer, investor, and community concerns about AI applications. Finally, recovery planning that enables business continuity while addressing underlying AI governance deficiencies must be included.[521]

Executive accountability systems should allocate AI governance responsibilities clearly while ensuring appropriate coordination across functional areas and business units. Chief AI officers, chief technology officers, and chief data officers must operate within comprehensive governance structures that address AI system lifecycle management from development through deployment and ongoing operation. They are also responsible for providing regular reporting to senior management and the board regarding AI performance, risks, and strategic developments. In addition, these roles entail compliance monitoring responsibilities for AI-related regulatory requirements, industry standards, and internal governance policies. They require close coordination with legal, compliance, audit, and business functions to ensure comprehensive AI governance. These officers must also be prepared to provide crisis response leadership for AI system failures, performance problems, or external challenges to AI capabilities.[522]

10.3 | Enhanced disclosure and transparency frameworks

Due to the complexity of AI technologies, enhanced disclosure frameworks need to be developed. They should go beyond traditional corporate reporting to provide stakeholders with meaningful information about AI capabilities, limitations, and business integration while avoiding technical complexity that undermines investor understanding. Effective AI disclosure should balance transparency objectives with practical communication challenges while ensuring accuracy and preventing AI washing.[523]

Disclosure content recommendations should cover several key elements. These include clear descriptions of an AI system that accurately represent capabilities and limitations without overstating technological sophistication or competitive advantages. They also involve explaining how AI is integrated into the business, including its effects on core operations, revenue generation, and competitive positioning with specific examples and performance metrics. In addition, disclosures should address AI-specific risks, such as technical failures, regulatory compliance challenges, and competitive disadvantages from AI adoption or implementation problems. They should also include qualifications of forward-looking statements that acknowledge uncertainty in AI development timelines, performance expectations, and business impact projections. Finally, disclosures should clarify human oversight procedures that clarify the role of human decision-making, intervention capabilities, and accountability structures for AI-enabled business processes.[524]

Materiality assessment procedures for AI-related information should integrate traditional financial analysis with technological evaluation while developing systematic frameworks for determining if AI

[518] *See* National Association of Corporate Directors, *supra* note 75; ISO/IEC 42001:2023, *supra* note 492.
[519] *See* National Association of Corporate Directors, *supra* note 75.
[520] *See id.*
[521] *See id.*
[522] *See id.*
[523] *See* Gerding, *supra* note 96; Harvard Law School Forum, *supra* note 108.
[524] Harvard Law School Forum, *supra* note 108.

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developments require disclosure. Assessment considerations should cover both quantitative and qualitative dimensions. Quantitative factors include financial investment, revenue impact, cost savings, and competitive positioning effects that can be measured using traditional financial metrics. Qualitative factors involve strategic importance, regulatory significance, customer impact, and long-term business model implications that may not appear in immediate financial results. In addition, assessments should measure the probability of AI development success, commercial deployment, and business integration that acknowledges technological uncertainty and development risks. They also need to consider the magnitude of the potential business impact from successful AI implementation, including revenue growth, operational efficiency, and competitive advantage creation. Finally, temporal aspects should be addressed, covering both immediate disclosure obligations and forward-looking guidance regarding AI development and deployment timelines.

Disclosure format innovations should enhance investor understanding while maintaining accuracy and avoiding misleading representations.[525] Recommendations include the use of standardized AI terminology and definitions that enable consistent communication across companies and industries. They also call for performance metrics that accurately represent AI system capabilities without overstating effectiveness or competitive advantages. In addition, risk-disclosure frameworks should address both technical and business risks from AI implementation. Case study examples can illustrate AI applications and business integration without revealing proprietary information. Finally, visual presentation tools, such as charts, diagrams, and infographics, can enhance understanding while maintaining technical accuracy.[526]

Regular disclosure updates should address AI system evolution, performance changes, and business integration progress while avoiding forward-looking statements that could create inappropriate investor expectations. Update procedures need to include quarterly assessments of material changes in AI capabilities, business integration, and competitive positioning, as well as an annual comprehensive review of AI strategy, performance, and risk profile, with a detailed analysis of accomplishments and challenges. In addition, procedures should cover incident reporting for significant AI system failures, performance problems, and regulatory compliance issues. They can also allow for guidance revision when AI development progress significantly exceeds or falls short of previous projections, including a clear explanation of changed circumstances.[527]

10.4 | International coordination mechanisms and institutional innovation

Enhanced international coordination for AI washing enforcement requires new institutional mechanisms that can address cross-border challenges while respecting jurisdictional sovereignty and accommodating different regulatory approaches. Effective coordination needs to focus on information sharing, technical assistance, and procedural harmonization rather than attempting comprehensive regulatory convergence.[528]

Enhanced information-sharing mechanisms should establish bilateral agreements between major regulatory authorities for sharing investigation information, enforcement experience, and technical expertise regarding AI washing cases. Also needed are multilateral databases containing AI washing case information, past enforcement decisions, and technical assessment procedures that enable regulatory learning and coordination. These mechanisms should also include technical assistance programs that share expertise across jurisdictions with different levels of AI governance capability. Finally, there needs to be regular coordination meetings that address emerging AI washing trends, enforcement challenges, and regulatory innovation across jurisdictions.[529]

Enforcement coordination protocols should address jurisdictional conflicts and duplicative proceedings while ensuring comprehensive accountability for multinational AI washing violations. Coordination mechanisms can establish procedures for designating a lead jurisdiction in cases involving multiple regulatory authorities with clear criteria for primary enforcement responsibility. They can also provide for information-sharing protocols that enable coordinated investigations while respecting different legal systems and procedural requirements. In addition, such mechanisms can include approaches to penalty coordination that avoid duplicative sanctions while ensuring appropriate deterrent effects. They may also provide for coordinated settlement procedures that enable comprehensive resolutions of multi-jurisdictional cases through a single proceeding, where legally permissible.[530]

Technical standards development should focus on areas where harmonization provides clear benefits without requiring regulatory convergence.[531] Priority areas include AI system documentation standards that enable regulatory assessment across different jurisdictional requirements, as well as performance measurement frameworks that provide consistent metrics for AI capability evaluation. Other key areas are risk assessment methodologies that address both technical and business risks from AI implementation, along with audit procedures for AI governance evaluation that support both internal compliance and external verification. Finally, incident reporting standards that enable information sharing and coordinated response to AI-related problems are another significant area to develop.[532]

Capacity-building initiatives should address regulatory expertise gaps that limit effective AI governance oversight while supporting global coordination efforts. Among the fields that programs should include are technical training for regulatory staff addressing AI system assessment, risk evaluation, and enforcement procedures. Also important are academic partnerships that develop research capabilities and

[525] *See id.*
[526] *See id.*
[527] *See* Gerding, *supra* note 96.
[528] *See* International Organization of Securities Commissions, *supra* note 352.
[529] *See id.*
[530] *See id.*
[531] *See* ISO/IEC 42001:2023, *supra* note 492; IEEE Standards Association, *supra* note 492.
[532] *See id.*

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provide ongoing education for regulatory authorities, as well as industry engagement programs that build understanding of AI applications and business integration challenges. International exchange programs that share regulatory experience and build personal relationships among regulatory professionals should also be developed.[533]

10.5 | Technological infrastructure and regulatory technology solutions

The technical complexity of AI systems requires the development of regulatory technology solutions that enhance oversight capabilities while reducing compliance costs and improving coordination effectiveness. Regulatory technology (RegTech) applications should address both regulatory assessment needs and industry compliance challenges through shared infrastructure and standardized procedures.[534]

Regulatory assessment technology should provide a range of capabilities to support effective oversight. These include automated AI system-analysis tools that enable technical verification of company claims about AI capabilities and performance. They also encompass standardized testing procedures that assess AI system accuracy, bias, and reliability across different operational contexts. In addition, such technology should support performance monitoring systems that track AI system behavior and identify potential problems or compliance violations. It should also include documentation verification tools that assess the adequacy and accuracy of technical documentation and disclosure materials.

Industry compliance technology should reduce compliance costs while improving governance effectiveness through standardized tools and procedures. Priority applications include automated compliance monitoring systems that track regulatory requirements across multiple jurisdictions, as well as documentation management platforms that maintain technical records and support regulatory reporting requirements. They also encompass performance assessment tools that evaluate AI system effectiveness and identify potential governance problems. In addition, risk management systems can integrate AI considerations into existing enterprise risk frameworks.

Data-sharing infrastructure should enable regulatory coordination while protecting competitive information and maintaining appropriate confidentiality. Key infrastructure elements can include anonymized performance databases that enable comparative analysis without revealing company-specific information. They may also involve technical assessment-sharing platforms that reduce duplicative evaluation efforts across jurisdictions. In addition, such incident reporting systems can enable coordinated responses to AI-related problems. They can also include research databases that support policy development and regulatory innovation.

Privacy-preserving coordination mechanisms need to enable information sharing for regulatory purposes while maintaining the protection of sensitive business information and personal data. Techniques including differential privacy, secure multi-party computation, and federated learning could enable regulatory coordination without compromising legitimate confidentiality interests or creating inappropriate competitive disclosure.[535]

10.6 | Future research priorities and evidence-based policy development

The rapid evolution of AI technology requires ongoing research and evidence-based policy development that addresses both current regulatory challenges and anticipates future coordination needs. Research priorities should focus on the empirical assessment of regulatory effectiveness, compliance cost analysis, and coordination mechanism evaluation.[536]

Empirical research priorities should cover several key areas. These encompass comparative assessments of regulatory effectiveness across different jurisdictional approaches, including measurement of AI washing prevention, industry compliance rates, and innovation impact. They also involve cost–benefit analyses of different regulatory frameworks addressing both compliance costs and social benefits from enhanced AI governance. In addition, research should include longitudinal studies of the evolution of AI governance that track regulatory adaptation and industry response over time. Case study analysis can examine both successful and unsuccessful coordination efforts that identify best practices and common challenges. Finally, survey-based research can capture stakeholder perspectives on AI governance, including investor, industry, and civil society viewpoints.

Policy development research should address emerging challenges from AI technology evolution and changing market conditions. Priority areas include generative AI governance challenges, such as content authentication, intellectual property protection, and liability allocation for AI-generated materials. They also involve oversight of foundation models, including systemic risk assessment, competition policy implications, and international coordination needs. In addition, priority areas cover autonomous system accountability, including legal frameworks for AI decision-making and human oversight requirements. Finally, cross-sectoral coordination is needed to address AI applications that span multiple regulatory domains and jurisdictional boundaries.

Innovation impact assessment should evaluate how different regulatory approaches affect beneficial AI development while maintaining adequate protection against AI washing and other harmful

[533] *See* International Organization of Securities Commissions, *supra* note 352.

[534] *See* Grant Thornton, *RegTech and Regulatory Change Report 2024* (2024), https://www.grantthornton.co.uk/insights/regtech-survey-understanding-priorities-for-2023-24/; Deloitte AI Institute, *The State of Generative AI in the Enterprise: 2024 Year-end Report* (2024), https://www.deloitte.com/us/en/what-we-do/capabilities/applied-artificial-intelligence/content/state-of-generative-ai-in-enterprise.html; Market Research Reports, *AI in Regtech Market Size, Share | CAGR of 36.7%* (May 29, 2024), https://market.us/report/ai-in-regtech-market/.

[535] *See* Cynthia Dwork & Aaron Roth, *The Algorithmic Foundations of Differential Privacy*, 9 Founds. & Trends Theoretical Comput. Sci. 211 (2014); Yehuda Lindell, Secure Multiparty Computation, 64 Comms. ACM 86 (2021).

[536] *See* Center for Strategic and International Studies, *supra* note 509; Ray, *supra* note 509.

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practices.[537] Research should address startup ecosystem effects from different regulatory approaches, such as capital formation, innovation incentives, and international competitiveness. It should also examine how large companies respond strategically to regulatory requirements, including investment allocation, governance structure adaptation, and international expansion decisions. In addition, research should examine the effect of regulatory requirements on academic and research institutions, covering collaboration patterns, research funding, and publication practices. Finally, it should evaluate the overall economic effects of AI governance, including productivity growth, employment impacts, and international trade implications.[538]

International coordination research should assess the effectiveness of existing mechanisms and identify opportunities for enhanced cooperation and institutional innovation. Evaluation priorities encompass IOSCO coordination effectiveness, such as implementation rates, enforcement coordination, and stakeholder satisfaction with international guidance. They also cover bilateral cooperation assessments, including the effectiveness of information sharing, joint enforcement success, and procedural coordination challenges. In addition, research should assess the adoption of technical standards, including industry compliance rates, regulatory recognition, and international harmonization effects. It should further explore institutional innovation opportunities, including assessment of existing organizational capabilities and analysis of alternative coordination mechanisms.[539]

11 | SUMMARY AND CONCLUSION

The emergence of AI washing prevention as a distinct category of securities regulation involves far more than the simple application of traditional legal frameworks to new technology. It presents fundamental challenges in governing transformative technologies that affect virtually every aspect of modern economic life. This comprehensive comparative analysis of U.S. and EU regulatory approaches reveals both the adaptability of established legal principles and the necessity for institutional innovation in addressing technological complexity that exceeds traditional regulatory capabilities.

The U.S. approach demonstrates a remarkable flexibility in applying traditional securities law principles to emerging technological misconduct while maintaining emphasis on market-based enforcement and materiality-driven disclosure obligations. The SEC's enforcement actions against Delphia, Global Predictions, Presto Automation, and others establish important precedents for addressing technological misrepresentation through established antifraud provisions. The materiality-based framework enables adaptive application across diverse business contexts while preserving regulatory flexibility and innovation incentives. However, the reactive nature of enforcement-based regulation may prove insufficient for addressing the systematic nature of AI washing across multiple industries and the technical complexity that challenges traditional investor understanding and regulatory assessment capabilities.

The EU's comprehensive regulatory framework through the AI Act represents an unprecedented attempt to establish ex ante governance for AI applications through systematic risk-based requirements and severe penalty structures. The mandatory transparency obligations, technical documentation requirements, and graduated compliance frameworks create wide-ranging prevention mechanisms that address AI washing through systematic disclosure rather than case-by-case enforcement. The up to €35 million penalties are a meaningful deterrence even to the largest multinational corporations while also establishing clear behavioral expectations. However, the complexity of implementation across diverse AI applications and varying national approaches creates substantial compliance costs and regulatory uncertainty that may affect innovation incentives and competitive positioning.

The philosophical differences between these approaches reflect broader distinctions between U.S. and EU regulatory methodologies that extend beyond AI governance to encompass fundamental theories about market operation, government authority, and institutional design. The U.S. emphasis on market-based enforcement assumes that adaptive application of established legal principles, combined with market discipline, provides an optimal balance between innovation promotion and investor protection. The EU precautionary approach assumes that complex technological systems require specialized regulatory frameworks that anticipate potential harms and establish preventive measures rather than relying on post hoc remedies.

These differences create both challenges and opportunities for global AI governance development. The compliance complexity facing multinational corporations requires sophisticated legal and technical coordination that may exceed the capabilities of traditional corporate governance structures. Companies must navigate overlapping requirements with different disclosure obligations, varying penalty structures, and conflicting technical standards while maintaining competitive positioning and innovation capabilities. However, this regulatory diversity also creates opportunities for institutional learning and policy innovation that may ultimately strengthen global AI governance through regulatory competition and international coordination.

The enforcement trends analyzed throughout this article suggest that AI washing has evolved from being an emerging concern to a permanent feature of the regulatory landscape requiring sustained attention and institutional adaptation. The SEC's systematic approach, employing examination sweeps, enforcement actions, and comment letter practice, creates comprehensive oversight mechanisms that complement traditional materiality-based disclosure requirements. EU implementation of the AI Act with coordinated national enforcement and technical verification procedures establishes robust prevention frameworks that exceed traditional securities regulation scope. The growing influence of institutional investors, proxy advisory firms, and audit firms fosters market-based accountability mechanisms that reinforce regulatory requirements while addressing stakeholder concerns about responsible AI development and deployment.

[537] *See* Center for Strategic and International Studies, *supra* note 509.
[538] *See id.*
[539] *See* International Organization of Securities Commissions, *supra* note 352; ISO/IEC 42001:2023, *supra* note 492.

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The international coordination mechanisms examined in this paper provide the foundation for enhanced cooperation but also reveal the significant limitations that exist in addressing cross-border AI governance challenges. IOSCO guidance establishes important principles for coordination, but the non-binding nature of recommendations limits effectiveness when jurisdictional differences create conflicting requirements. Bilateral cooperation agreements enable case-by-case coordination but require ongoing development to address systemic challenges from multinational AI operations. Technical standards development through ISO/IEC and industry organizations provides practical harmonization opportunities that operate independently of formal regulatory convergence while supporting compliance across multiple jurisdictions.

The policy recommendations developed here that arise out of the comparative analysis emphasize selective convergence in areas where coordination provides clear benefits, such as on technical standards, enforcement coordination, and information sharing, while maintaining beneficial regulatory diversity in areas where competition may drive innovation and institutional learning. This approach recognizes that effective AI governance requires both international cooperation and jurisdictional autonomy to address varying cultural, economic, and legal contexts while preventing regulatory arbitrage that could undermine governance effectiveness.

Looking toward the future, the rapid evolution of AI technology requires governance frameworks that can adapt more quickly than traditional legislative and regulatory processes while maintaining fundamental principles of market integrity, corporate accountability, and investor protection. The emergence of generative AI, foundation models, autonomous systems, and other advanced technologies will pose new challenges for disclosure obligations, materiality assessment, and cross-border coordination that may require fundamental reconsideration of existing approaches. The frameworks established through current AI washing enforcement and regulation provide an essential foundation for addressing these future challenges, but continued evolution and adaptation will be necessary to maintain regulatory effectiveness amid rapid technological change.

The ultimate success of AI washing regulation will depend on the ability of legal frameworks to balance technological complexity with accessibility for non-expert stakeholders while maintaining meaningful accountability for corporate claims about AI capabilities. Both U.S. and EU approaches contribute essential elements to meeting this challenge. The U.S. emphasis on flexibility and adaptation of established principles enables responsive regulation, and the EU focus on comprehensive prevention and systematic governance ensures thorough protection. The ongoing dialogue between these approaches, supported by international coordination mechanisms and industry best practices, provides the most promising foundation for effective global governance of AI washing and broader AI applications in corporate contexts.

This Article has shown how AI washing is a paradigmatic challenge for modern securities regulation, requiring integration of technological expertise with traditional legal analysis while addressing cross-border coordination needs that exceed existing institutional capabilities. As AI becomes increasingly central to business operations across very many economic sectors, the regulatory approaches and international coordination mechanisms developed in response to AI washing will influence the broader evolution of technology governance for decades to come. The lessons learned from early enforcement actions, regulatory innovation, and international coordination efforts are a valuable foundation for addressing future technological governance challenges while maintaining the fundamental legal principles that ensure market integrity and investor protection in an era of unprecedented technological transformation.

The comparative analysis presented in this Article reveals that effective AI governance requires neither complete regulatory convergence nor acceptance of fundamental divergence, but rather sophisticated coordination that preserves beneficial diversity while addressing coordination challenges that affect global innovation and market integrity. The selective convergence approach recommended here provides a framework for ongoing regulatory dialogue that can adapt to technological evolution while maintaining institutional accountability and democratic legitimacy. As AI technology continues to transform economic and social systems globally, the governance frameworks developed through AI washing regulation will provide essential precedents for addressing the broader challenges of technology governance in democratic societies committed to both innovation and accountability.

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